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BALKAN REGIONAL COOPERATION & EUROPEAN INTEGRATION

Othon Anastasakis & Vesna Bojicic-Dzelilovic

Balkan Regional Cooperation & European Integration

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Our fieldwork consisted of visits to the countries in the region in order to conduct interviews with key people from the world of politics, academia, business, media, NGOs and policy-making, on the one hand, and the dissemination of a relevant questionnaire to a wider sample of the local elites, on the other. We also benefited enormously from our participation in relevant conferences in Belgrade, Sarajevo, Sofia, Cluj and Forli.

Our aim was to bring forth the local approach to regional cooperation in the Balkans and for that purpose we met a large number of people in the region, engaging in very stimulating and frank conversations. We are grateful to all of these people who took the time to meet us and discuss their perceptions and attitudes on that issue and we wish we had more time to interview even more. The list of interviewees is attached at the end of this report. We are also grateful to all the other people who took the time to fill in the questionnaire, and to all those in various countries in the region who helped us with the organisation of our fieldwork and the dissemination of our questionnaire.

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Othon Anastasakis & Vesna Bojicic-Dzelilovic

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Executive Summary

The following report[1] discusses the nature of regional cooperation in South East Europe (SEE) and its relationship with the goal of European integration. Our emphasis is on the term of 'regional' or 'sub-regional cooperation' as a more flexible type of interaction, accommodating diverse groups of states, economies and cultures dominated by ideas of opening and promoting mutual interdependence. It refers to a broad process which allows many and different actors to engage in building networks of interdependence and common action.

Our main assumption is that regional cooperation in any given region is the outcome of the interplay between external/international factors and internal dynamics. The first refers to the extra-regional environment which favours and facilitates regional cooperation by a range of mechanisms and is particularly important in cases of conflictual, developing and aid dependent societies like those in SEE. The second refers to the existence of a consensus among local actors on the importance of regional cooperation, their willingness and ability to identify initiatives of common and mutual interest, which will translate to common projects. In the following report, we intend to emphasise the local approach to regional cooperation based on the perceptions of the domestic actors involved in the process of regional cooperation. Our fieldwork has focused on assessing perceptions and attitudes of the local elites based on questionnaires and interviews with a representative sample from Albania, Bosnia-Herzegovina (BiH), Bulgaria, Croatia, Former Yugoslav Republic of Macedonia, Romania and Federal Republic of Yugoslavia (Serbia, Montenegro and Kosovo).

The present report includes the following: (a) a short overview of the relevant literature on the main incentives and obstacles to regional cooperation in South East Europe; (b) a brief presentation of the EU policy of regional cooperation in the Balkans; (c) a

[1] Parts of this paper have been addressed and discussed in the context of the following international conferences: *South-Eastern Europe and EU Enlargement*, Babes-Bolyai University, Cluj, Romania, 16-18 September 2001; *Assessing Effects of Regional Initiatives in South Eastern Europe –Towards an Efficient Framework*, European Movement, Serbia, Belgrade 14-15 December 2001; *Developing New Policies of International Support-Lessons (Not) Learned in BiH*, Open Society Fund, Bosnia & Herzegovina, Sarajevo 9-10 February 2002; *Nationalism, Identity and Regional Cooperation: Compatibilities and Incompatibilities*, Institute for Central Europe and the Balkans, University of Bologna - Association for the Study of Nationalities, Forli 5-9 June 2002.

presentation of the results, analysis and assessment of the local approach, both regional and country by country. The findings are:

Incentives and Obstacles: From the perspective of regionalist theories, there are a few factors conducive to cooperation in South East Europe (common geography and immediate neighbourliness, previous communist experience, shared and regional issues, the current international climate). Yet, in reality, more than elsewhere in post-communist Europe, there are major obstacles to regional cooperation that offset the potential incentives. The lack of economic cohesiveness most evident in trade patterns, disappointing economic performances, the informal sector, as well as delayed democratic transition and ethnic nationalism have been seen as the major obstacles to the process of regional cooperation.

The EU factor: After a decade of an ill-defined policy in SEE, the EU is now more constructively involved with the region; it is more committed regarding the European integration of the countries in the region, better informed on the regional and local specificities and necessities and more focused in its developmental strategy in the Balkans. Yet, one of the main dilemmas facing the EU's policy in the South East European region is linked to the need to coordinate the bilateral with the multilateral approach, the national and the regional policies. The Stabilisation and Association Process, as a bilateral instrument of integration that covers the countries in the Western Balkan region, and the Stability Pact, as a regional multilateral tool for South East Europe, are directed towards two sets of countries that belong to the same region. The diversity in the EU's bilateral relations with the individual countries and the region's heterogeneity present serious challenges to the adoption of a regional strategy.

The local approach:

- There is a lack of a common understanding of the region; the notion of regionness varies from sector to sector and from country to country
- Regional cooperation is not given sufficient attention in the discourse and practical engagements of any of the elites segments. There is an interest in

economic cooperation, which is acceptable to all countries and most sectors, but how this can be deployed to address other areas in which cooperation could be beneficial is not clear.

- Geographic proximity and the regional nature of issues feature as the two factors mostly mentioned by the elites. Both of these factors reveal the objective necessity to overcome problems at a regional level but they do not suggest an active desire to associate with neighbours from a positive perspective. The external pressure does not figure prominently as a factor conducive to cooperation.
- Mistrust among neighbours and ethnic antagonisms do not appear to be particularly strong deterrents to better cooperation; instead, the lack of genuine political will and the structural and infrastructural difficulties are identified as the main obstacles to regional cooperation.
- There is a lack of knowledge regarding regional initiatives that influences the perception of their actual impact on the society, which is seen as marginal. The Stability Pact is the most widely known regional initiative but the assessment of its effectiveness and the results achieved so far, is overwhelmingly a negative one.
- Regional cooperation is primarily approached in the context of European integration rather than having a value of its own. The EU approach to regionalisation in this part of Europe has been seen as controversial. European integration and regional cooperation are two processes which are not well connected in the minds of the elites.

In sum, instead of a centripetal dynamic, a centrifugal one dominates and a pull-out effect that impedes regional cooperation; non-South East European regional initiatives seem more attractive to the local elites, who see Balkan regional cooperation as a threat to the goal of European integration.

I. INTRODUCTION

The post-1989 period has witnessed a resurgence of regionalism in international politics, marked by increased inter-state activity at regional levels. Regional or sub-regional groupings have gained an ever-increasing momentum as a way in which countries conduct or should conduct their external relations. This trend, labelled 'new regionalism', has been particularly evident in Europe, previously the main arena of bipolar competition, and has taken two forms. On the one hand, already established regional organisations such as the European Communities/European Union, the Council of Europe, NATO and the CSCE/OSCE have been significantly strengthened. On the other hand, new sub-regional arrangements have emerged in various geographical parts of Europe. What is more distinctive of the new regionalist agenda is its diverse and multi-dimensional character; it involves many actors and cooperation in the fields of high and low politics. For the most part, regionalism is interpreted as a naturally positive development which all the parties involved are expected to favour. In reality, however, it is not always a straightforward process despite the good intentions of those who support it.

One of the main current obstacles to new regionalism is the resurgence of nationalism in many parts of the globe following the end of the cold war. The Balkan region[2] is a typical area at the crossroads of those two conflicting post-cold war tendencies towards regionalism and nationalism, which can both, be viewed as a response to globalisation. Despite growing regionalist rhetoric, a significant number of regional initiatives and the common goal of EU membership as the main stimuli for good neighbourly conduct, the countries in the region have barely advanced their levels of cooperation and interdependence. Whether one is talking about trade, infrastructure, minorities, free movement of people, capital and services, as some of the key regional issues, the level of cooperation is modest at best.

The following report discusses the nature of regional cooperation in South East Europe (SEE) and its relationship with the goal of European integration. Our emphasis is on the

[2] The term Balkans will be used interchangeably with the term of South East Europe (SEE).

term of ‘regional’ or ‘sub-regional cooperation’ (and not ‘regionalism’ or ‘regional integration’) as a more flexible type of interaction, accommodating diverse groups of states, economies and cultures dominated by ideas of opening and promoting mutual interdependence (Cottey, 1999). It refers to a broad process which allows many and different actors to engage in building networks of interdependence and common action. It can include cross-country activities at bilateral or multilateral levels, which are conducted by governments, local authorities, civil society sectors and businesses. It involves interaction in the security, economic, political or cultural/educational spheres and accounts for the interrelationship between all those different levels. Regional cooperation is entrusted with contributing to greater economic prosperity through economic cooperation, and to democracy-building through political dialogue and contacts at the civil society level and can help build more cooperative attitudes and mentalities among governments and peoples alike.

Our main assumption is that regional cooperation in any given region is the outcome of the interplay between external/international factors and internal dynamics. The first refers to the extra-regional environment, which favours and facilitates regional cooperation by a range of mechanisms and is particularly important in cases of conflictual, developing and aid dependent societies like those in SEE. The second refers to the existence of a consensus among local actors on the importance of regional cooperation, their willingness and ability to identify initiatives of common and mutual interest, which will translate to common projects.

The current academic and policy-making debate on regional cooperation in SEE has concentrated on the role of the international factor as the main engine for carrying regional cooperation forward. Indeed, as will be discussed in the course of this paper, the dominant international actors engaged in SEE have been experimenting with alternative regional strategies and approaches which are not always consistent and have had limited or unsuccessful results. Moreover, as we shall see most of the analyses on regional cooperation are based on a normative and prescriptive approach, on what regional cooperation should be, rather than a more adjustable policy which aims at the removal of

obstacles. After all, removing obstacles to regional cooperation is in a nutshell what in practice regional cooperation is all about.

From our part, we intend to emphasise the local approach to regional cooperation based on the perceptions of the domestic actors involved in the process of regional cooperation, who will be referred to in this report as ‘local elites’. In the course of our research project, some crucial questions have guided our thinking. The first of these refers to the notion of 'regionness' and 'regional awareness' among local elites. We examined whether there is a common definition of the region of SEE among local elites or there are different conceptions among different countries and areas? On what criteria is the notion of ‘regionness’ based? What are the prevailing perceptions of the region in value terms i.e. the positive or negative perception of the region as a factor feeding directly into the integrative or fragmenting regional dynamic, accordingly? How do elites in the region perceive and assess the content of the actual and potential regional cooperation? Is there a clear political will to cooperate or are we faced with a “weakness of political will” (Gligorov, 2001)? And how do elites fit their regional prerogatives within the wider European framework and most notably the EU enlargement framework? This last point is particularly important given that regional cooperation in SEE is closely related to the EU enlargement process (Europe Agreements and the Stabilisation and Association Process), but how this relationship operates is far from clear. Comparisons with Central Europe and the Baltic region could be rather illuminating in that respect.

We firmly believe that understanding the local approach to the process of regional cooperation is very important and timely, for two reasons; first, the process of regional cooperation in SEE has been almost exclusively driven and imposed from abroad with insufficient or insignificant contribution from the local actors who are the key players if this process is to succeed; second, there is currently a talk in the region of 'partnership' between the SEE countries and the international community in defining, adopting and implementing regional projects, and the need for regional schemes that originate from within the region, as a necessary precondition for an effective framework of international assistance to the region. After all, the decision to engage in regional cooperation in a

constructive manner, ultimately, rests on the willingness of the local elites to identify common and mutual interests and, with the outside help, translate them into workable initiatives with practical and beneficial results.

Our fieldwork has focused on assessing perceptions and attitudes of the local elites in a number of counties selected for study. We have concentrated on Albania, Bosnia-Herzegovina (BiH), Bulgaria, Croatia, Former Yugoslav Republic of Macedonia, Romania and Federal Republic of Yugoslavia (Serbia, Montenegro and Kosovo). These countries have been chosen as the core countries of the Balkan region as they are all post-communist transition countries, significantly affected, in one way or another, by developments in the region of SEE and are the foci of the recent regional initiatives. The fieldwork has been based on two methods. First, a series of interviews and discussions have been conducted with a number of people from the world of politics, academia, civil society, journalism and business, based on their area of expertise and their actual experience. Second, a common questionnaire has been disseminated to a wider sample of local elites in all of the above-mentioned countries in the region. Our research and fieldwork have been organised around the following headings:

- what is the perception of the region and how is the region defined?
- what is the content (actual and potential) of regional cooperation?
- what are the incentives and obstacles to regional cooperation?
- how are the major regional initiatives being assessed?
- how is regional cooperation viewed in relation to the goal of European integration?

In this paper we examine the following topics. First, based on a brief overview of the relevant literature, there is an introductory analysis on what are perceived to be the main incentives, and obstacles to cooperation in SEE. Second, we examine the assumptions and regional policies of the international community with special emphasis on the role of the European Union, as the main external player in the region. Third, we make some useful references and comparisons with similar regional groupings in Central Europe and the Baltic area. Fourth, based on the findings of our fieldwork on the views of the local

elites, we analyse, compare and assess the local/South East European approach. Finally, we conclude with some of the key findings on the sustainability of regional cooperation and its complementarity with the goal of European integration.

II. COOPERATION IN THE BALKANS: INCENTIVES AND OBSTACLES

Incentives to Cooperation in the Balkans

Many factors can contribute to cooperation in any given region. These include: geography and physical proximity; common history and heritage; cultural and social cohesiveness in terms of ethnicity, race, religion or popular culture; economic cohesiveness in terms of trade patterns and economic complementarity; common membership in international organisations or common goals to join the same international organisations; external pressures from influential states and international organisations; common and regional issues and problems; an economic relationship with a legal framework; the need to create a security regime in an area of potential instability and conflict. Several or all of these factors, may, at one point or another, contribute to more advanced forms of cooperation.

Historically, the most important incentive to cooperation in SEE has been the creation of a security regime in an area of conflict and fragmentation. In the past, various attempts to create cooperation schemes usually occurred after periods of war and conflict. The kingdom of Croats, Serbs and Slovenes in 1918 and, subsequently, the Socialist Federal Republic of Yugoslavia have been the most significant attempts to create a political and economic union against fragmentation and conflict. In the 1930s, the Balkan Conferences focused on cooperation in low politics issues, comprising political, economic, cultural and other social matters, including minority and border issues in the wider region. The more ambitious Balkan Pact, however, failed to materialise due to wider divisions of major European powers, which absorbed the countries of SEE. In the 1950s, there were some timid initiatives to create a Balkan Nuclear Weapons-Free Zone aiming at a regional disarmament Treaty which failed once again due to the predominant influence of

Cold War considerations. In the 1970s and 1980s, further efforts concentrated on cooperation on low politics issues, culminating in the First Conference of Foreign Ministers of Balkan countries in Belgrade in 1988 (Lopandic, 2001). All in all, there has been some tradition of regional ambitions in SEE, albeit with very limited success, based on the recognised need from the part of the governments for cooperation at various levels. During the post-cold war period, the countries in SEE have manifested their will to revive their cooperation in the South East Europe Cooperation Process (SEECP), stressing the need for good neighbourliness, and multilateral cooperation in political, economic, humanitarian, justice and internal affairs.

Common geography and immediate neighbourliness are the first and most obvious factors conducive to cross-border cooperation in SEE. Moreover, most of the Balkan countries share some common historical experiences such as the Ottoman conquest, which bequeathed to the region a cultural cohesiveness reflected most notably in a common popular culture (Todorova, 1997). The more recent communist experience had a common impact in the political culture and economic structures of Balkan countries, which today face similar developmental and transition features. This enables governments and peoples in the region to understand each other better and appreciate each other's needs and interests.

The existence of regional issues and shared problems derived from the transition, under-development and the lack of security in the region is recognised as a major factor stimulating cooperation. Regional issues are understood as those which require collective and multilateral action by some or all the states in the region in order to achieve benefits which cannot be attained by individual states acting in isolation (East West, 2001). As such, the development of regional infrastructure related to transportation, energy and communications networks, appear as major regional incentives to cooperation and convergence. Following the wars in Croatia, Bosnia, Kosovo and FYR Macedonia, post-war reconstruction has added an additional dimension to the shared needs of the region. Security problems and externalities triggered by the wars such as crime, corruption,

illegal immigration and cross-border environmental damages are considered regional in character and are, therefore, being addressed in a regional context.

The current international climate of new regionalism is highly conducive to regional cooperation, a trend that current local actors cannot ignore. Many countries in the region have become members of various new regional European groupings like the Black Sea Economic Cooperation (BSEC), the Central European Initiative (CEI), the Central European Free Trade Area (CEFTA), the Adriatic-Ionian Initiative (AII) or the Danube Commission. More important, their shared will to become members of influential organisations such as the EU, NATO, OSCE or the Council of Europe denotes common political interests and similar attitudes towards the international environment. Moreover, the external pressure for regional cooperation, in the form of conditionality, acts as an additional impetus for cooperation among SEE countries. Especially, following the end of the Kosovo war, regionality as a designated international policy towards SEE has been promoted through the Stability Pact and the Stabilisation and Association Process. The European Union, in particular, is promoting sub-regional cooperation in the Balkans as a means of preparing states in the region for future accession. Other international organisations, including international financial institutions, have become involved in the regional strategy for the Balkans and are primarily concerned with infrastructure development, economic restructuring and boosting the private sector.

Obstacles to Cooperation in the Balkans

While there are in principle several factors conducive to cooperation, in actual fact regional cooperation in SEE has been hampered by serious obstacles, linked to geographic proximity and contested borders, history, external influences or developmental features. For a start the region's historical past has incorporated influences from both the Habsburg and the Ottoman empires. This resulted in divisions between the Orthodox and the Catholic and between Christendom and Islam. The most recent socialist experience has also been different in the various Balkan countries. Yugoslavia through its self-management and federalist system pursued a more open and pluralist development;

Albania adopted an over-centralised, autarchic and isolationist strategy; Bulgaria and Romania practised an austere variant of a Soviet-style communism, albeit with significant national differences. The Balkans as a defined geographical space encompassing contemporary Albania, Bulgaria, Romania and former Yugoslavia have never been a homogeneous economic and political entity. Heterogeneity grew wider with the post-communist fragmentation of former Yugoslavia and the creation of more competitive small states, fighting over borders and national identities. Further to competitive ethnic pressures, there is a lack of economic cohesiveness, which is more evident in trade patterns, or the economic orientations of the countries in the region. Moreover, political characteristics internal to states such as illiberal or inadequate democracies, ethnic nationalism, retarded state- and nation-building in the former Yugoslav space and over-centralised or even weak states have been identified as serious impediments to the development of cooperation.

Economic obstacles

Economic cohesiveness refers to trade interdependence and structural complementarity. Nowhere is the lack of economic cohesiveness more apparent in the Balkans than in the insignificant levels of intra-regional trade. Prior to 1989, little trade existed among Balkan countries, except for economic links within Yugoslavia.[3] According to World Bank estimates for 1999, only 12% to 14% of total Balkan trade was intra-regional (World Bank, 2000). SEE countries, therefore, have very low levels of intra-regional trade compared to other regions in Europe and trade with the EU typically accounts for more than 50% of Balkan countries' exports.

In addition, although in the post-Cold War era a complex web of bilateral trade agreements has emerged among many Balkan countries granting mutual concessions of Most Favoured Nation (MNF) treatment and Free Trade Agreements (FTAs), the effects on intra-regional trade have been not significant. None of these agreements have been multilateralised yet, involving different sets of preferences according to product and

[3] During the Cold War, only 6% of total Balkan trade was intra-regional and was arranged mainly in the form of barter. Yugoslavia was relatively integrated, but the rest of the region had weak mutual trade links (Uvalic, 2000).

trading partner. Although trade agreements have been signed among most of the countries in the region,[4] the actual effect on intra-regional trade flows has not been significant as firms lack the capacity to respond to a more beneficial trade regime. Moreover, the existence of free trade regimes do not always reveal the real extent of trade and do not account for the full range of barriers to trade. Trade liberalisation is incomplete, trade relations discriminatory and facing various institutional limitations, such as unreformed customs services or poor and underdeveloped infrastructure (World Bank, 2000). Hence, despite a gradual normalisation of trade relations, the region still abounds in tariff and non-tariff barriers, which sap growth and production, distort economies and patterns of bilateral preference.

One of the major reasons for insignificant levels of trade in SEE is related to the structure of trade and lack of complementarity. The economic structures of Balkan countries are quite similar leaving little room for trade opportunities based on structural complementarity (World Bank, 2000). Balkan countries produce similar products; hence an expansion of inter-industry trade, that is to say trade between different products, has limited potential.[5] Moreover, although Balkan economies are geographically proximate, their markets are small in size - a fact which implies limited gains from economies of scale. A stimulus from intra-regional trade is therefore smaller than one provided by closer integration with the EU. Similarly, that Balkan economies are very open, namely trade percentages in countries' GDP are generally high, implies that they are further pushed into inter-regional trade with the EU (Petrakos, 2000).[6]

However, despite the above limitations, intra-regional trade in the Balkans today is higher than usually concluded on the basis of unsatisfactory statistics which do not take into account illegal trade. Similar to the pre-1989 period, intra-regional trade is still mostly Yugoslav trade, and is shaped by ethnic borders such as trade flows between the Croat-

[4] FYR Macedonia, for example, has signed FTAs with Bosnia-Herzegovina, FRYugoslavia, Bulgaria, Turkey, Slovenia and Croatia. Croatia has FTAs with Slovenia and FYR Macedonia and others under negotiation with Albania, Bulgaria and Romania. Albania is negotiating FTAs with Croatia and FYR Macedonia.

[5] The assumption, however, that complementarity is conducive to integration has been questioned by analysts, given that economic integration in Europe has not taken place on the basis of comparative advantage.

[6] According to World Bank estimates, trade/GDP ratios in 1998 vary from 91% for FYR Macedonia and Bulgaria, 83% for Bosnia-Herzegovina, 61% for Croatia, 58% for Romania to 40% and 34% for FR Yugoslavia and Albania respectively (World Bank, 2000).

dominated areas of BiH and Croatia or Republika Srpska and FR Yugoslavia (Messerlin, 1999). Moreover, the wealth generating potential of these activities are considerable as shown by the fact that Croatia and Bosnia-Herzegovina reported a doubling of trade since reopening borders and introducing near free exchange (CARDS, 2001).

Economic barriers to cooperation are largely related to the combination of delayed post-communist transition and the consecutive wars, which have kept the region's economic output at 20% below its 1989 level. Although structurally diverse, Balkan countries face similar macroeconomic disequilibria, which have contributed to the lack of growth. These include large trade and current account deficits, high unemployment rates and unsustainable fiscal deficits. They also share some common micro-economic characteristics such as protracted process of de-industrialisation, incomplete privatisation and inadequate enterprise restructuring (Gligorov et al, 1999).

In general, the economic performance of Balkan countries in the last 10 years has been worse than that of Central and Eastern Europe, despite the fact that most of them started off with similar levels of developments. The wars in former Yugoslavia and policy failures have been significant factors that contributed to this developmental lag. Political instability and conflict contributed to an uncertain business environment, disrupted trade through the UN sanctions on Yugoslavia and brought about the destruction of heavy industrial capacity and infrastructure. In many countries, however, policy makers, reluctant to break with re-distributive policies of the past, also mishandled transition. Vested interests of Balkan *nomenklaturas* and bureaucratic interference in Balkan economies in particular hampered the development of a strong private sector (Dobrinsky, 2000), one of the main pillars for regional cooperation and business expansion across borders.

The difficulties associated with the transition process coupled with the effects of war and sanctions in the region have resulted in a rapid expansion of the informal sector. Transitional recession, deeper and of longer duration than in Central Europe, has had a lasting effect on the formal economy, which has failed to re-bounce strongly and in some

of the countries e.g. Albania and Bosnia- Herzegovina is overshadowed by the informal activity. Informalisation of economic activity has been closely related to corruption, which has become a structural feature in these societies. Furthermore, corruption has enabled organised crime to flourish; the region's geography along some of the traditional transnational crime routes for the trafficking of drugs, people and arms has been favourable to tapping into international criminal networks. Geographic proximity, the existence of many borders and massive displacement of population have all conspired to facilitate intense regional cooperation in informal and largely criminalized economic activities. There is growing evidence of cooperation of criminal networks involving highly positioned government officials. The informal sector has become a major impediment to the consolidation of fragile economic and political institutions and one of the main obstacles to the normalization of relations among the countries in the region.

In the last few years, however, the reforms have taken a steadier course, focusing on privatisation and corporate restructuring, especially in countries like Bulgaria, Croatia or FR Yugoslavia. A few positive signs have also been recorded lately in some macroeconomic indicators such as GDP growth, inflation, current account and fiscal deficits (CARDS, 2001).

Political Obstacles

Cooperation in the Balkans is also hampered by political factors internal to states. The establishment of illiberal democracies in the region is one of these factors. According to the 'democratic peace' thesis, constitutional liberalism has peace inducing qualities and helps promote cooperation between states (Owen, 1994). In SEE, although transition from authoritarian rule to democracy has been initiated, democratisation is still at an early stage and distant from constitutional liberalism. The early 1990s failed to bring about a significant change in regimes in the Balkans and old communist *nomenklaturas* remained in power. In Albania, Bulgaria and Yugoslavia, for example, it was not nascent parties or forces of civil society which played a key role in dislodging communism as in Central Europe but elements from within the ruling elites guided by their own instinct of survival.

Multi-party systems and free elections have been established but have been often used to fuel nationalism and ethnic cleavages. In fact, post-communist elections often provided a mechanism for legitimising extremist politicians who contributed to instability in the region (Agh, 1998). The nationalist leaderships of Croatia and FR Yugoslavia managed to remain in power for long, by feeding the nationalist sentiment through a series of wars, by owning the most important national resources, by controlling information and the media or by keeping the opposition divided.

Nevertheless, despite a delay in democratisation, one can discern the gradual transition to democracy in most Balkan countries starting in the second half of the 1990s and the emergence of more moderate forces in power structures. The years 1996-1997 saw a change of regimes in Albania, Bulgaria and Romania whereas 1999-2000 witnessed the fall of the two strong men of the Western Balkans, Tujdman and Milosevic in Croatia and Serbia respectively. These changes primarily resulted from popular mobilisation against prolonged socio-economic crises in all countries. Liberal democracy, however, is still a distant goal in the region as is manifested by the absence of rule of law, under-developed labour movements, the lack of independent media and weak civil societies. In view of these common trends, it should be argued that the different countries of the region have achieved different levels of democratisation with more advanced cases those of Bulgaria, Romania and Croatia, more fragile those of FYR Macedonia and Albania while territories such as BiH or Kosovo have democracies imported and closely monitored from abroad.

The pathology of polities and societies in all Balkan countries is more often connected with the lack or limited ‘social’, ‘human’ and ‘institutional’ capital, all three important prerequisites for the development of regional cooperation among sustainable peaceful and democratic countries. The value of social capital rests in its ability to establish trust and to foster cooperation among actors, both at the national and cross-national levels. One significant aspect of the social capital in the region of SEE refers to the low level of trust in political parties, trade unions or independent social movements, all of these important agents of regional cooperation. The value of human capital rests on the building of human knowledge and capacity, to modernise and bring the countries closer together and

integrate them within the EU. Due to consecutive wars and a deteriorating economic situation, human resources, especially in the former Yugoslav region, have substantially diminished, thus impeding the ability to adopt and implement policies that can build a sustainable regional dynamic. Finally, the value of the institutional capital rests on its ability to create the appropriate framework, which will attract financial investment and aid from the West, and will allow for deeper bilateral or multilateral relationships among neighbours. The lack of the rule of law is identified as one of the main weaknesses of the current transition in SEE and is manifested in the poor quality of the existing legislation and the judicial systems; even when appropriate institutional and legal frameworks are designed they are poorly enforced. The expansion of the unofficial economy and parallel authorities is due to the poor institutional performance.

'Ethnic' nationalism is regarded as the main obstacle to cooperation in the Balkans. Balkan states and societies that emerged from communism are mainly defined in terms of ethnic identities. The ethnic conception of the nation excludes all those who are not members of dominant groups and relegates them to second-class citizens. Balkan constitutions, for example, elevate a majority ethnic group, reinforcing the ethnic idea of the nation-state. Minorities are still discriminated against and are often excluded from full participation in education or accessing public services. Another manifestation of ethnic nationalism in the post-Cold war era is through the administration of states which are strongly centralised and regionalisation is denied by most Balkan governments. Fear of minorities' claims is so strong, that leaders prefer to deny autonomous local government to the whole population rather than guarantee similar rights to those not part of the majority (Sfikas & Williams, 1999). This has a special toll on the development of cross-border cooperation because it disables border regions from cooperating with each other, due to over centralised or authoritarian state structures. In states with weak central authorities such as Bosnia-Herzegovina, on the other hand, the opposite trend is in effect whereby the Croat populated areas have developed strong regional links with Croatia, or the entity of Republika Srpska with Serbia. Yet, the poor level of interaction between Albania and Kosovo shows that there is no consistent pattern in the cooperation of ethnically homogeneous regional communities. In the Balkans, ethnic nationalism is

destabilising because minorities in one country are majorities in a neighbouring state. Discrimination, therefore, perpetuates insecurity and mutual suspicion among neighbouring countries. Moreover, feeling excluded from political processes, minorities often believe armed conflict and secession the most effective means of satisfying their political demands. Goals of secession and separatism were primarily expressed in former Yugoslavia through ethno-national mobilisation leading to tragic violence.

Authoritarian elites with communist affiliations, extremist politics, ethnic nationalism, insufficient rule of law and lack of trust have been identified as the major obstacles to regional cooperation in the Balkans by most academic and policy-making analyses. According to Susan Woodward, all this is related to delayed state-making and nation-building in the former Yugoslav space, further complicated by the simultaneous democratisation of the successor states.[7] Slovenia is the only post-Yugoslav successor state where these processes are complete since it does not have a significant ethnic minority in its territory and nation-building has been achieved. All other Yugoslav republics are still divided over questions of national identity and the proper borders of their newly founded nation-states (Woodward, 2001). In Croatia, the definition of borders is still unclear. Bosnia-Herzegovina and Kosovo are international protectorates which confront similar institutional problems created by the Dayton and Rambouillet Agreements, namely how to aggregate preferences in order to create viable states. Finally, the unity of FYR Macedonia and FR Yugoslavia has been challenged, the first by Albanian and the second by Albanian and Montenegrin separatism. All in all, the region of SEE is diversified and composed by a variety of countries and governmental authorities i.e. territorially defined states versus undefined national territories; centralised state structures versus weak central authorities; independent countries versus international protectorates. Such a regional context limits the capacity of its actors to define regional objectives and pursue regional cooperation, while at the same time leaves ample space for international intervention.

[7] State-making and nation-building are two overlapping processes, the former implying the creation and maintenance of a political unit, the latter the creation of a national identity for citizens to identify with the state.

III. THE EXTERNAL APPROACH; EU AND REGIONAL INITIATIVES

The problematic nature of political and economic transition and the sequence of crises and wars in the former Yugoslav area and their negative effects on the region as a whole, have convinced the international community that there is a need for a regional approach and a multilateral strategy to complement the bilateral relations of these countries with the various international organisations, more so than in any other region of Europe. The international community has been a) advocating the goal of regional cooperation b) pressing the countries in the region to cooperate with each other and c) promoting regional initiatives. As a result, SEE countries have witnessed a significant number of regional approaches and initiatives, aiming at ambitious political, economic and security goals and the reconstruction of the region, inspired by external actors. The following part discusses the way the EU - the most influential external factor, in terms of economic, political and security presence in the region[8]- has been projecting regional cooperation in SEE, by focusing on the main assumptions, a short description of regional policies and a brief assessment.

External assumptions

There are five main arguments adopted in favour of a policy of regional cooperation as the most effective means of creating a peaceful environment and integrating the Balkans within the EU:

a) the prescriptive argument
b) the 'new regionalist' argument
c) the 'strategic' argument
d) the EU internal argument
e) the Southeast regional argument

[8] The EU is the largest assistance donor to the SEE countries through a variety of aid programmes –PHARE, OBNOVA, CARDS, pre-accession aid. It also keeps 80% of the total military force and a large component of civilian force along other international partners.

a) The prescriptive argument is based on the positive outcomes of regional interdependence and functional cooperation. The European Communities/Union stands out as the most successful empirical case of regional integration, which led to the establishment of a sustainable security regime in Western Europe through the means of economic and to a degree political integration. Its experience illustrates how regional cooperation based, initially, on economic forces, material interests and concrete aims can help overcome not only economic but most important political and security divisions. Although the EU is not projecting its own model of institutionalised integration to be emulated as such in the Balkan region, it is, however, providing an example of how interdependence and economic cooperation based on common interests such as the regional development of trade, investment, environment and common infrastructure can act as catalysts for the development of a more prosperous and secure region. This belief is reflected in the latest EU CARDS Regional Strategy Paper where it is stated that: "*The regional cooperation model is essentially an extension of the EU's own philosophy that deeper cooperation with neighbouring countries is a route to national as well as regional stability and growth and that such cooperation serves the mutual interests of all countries involved*" (Commission, 2001)

b) The second argument reflects the 'new regionalist' thinking which advocates multilateral cooperation across a wider range of countries and issues within the current process of globalisation of the international system and a widespread transition to democracy and market economy. (Hurrell, 1997) Indeed, the 1990s have witnessed the emergence of regional sub-groupings from the Baltic Sea to the Black Sea, based on common geographical space and proximity. The Central European Initiative (CEI) in 1989, the Visegrad Group in 1991, the Council of the Baltic Sea States and the Black Sea Economic Cooperation (BSEC) in 1992, the Central European Free Trade Area (CEFTA) in 1993 have been among the most prominent European sub-regional groupings established as a result of the post-communist transition. By allowing their members to engage in various forms of intensive cooperation, mostly on low politics issues, they aimed at contributing to security and confidence-building among neighbouring states. The Visegrad group can be considered a quite successful regional initiative, at least in its

initial stages, in that it managed, to build confidence among the countries in Central Europe and to strengthen their diplomatic position vis-à-vis the West and the former Soviet Union. (Cottey, 1999) Similarly, the Council of the Baltic Sea States has managed to bring together countries of different histories, politics and sizes around the common interest of a sea basin, focusing on cooperation in the fields of democratisation, trade, environment and infrastructure (see following chapter). The Balkan region, as a conflict prone area represents a test case for the success of the 'new regionalist' thinking', being adopted in an area where the circumstances appear to be more controversial and less favourable for the development of regional cooperation.

c) The third argument reflects the strategic thinking (both in political and economic terms) from the part of the international community with respect to post-communist changes in Central and Eastern Europe. The security of Central European countries –a region situated between Western Europe and the former Soviet Union- has been from the start a major preoccupation of western countries, a fact which was clearly reflected in NATO's policy to incorporate first the countries of Central Europe –Poland Hungary and the Czech Republic. In contrast, the strategic significance of former Yugoslavia as a non-aligned country during the cold war period, diminished significantly with the end of the bipolar divisions. In term of strategic economic significance, the markets of Central Europe were much more important for western investors which was reflected in the extent of FDI directed towards Poland, Hungary and the Czech Republic, compared with that in the countries of SEE. With a total regional GDP of around US $100 billion (less than that of Greece alone) and a GDP per capita of only US $1600, one can clearly SEE the minimal economic weight of the region in the European economy. Over the period 1989-2000, the region received just over US $300 per capita of FDI compared with about US $1200 in Central Europe and the Baltic countries. (World Bank-IMF, 2001) What has also been noticeable is that each region has had its supporting states, based mostly on reasons of geographic proximity, economic and security influence and interests. As such, Germany and Austria have placed a greater emphasis on the integration of Central European countries in the EU and the Scandinavian on the Baltic countries. The strategic thinking has been to some extent evident in SEE whereby the individual Balkan countries

have had different levels of support from individual western countries. In one way or another, the US was the main influence in BiH and Kosovo, Germany contributed to the independence of Croatia and Slovenia, Greece developed strong relations with Serbia, France has been a traditional supporter of Romania and Italy showed an increased interest in developments in Albania. This strategic thinking from the part of the western countries weakened the unity of the EU, affected the efficiency of its common foreign and security policy and impeded the development of a consistent regional approach.

d) The fourth argument is based on the EU's own needs and reflects its internal anxieties with the integration of a large number of former communist countries in the European Union. Faced with a massive wave of democratisation and market reform, the EU feared from the initial stages of post-communist transition that the simultaneous incorporation into the EU of all eastern countries could potentially affect the unity and achievements of the EC/EU. It is critical to remember that when the EU was negotiating Association or other agreements with the East European countries, during the early 1990s, it was also undergoing, a comprehensive internal transformation marked by the goal of Economic and Monetary Union and the development of a hybrid political union around the CFSP and Justice and Home Affairs. Moreover, institutional anxieties and financial worries have dominated the EU approach towards Eastern enlargement. The development of sub-regional cooperation was therefore perceived –but never explicitly stated- as a way to facilitate the integration of a large number of eastern countries. Hence, the EU embarked from the beginning on a policy of regional differentiation and gradual convergence to manage the pace of closer economic association and eventual incorporation of Eastern Europe. It declared the countries of Central Europe -Poland, Hungary and Czech Republic- more committed to democratisation and economic reform and thus better equipped for closer integration (which was also consistent with its strategic thinking). As a result, post-communist Eastern Europe was divided into sub-regions with specific characteristics and particular transition developments. The EU has been effectively dealing in many ways with countries belonging to the sub-regions of Central Europe, the Baltic countries, the post-Soviet republics (CIS) and the Balkans. The Balkan region has been further divided between the EU candidate countries Bulgaria and Romania, and the

'Western Balkans' -former Yugoslav Republics plus Albania minus Slovenia. Although the division between East European sub-regional groupings has never been clear-cut and explicit, each region, in the eyes of the EU and the wider international community, appears to have its own logic of existence and some common political, economic and security regional characteristics.

e) Finally, the Southeast regional argument is based on how the EU (and the wider international community) perceives the regional specificities and necessities in the region of SEE. A central conviction in the Stability Pact or the CARDS financial framework is that the issues and problems -economic, political and security- in SEE cannot be resolved on a national basis or through bilateral policy alone. They are regional in character and therefore require additional regional measures. As such, the issues of intra-regional trade, infrastructure, energy, telecommunications and banking are *par excellence* regional issues and can be approached more effectively from a multilateral perspective. The issues of human rights, corruption or the protection of minorities can also be tackled multilaterally and through cooperation among regional actors. Security, or the lack of it, is perceived as a predominantly regional problem not in its strict military sense but including the combat against cross-border informal networks or dealing with the growing number of refugees and illegal immigrants. The international community is convinced that the efforts by each country to reach the standards required by the European Union and other European organisations are also constrained by regional problems. Cooperation between states in improving security and stability in the region and pursuing common objectives is believed to help boost the efforts of individual states to integrate with Europe.

For that, the EU has placed a strict conditionality on Southeast European regional cooperation, without which it is denying the deepening of bilateral relations. The EU approach is based on the belief that Southeast European countries wishing to build ties with the European Union must first prove their readiness to cooperate with their neighbours. In its first Annual Report on the Stabilisation and Association Process, the European Commission states explicitly: "*integration with the EU is only possible if future*

members can demonstrate that they are willing and able to interact with their neighbours as EU Member States do" (Commission, 2002)

EU policy in South East Europe

1989 - mid-1990s: The origins of a differentiated approach

The first period between 1989 until the mid-1990s was marked by the lack of a Community regional policy and the institutionalisation of a varied and differentiated EC/EU approach[9]. At the bilateral level, the EU employed a variety of instruments in SEE. It included Bulgaria (1990), Romania (1991) and Slovenia (1992) in its financial assistance programmes and signed Europe Agreements with Bulgaria and Romania in 1993 and with Slovenia in 1996. It developed bilateral relations with Albania in 1992 through the signing of a Trade and Cooperation Agreement and the granting of PHARE assistance. With respect to the remaining breakaway republics of Yugoslavia, the EU focused mostly on crisis management, reflecting the countries' emergency needs at the time; as for the bilateral framework with the individual countries of former Yugoslavia, this was marked by further differentiation. Yugoslavia's trade preferential regime was substituted by sanctions, embargoes and bans; the first sanctions towards SFR Yugoslavia (ban on arms exports) were introduced in July 1991 and economic sanctions against Serbia and Montenegro in October 1991. (Lopandic, 2001) Having suffered the negative effects of the Greek embargo, FYR Macedonia was included in the PHARE programme in 1995 and signed a Trade and Cooperation agreement with the EU in 1996. Bosnia-Herzegovina signed autonomous trade measures and received financial assistance aiming at reconstruction, institution-building and refugee return, as a result of the extensive physical and human damage. Croatia was only eligible for trade measures; its PHARE assistance was adopted at the beginning of 1995 and suspended in August of the same

[9] This has a lot to do with the fact that the European Communities were faced from the start with a diverse region consisting of countries with different previous developments and external relations. At one end, former Yugoslavia by virtue of its more open political and economic system was the more advanced compared with all the other Southeast European socialist countries, the only country to have concluded cooperation agreement with the EC since 1980 (Uvalic, 2000). At the other end, Albania with an over-centralised, and autarchic economy was by far the poorest and the most isolated internationally. Bulgaria and Romania were more classical cases of post-communist transition previously COMECON countries and members of the Warsaw Pact. The disintegration of Yugoslavia and the subsequent creation of more states exacerbated the region's heterogeneity, it perplexed and diversified international policy in the area.

year due to events in Krajina. By and large, financial assistance through PHARE was rather limited for the Western Balkan region while most of it went for humanitarian purposes and the support of the peace process. (COM (95) 581 final 1995).

Mid-1990s - 1999: The introduction of the first regional schemes and the EU Regional Approach

The mid-1990s saw the first regional initiatives focusing on the strictly speaking SE European sub-region, as a result of the war in Bosnia and the Dayton Accord. The EU-inspired Royaumont Process for Stability and Good Neighbourliness in Southeast Europe launched in 1996 aimed at civil society projects and a multilateral dialogue between journalists, academics, trade unionists, NGOs and parliamentarians. Before its incorporation in the Stability Pact, the Royaumont Process concentrated on the strengthening of inter-parliamentary activities, the organisation of seminars and conferences and NGO meetings but its actual impact has been rather limited. The Southeast European Cooperative Initiative (SECI), the only US initiative, was launched in 1996 concentrating exclusively on economic cooperation and reconstruction of the region, through mostly private funding, in the fields of infrastructure, trade, transport, energy, environment and private sector development, avoiding issues of political, social and ethnic nature and the overlapping the other existing political and security initiatives. SECI has scored better than the Royaumont as it has been more focused and has produced some practical achievements in issues like cross-border crossing or the fight against trans-border crime. The South East European Cooperation Process (SEECP), the only initiative generated from within the region, has focused on political cooperation and political dialogue, covering a wide range of issues from security, economic cooperation, humanitarian, social and cultural cooperation and cooperation in the fields of justice and home affairs. It is intergovernmental in nature and although it is non-binding and informal, SEECP provides a forum for discussion where common positions and joint declarations can be taken, at the level of political elites. Its practical impact has not been very significant as it operates mostly at a rather vague and generalised level of declarations.

While the EU has been from the start supportive, politically and financially, of such regional schemes it was also from the early stages aware of their limits and difficulties.[10] The first EU attempt to present its own regional policy came with the Regional Approach towards the four successor countries of former Yugoslavia plus Albania - the 'Western Balkans'- aimed at the implementation of the Dayton and the Paris Peace Agreements, advocating political and economic cooperation among these countries, the establishment of good neighbourly relations regarding the free movement of goods, services and people and the development of projects of common interest. [(COM (96), 476] This Regional Approach was accompanied by a detailed and explicit political and economic conditionality, compliance with which allowed for the development of bilateral relations with the Western Balkan countries in the fields of trade, financial assistance, economic cooperation as well as contractual relations. However, a long list of conditions on democratic principles, human rights, the rule of law, economic reform, regional cooperation and additional compliance with obligations under the peace treaties made it even more difficult for aid and agreements to come through.

As a result during the period 1997-1999 until the Kosovo war, little or no progress was recorded in the development of deeper bilateral relations with the Western Balkan countries, based on a close monitoring of conditionality by the European Commission. (PRES/98/369/9.12.98) BiH remained with trade measures and PHARE assistance but not a Trade and Cooperation Agreement; Croatia continued to be excluded from PHARE funding and from negotiations for a Trade and Cooperation Agreement; and FR Yugoslavia was excluded from most assistance programmes, regional initiatives and trade preferences - an exclusionary EU policy designed to punish political misbehaviour. At the same time, the EU engaged considerable resources for the reconstruction of Bosnia-Herzegovina in the period 1996-1999. Overall, the 1990s EU approach in SEE was characterised by a great diversity of EU bilateral relations in the Balkans with Bulgaria, Romania and Slovenia in the context of the pre-accession strategy, on the one

[10] An early assessment recognised the main obstacles of regional cooperation in the slow progress of political and economic stability, the persistence of bilateral inter-ethnic disputes, the problems with borders and minorities, the precarious economic conditions and a certain degree of overlapping or lack of coordination among the various initiatives. (COM (97) 659 final)

hand, and the Western Balkan countries in the context of the Regional Approach, on the other. Financial aid was mostly directed towards humanitarian issues (ECHO) and reconstruction needs.[11] During the same period, the EU was involved in the Western Balkans through its EC Monitoring Mission (ECMM) and its Special Representatives in BiH.

Post-1999 period: The Stability Pact and the Stabilisation and Association Process

The war in Kosovo generated the first critical self-assessment from the part of the EU and the wider international community on the shortcomings of their previous policies, as well as a discussion on the reconstruction and development of the region. The new international approach was marked by a) the re-organisation of the regional policies, b) the offer of a more committed and long-term bilateral framework of relations with the EU, c) the unification of financial assistance to the Western Balkan region and d) a more balanced application of positive and negative conditionality. This new framework, a considerable 'carrot' in the region has been based on the regional Stability Pact for South East Europe, the bilateral Stabilisation and Association Process, the financial programme for Assistance, Reconstruction, Development and Stabilisation (CARDS) and the accession strategy for Bulgaria and Romania.

Following its launch and its high political profile in Sarajevo in July 1999, the Stability Pact was broad in composition and high in expectations and declarations. As a regional tool for the reconstruction of SEE, the Stability Pact appeared as an ambitious framework aiming to act as a stimulus and project coordinator for reform and reconstruction. It was presented as a forum for its members (participant countries from the Balkans, western donor countries and other facilitator countries, international organisations, international financial institutions and other regional initiatives in SEE) to identify measures and projects in the fields of democracy and human rights, economic reconstruction and development, defence, security and internal affairs.[12] The Stability Pact has adopted a

[11] According to European Commission figures the overall EU assistance to the Western Balkan countries during the period 1991-2000 is estimated around 6 million euros.
[12] The Stability Pact is organised around the Regional Round Table which gives guidelines and holds a supervisory role and three

holistic regional approach that addresses security, democracy and economic reform. Its value rests on its premise to combine the governmental with the non-governmental and the local levels and engage them in cooperation on a very extended array of issues. At the first regional conference in March 2000, donors pledged 2.4 billion euros and a Quick Start package of regional projects and initiatives was decided. The overwhelming majority of funds went to infrastructure and the rest to security and civil society programmes. The focus of the second regional conference in October 2001 was on long-term development based on infrastructure sectors -transport, air traffic, energy, water- support for the private sector development in the fields of trade, SME and banking as well as refugee issues, commitments that amount to more than 3 billion euros.

In addition to the regional and multilateral Stability Pact (which was EU inspired but involved the wider international community), the most important contribution of the EU has been the Stabilisation and Association Process. The latter process offers new contractual bilateral relationships and financial assistance for each individual country and introduces the status of a 'potential candidate for EU membership' to the Western Balkan countries with a long-term prospect of accession (COM (99) 235). At the core of this process, the Stabilisation and Association Agreements (SAAs), have been designed to regulate the bilateral relations between the EU and the individual Western Balkan countries in the fields of trade, competition, state aid rules, intellectual property and bring the countries in the region closer to EU norms and standards.[13] At the same time they require respect for democracy and human rights and for the rule of law. By and large, the SAAs are based on the experience of the Europe Agreements with a significant innovation regarding the issue of regional cooperation. Whereas regional cooperation is encouraged among the Europe Agreement countries, it is *required* by the SAA countries, and is being translated into an explicit condition for the further development of bilateral relations with the EU. (Phinnemore, 2001) The Zagreb summit (in its final declaration on 24 November 2000) identified explicitly the areas of regional cooperation in the fields of

Working Tables on 'democratisation and human rights', 'economic reconstruction, development and cooperation' and 'security issues'. The Pact is presided by the Special Coordinator, responsible for the overall progress of the initiative. Each of the participant countries (Albania, Bosnia-Herzegovina, Bulgaria, Croatia, Romania, FYR Macedonia and FR Yugoslavia) appoints a 'national coordinator' to adjust the SP activities to the needs of each country.

[13] So far the EU has signed SAAs with two countries, FYR Macedonia in April 2001 and Croatia in October 2001.

political dialogue, free trade area and justice and home affairs (organised crime, corruption, money laundering, illegal immigration, trafficking of human beings and all other forms of trafficking).

Financial assistance is provided through CARDS in order "*to support participation by the recipient countries in the Stabilisation and Association Process*" focusing on reconstruction, refugees, the building up and modernisation of institutions, the rule of law, social development, respect for minorities and the development of market economy. (Council Regulation (EC) No 2666/2000). To this end 4,650 million euros have been committed for the period 2000-2006 for investment, institution-building and other fields. As each country moves deeper into the process, assistance will focus increasingly on support for the reforms and institution building necessary to implement the obligations of the SAAs (Commission, 2002). Along the bilateral framework, CARDS has also adopted a regional assistance programme for the Western Balkans, a significant new step in the EU's regional approach. It covers only those parts of the programme which are not country specific within a budget of 197 million euros for the 2002-2004 period, a 10% of the available CARDS funding. The CARDS Regional Strategy Paper sets out for the first time a more focused and clear political strategy on four particular regional issues: integrated border management, institutional capacity building, democratic stabilisation and regional infrastructural development. These have been selected because of their contribution to regional cooperation and because the support can be best delivered at the regional level. (Commission, 2001)

Assessment

On the basis of the current experience, one can draw some useful points on the nature of the EU strategy in SEE. The first point has to do with the adopted notion of the region and the existence of a confusing definition as to what countries constitute South East Europe. While the 'Western Balkans' (former Yugoslav region minus Slovenia, plus Albania) have been targeted by the EU Regional Approach, other regional initiatives have also included Bulgaria and Romania and in a wider sense, Slovenia, Greece,

Turkey, Hungary and Moldova each of these with different levels of developments and degrees of integration with the EU, but clearly affected by regional developments. All regional approaches and initiatives in SEE have been post-conflict reactions, conceived as remedies to serious crises and wars. In that respect, the long-term developmental value of most approaches has been repeatedly questioned. With the exception of the SEECP, the other regional initiatives (Royaumont, SECI, Stability Pact) have been imposed by the EU in cooperation with other external players, with limited input from the local actors. Subsequently, the ability of most SEE regional initiatives to reflect the local specificities and needs and not the priorities of the external actors has also been doubted. Finally, there is no systematic evaluation on the effectiveness -successes or failures- of regional cooperation. With the exception of the Stability Pact, there are no reports evaluating the progress of regional initiatives. Some critical assessments from secondary sources that have appeared, from time to time, reflect the realisation that initiatives have not produced the anticipated results.

For its part, the Stability Pact has encountered difficulties and criticism on its effectiveness to deliver the ambitious goals that it initially set. It has been pointed out, for instance, that the principal approach to regionalism within the Stability Pact has been based on the development of regional infrastructure –road building and transport construction- and not on the wider structural developmental problems in the region. (Gligorov, 2000); it has been criticised for its inability to exercise decisive action in the recent crisis in FYR Macedonia. (Wheeler, 2002); it is seen by some as a cumbersome bureaucratic organisation, lacking clarity of purpose, or that it has neglected the needs of the region to which it is being addressed[14]. Faced with problems internal to the Stability Pact and changing external circumstances caused by the September 11 events, the new Special Coordinator of the Stability Pact, Erhard Busek has announced his intention to streamline the Pact's activities by identifying some areas of direct regional action and to

[14] The East West Institute has suggested discontinuing most of the bureaucracy of committees and task forces, as well as the three Working Tables and focusing instead on functional integration in selected sectors in the fields of energy, free movement and organised crime, referring to the Monnet method of the European Coal and Steel Community. (East West Institute, 2001) CEPS has suggested that the EU should be the leader of the Stability Pact and that regional ownership should be more pronounced. (CEPS, 2001). Moreover, it has been argued that the parallel existence of other regional initiatives, which in their turn have been criticised for their lack of effectiveness and clarity of purpose, has exacerbated the coherence of the international strategy in SEE and blurred the role and effectiveness of the Stability Pact. (ESI, 2000)

enhance cooperation between EU institutions and the Stability Pact in order to provide the countries of the region with a clear accession perspective.[15]

Despite extensive criticism, the Stability Pact and the other regional initiatives, have managed to contribute towards cooperation and create a certain potential for the future. They have brought together on many occasions different social groups, they have intensified regional political dialogue on a wide array of matters and they have provided the ground for discussion between the countries in the region and the international community. The accords on trade liberalisation and refugee return under the auspices of the Stability Pact have been regarded as substantial improvements. By singing a Memorandum of understanding on Liberalisation and Facilitation of Trade on 2001, the governments of Albania, BiH, Bulgaria, Croatia, Romania FYR Macedonia, and FR Yugoslavia made an important step towards the establishment of free trade area, aiming at the creation of a network of bilateral free trade agreements by the end of 2002 and allowing for at least 90% of goods to be exchanged freely without tariffs. An Agenda for Regional Action for Refugees and Displaced Persons has also been adopted in 2001 addressing a wide range of issues between BiH, Croatia and FR Yugoslavia with respect to 1.2 million refugees and displaced persons in their countries in a series of combined bilateral measures. For its part, SECI has been successful in obtaining private financing for small-scale cross-border projects like the one on "Border Crossing Facilitation" and the establishment of a Centre in Bucharest to facilitate the exchange of information for fighting cross-border crime. The SECI Regional Centre for Combating Trans-border Crime has been original in bringing together police and customs representatives from eleven participating countries in the region. By cooperating, exchanging information and the creation of Task Forces, the Centre has made some progress in the investigation against the organised crime and terrorism, with the EU and US support. In addition, NATO's Southeast European Initiative (SEEI) has recently produced a South East Europe Common Assessment Paper on Regional Security Challenges and Opportunities (SEECAP), which is designed as a general index for regional priorities and is based on local common perceptions and priorities and the notion of regional ownership.

[15] Speech of Erhard Busek on "The Future Strategy of the Stability Pact Operation" in Belgrade G17, 7 March 2002

Overall, after a decade of an ill-defined international strategy in SEE, the EU has come up with a regional framework, which, despite its shortcomings, can be used as a point of reference for the countries in SEE to cooperate and create networks of interdependence. The EU seems more and more committed to the goal of regional cooperation in SEE as one of the means and prescriptions that can bring about a more peaceful and prosperous area. The 'new regionalist' thinking in SEE has been evident in the promotion of multilateral regional initiatives and the Stability Pact for SEE, covering a wide range of issues from democracy building to economic development and wider security building and involving a wider network of political, social and economic actors. Yet, in terms of strategic thinking, there seems to be a certain 'Balkan fatigue' which is due mainly to two reasons: first, it is being realised that although substantial human and financial resources have been invested in the Balkans, very little overall progress has been actually achieved; second, the September 11 events have reshaped the international priorities and diverted attention to other causes and regions of international instability, namely international terrorism. Against this changing international climate, the role of the EU as a factor for peace, stability and development in SEE has become central (compared with all the other international actors). While the EU economic significance has always been dominant in the region since the beginning of the transition, its political significance has been increasing further judging from the immediate reaction to the crisis in FYR Macedonia and its intervention on the constitutional relationship between Serbia and Montenegro, while its readiness to deploy its first EU police mission to BiH in 2003 is an important military addition to the EU's economic and political capabilities.

One of the main dilemmas facing the European Union's policy in the region is linked with the need to coordinate the multilateral with the bilateral, the national and the regional. The Stabilisation and Association Process, as a bilateral instrument of integration that covers the countries in the Western Balkan region, and the Stability Pact, as a regional multilateral tool for South East Europe, are directed towards two sets of countries that belong to the same region. The diversity in the EU's bilateral relations with the individual countries and the region's heterogeneity present serious obstacles in the adoption of a

common strategy. In its bilateral framework the EU has been working with governments and states with differing degrees of capacity and internal legitimacy. In the eastern Balkans, the EU has been facing more reliable and consolidated democratic regimes (although less than those in Central Europe) within clear and undisputed territorial boundaries. In the western Balkans, it has been dealing with weak central authorities (BiH), stronger and more legitimate democratic authorities amid unresolved constitutional and territorial issues (Serbia, Montenegro), authorities with secessionist desires (Republika Srpska, Kosovo) and authorities where the role of the international community is predominant in pursuing tasks of domestic governance (BiH, Kosovo).

Nevertheless, it could be argued that the EU is now more constructively involved with SEE being a) more committed regarding the European integration of the countries in the region, b) better informed on the regional and local specificities and necessities and c) more focused in its developmental strategy in the Balkans. More importantly, the new EU approach emphasises the process of reconciliation and integration rather than the final status of the countries and areas involved. The latest involvement in the constitutional dispute between Serbia and Montenegro, its dynamic and timely intervention in FYR Macedonia and its gradualist approach in Kosovo seem to suggest that the EU is not interested in the recognition of new states and new borders but is trying instead to introduce regional cooperation and functional/soft borders based on free trade, infrastructural connections, the combat of criminal networks, the return of refugees and the advancement of political, social and cultural exchanges.

IV. REGIONAL COOPERATION IN CENTRAL EUROPE AND THE BALTICS

The ‘new regionalist’ trend produced other similar regional sub-groupings in the European continent. Two regions stand out as comparable in some respects with SEE, in terms of similar communist experiences, similar geographical proximity to Western Europe and similar external orientations of their political and economic elites: Central Europe and the Baltic countries. By and large, both regions are regarded as more promising and forward looking than the region of SEE. Moreover, their current level of

integration with the EU is more advanced and their countries are able to achieve an earlier membership than the countries in SEE. In terms of their own cooperation at a regional level, the Central European and the Baltic countries have recorded some positive performances, which have contributed to the creation of more secure regional environments, on the one hand, and to their European common goals, on the other. In that respect, one could draw some lessons from a comparison with these post-communist regional sub-groupings, bearing also in mind the significant differences between the different regional configurations.

The Visegrad Group came into being under rather unique circumstances created by the collapse of communism and the end of the Cold War. Like the rest of former communist countries, its founding members Poland, Czechoslovakia and Hungary faced the challenge of transforming their economic and political systems along the lines of market based pluralist democracies, while re-positioning themselves in the emerging world order in which ideological divisions ceased to exist. The demise of various schemes, which linked the former communist countries politically, economically and militarily, was expedited by the fragmentation of the Soviet Union. In the void created by the confluence of these events, the idea of a "co-ordinated return to Europe" was first proposed by Vaclav Havel, the then president of Czechoslovakia (Krzywicki, 2000). Thus, the overwhelming motive for these three countries' coming together at this particular historical junction was to serve as an informal pressure group to secure their rapprochement with Western Europe and a definite exit from the Soviet sphere of influence (in early 1990s the Soviet Union was still trying to resurrect some of the structures that kept the Soviet block together for almost 50 years). Mutual cooperation in the development of market economy, consolidation of democracy and integration into the Euro-Atlantic structures became the main common objectives of the post-communist political elites in all Central European countries. From the start, Visegrad Group member states made it clear that mutual relations were to be conducted only within the framework of prospective European Union membership and that no other form of sub-regional or regional integration would be considered.[16]

[16] 2001 Annual Report of the Activities of the Visegrad Group, www.visegrad.org

The Visegrad Group included countries geographically close to each other and fairly homogenous in terms of economic and political developments as well as cultural and historical traditions. Its political elites recognized early into the transition process the importance of preserving and developing mutual links to ease the economic strain created by the transition and to facilitate their respective countries' move towards a common goal of EU membership. Thus, unlike many subsequent regional initiatives, it was to a large extent an initiative that came from within these counties, as an expression of a political will to develop channels of communication to the benefit of each of the member states. As such, it was welcome by the external players, the EU in particular, which came forward with a uniform approach to assisting reforms in these countries.

Despite the internal political will and the common external policy orientations, regional cooperation within the Visegrad Group envisaged some significant difficulties during its formative years. The break up of the Czech-Slovak Federation, the antagonistic policies of Vladimir Meciar's government in Slovakia, the reserved attitude of the Czech government during Vaclav Klaus' term in office and EU ambiguity regarding its policy of enlargement were some of the key factors which kept political cooperation and policy co-ordination among member states from developing more strongly between 1992-1998. Moreover, there was always a prevailing sentiment of suspicion and dilemma, regarding the compatibility between Central European sub-regional cooperation with the goal of European integration. But, in spite of these difficulties, the political dialogue among the member states continued, not least because the EU maintained its support to regional cooperation as part of its strategy of bringing these countries closer to its fold. The mood for closer cooperation was intensified as the accession prospects for Hungary, the Czech Republic and Poland assumed more definite direction in the second half of the 1990s and with the new governments in both the Czech Republic and Slovakia, the Visegrad Group was given a new impetus. Since 1999, following the adoption of a document "The Content of Visegrad Cooperation"[17] intense activity has ensued based on regular meetings of representatives of the four countries. The main areas of cooperation include

[17] 'The Content of Visegrad Co-operation' was adopted at a meeting of prime and foreign ministers of the Visegrad Four held in Bratislava on 14 May 1999.

foreign and internal policies, education, culture, social affairs, science and technology, environment, sport, infrastructure and trans-border cooperation. The rhetoric from the highest official fora is one of shared recognition that mutual cooperation is beneficial to member states and that their association within Visegrad framework gives them an additional mechanism to pursue their foreign policy agendas.[18]

Cooperation in economic matters does not feature in the Visegrad Four agenda since it takes place within the CEFTA framework, which was established by the Visegrad Group member states in 1993 and has subsequently expanded to include other members. Progress in economic cooperation, which has taken place within CEFTA, has been an important element in the revival of Visegrad Four forum by connecting the economies and establishing channels and culture of inter-governmental communication different from those prevailing while still part of the COMECON group. Thus, to some extent it was an affirmation of a functionalist approach to regional cooperation.

CEFTA got off the ground primarily as a response to Western insistence that countries aspiring to European Union membership had to co-operate among themselves. Another perhaps more sinister reason was to do with a pressing need to address these countries' difficult economic situation at the start of the transition process, aggravated by the severance of economic links within the COMECON framework. The similarity in economic structure and exports and the depressed state of the member countries' economies at the time of CEFTA's initiation were not particularly conducive to cooperation. The scope and the intensity of cooperation were further determined by the countries re-orientation of trade towards the EU, the different national approaches to economic reforms and, at a later stage, individual differences in the course of negotiations with the EU. To a large degree relations within CEFTA have been saddled by a similar problem to that of the Visegrad Four i.e. whether the role of CEFTA is to expand the mutual trade among its members or to facilitate their entry into the EU. This is why CEFTA has remained focused on creating a free trade area among its member countries, dismissing any suggestions of deeper integration. Overall, the policies of the

[18] To back this up, although the Visegrad Group provides primarily a forum for co-operation at the level of ministers of foreign affairs, the revived initiative has made a point of informal meetings of the heads of states becoming a regular activity.

EU have had a favourable impact on CEFTA, which has become to be seen as an important pre-accession instrument (Dangerfield, 2000). Thus, the political importance of CEFTA -as the growing interest for memberships seems to suggest - may have finally outweighed its economic importance. It has contributed greatly to a heightened sense of togetherness and a shared European future for the Visegrad Group of countries and an increased degree of solidarity among its members in their European integration efforts. In spite of its own weaknesses and a fair share of problems, the Visegrad Group and CEFTA remain an example of successful regional cooperation underpinned by an internal consensus and facilitated by favourable external environment.

Similar favourable factors have contributed to the even more successful case of sub-regional cooperation among the Baltic countries. Despite their close geographic proximity, and the fact that they were a part of the Soviet Union, the direct links among the three Baltic states -Estonia, Latvia and Lithuania- particularly in economic terms, were rather weak at the time of their independence. In terms of population the region is small, yet diverse, in terms of language, religion, history and political preferences. Each of the three countries is home to a large non-indigenous population. Because of their smallness and delicate geopolitics, once the three countries became independent states, security concerns played pivotal role in their strategy to re-position themselves in the post-bipolar world order. A joint search for a new security framework provided an important impetus for closer regional cooperation among the three Baltic countries. Right from the start solidarity for the cause of EU integration was stated as one of the principles of mutual cooperation.

A genuine political consensus has been conducive to the intensification of regional cooperation in various fields. The goals of cooperation have been clearly set and the point is made that regional integration and integration into Euro-Atlantic structures are mutually reinforcing processes. However the differences in the individual countries' relations with the European Union have at times created tensions, particularly as Estonia a front runner in terms of EU required reforms feared that deeper integration within the region could delay its accession into the EU. Yet, the existence of different fora for

discussing the countries' concerns and a clear interest in developing the region as a distinct whole has kept the cooperation developing. Furthermore, the Baltic states' involvement in other initiatives such as the Council of the Baltic Sea States, whose members are both EU and non-EU members, have had an important role in bringing the three states closer together within a wider regional integration framework.

Among the most developed areas of cooperation are defence, energy and education, where important advances have been made in creating common defence policy, common energy market and common educational space. Cooperation is also advanced in infrastructure, environment, social affairs, customs and border regime and has expanded into other areas such as information technology. In 1994, a Baltic Free Trade Area agreement was signed to prevent further fragmentation of the market initiated by the dissolution of the Soviet Union and to strengthen Baltic economies on their way to the accession to the European Union. It was also envisaged that the free trade area would eventually develop into customs union. The free trade area has had some trade creation effect but the EU remains the main trading partner. In 1997, the Baltic Free Trade Area extended from industrial to agricultural product, as well, which suggests a move towards deeper integration than is the case in CEFTA framework (Lejins,1997).

Overall, the scope and the extent of regional cooperation among the Baltic states are more developed than those under the Visegrad Group and CEFTA framework. Both groupings illustrate the importance of the internal political consensus over the key issues of regional cooperation and favourable external conditions as factors essential for a fruitful regional cooperation. The fact that neither group of countries is prepared to further institutionalise their cooperation by creating a permanent body to support these initiatives would suggest that the role of regional cooperation is perceived primarily in terms of facilitating closer relations with the European Union. In that sense the future of these initiatives, once their member countries join the EU, remains uncertain.

V. LOCAL PERCEPTIONS IN SOUTH EAST EUROPE

The regional picture in SEE has been different from the Central European and the Baltic contexts. As already discussed, the process of regional cooperation has been hampered by major security and ethnic obstacles, political and economic impediments. During the 1990s, consecutive wars in the former Yugoslav region made regional cooperation almost unthinkable and, at the same time, increased its urgency and necessity. For its part, the international community, acted in an ambiguous way, despite its close involvement and the rhetoric of a policy of cooperation in the region. Against this negative background, the potential for regional cooperation has gained a new momentum, following the more committed EU approach and the significant domestic political changes in the region (fall of the nationalist and authoritarian regimes in Croatia and Serbia, transfer of Milosevic and other indicted war criminals to the Hague Tribunal, election of more moderate political forces in Croatia, Yugoslavia, BiH and Kosovo). At the same time, the short eruption of yet another ethnic war in FYR Macedonia, the undefined status of Kosovo and Montenegro, the delicate post-Dayton ethnic and constitutional balance in Bosnia-Herzegovina or the endurance of extremist forces in most of the countries in the region and the underdeveloped economic structures constitute the major challenges in the process of regional cooperation.

The current regional landscape is therefore marked by conflicting indicators; some hopeful signs of normalisation of the political, economic and social life and the rise of more moderate forces in internal politics, on the one hand; ethnic mistrust, discrimination and lingering territorial claims amid undefined and confusing borders, on the other. While Balkan developments have ceased to be of prime international concern, there is still a grounded fear of regression to the situation of the 1990s. It is widely believed that the current peace and stability in the region has more to do with the presence of the international military and police in BiH, Kosovo and FYR Macedonia rather than with the actual success of regional initiatives or the readiness of the local elites to cooperate. Yet, as the following fieldwork will suggest, there is currently a local rhetoric which favours regional cooperation across countries and across sectors. Local elites seem to be

willing to cooperate on the basis of some concrete projects and expected benefits. Recognising predominantly the necessity for international assistance, the various elites are stressing also the need for a local approach to regional issues and a regional input in the adoption and implementation of regional initiatives. But while there is a clear impetus and a more positive will to cooperate, the local elites are also aware of the main obstacles to cooperation and of the fact that the region has been drifting at the periphery of Europe. This following part of the project is based on interviews, discussions and questionnaires addressed to the local elites regarding their perceptions and attitudes on the notion of regionness, the content of regional cooperation, the incentives and obstacles to regional cooperation, the assessment of regional initiatives and the goal of European integration. This presentation is based (a) on a general and comparative regional analysis of the above-mentioned themes and (b) on country reports.

V.1 REGIONAL ANALYSIS

The notion of regionness

The sense of belonging to a particular regional community and the way the region is defined by the local actors is central for the development of any regional strategy; a regional identity can be formed based on some shared assumptions and understandings of their regional, extra-regional and international realities. It is therefore important to discuss, at a first level, how the region of SEE is perceived by the local elites and to what extent they feel that their country is part of the same region.

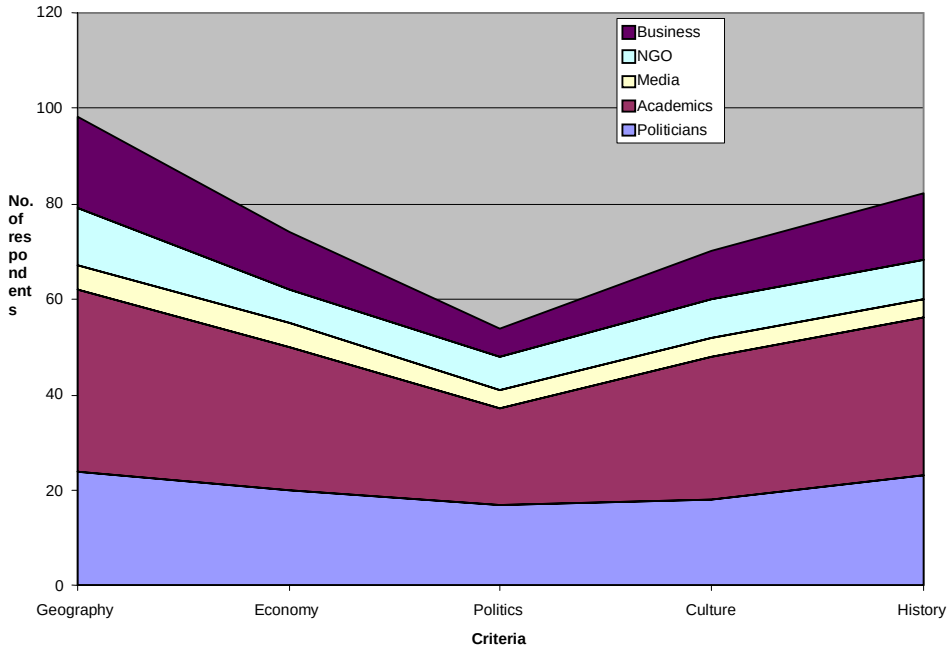
Those involved in the survey were asked to state whether in their opinion their country was a part of the region of SEE and in what sense. An overwhelming 93% stated that their country did belong to the region of SEE, while the answer was negative in the 7% of cases. The acceptance of the notion of the region of SEE is by far the strongest among representatives of the business community - a 100% of those questioned replied positively, followed by academics (95%), NGOs (91%), politicians (88%) and media (87%).

The notion of the region of SEE is most strongly supported by the respondents in FR Yugoslavia (Serbia and Montenegro), FYR Macedonia and Bulgaria and less so by those in Croatia, Albania, BiH and Romania. The region is predominantly conceived in geographic and historical terms (25.5% and 21.8%, respectively, of the total number of answers received). Some 19.6% of the respondents think of SEE region in economic terms, followed by 18.6% who perceive it in cultural terms and a mere 14.4% think of the region as a common political community.

What is interesting to note is that there is no shared notion of a region, which is clearly revealed when the interviewees and respondents are asked to identify the countries making up the region. While physical proximity appears to be the main variable in the definition of the region, other considerations, politics in particular (both in its local as well as foreign dimension), also play an important role. Thus, the encirclement of the countries belonging to the region according to these particular criteria differs. For example, Slovenia, Turkey and Greece and, to a lesser extent, Moldavia and Hungary are frequently identified as being part of the region. It is recognised, however, that all of these countries differ in their levels of political and economic developments and their degree of integration with the EU. In some of the countries covered by this research, especially among the political elites there is a tendency to distance their countries from the unstable zones in their immediate vicinity i.e. BiH, Kosovo, FYR Macedonia and Albania. The main reason is the desire to be perceived by the external players, such as the EU, as different and more advanced and to secure separate lines of mutual communication and engagement. Having said that the common communist experience is the main variable in defining the region of SEE, the different national communist experiences between Albania, SFR Yugoslavia, Bulgaria and Romania are clearly acknowledged. Moreover, the post-communist case of Slovenia is recognised by most respondents as a case apart, a successful model to be associated within the regional perspective.

The particular perceptions of the region differ in instrumental terms among the various segments of the elites. Political elites are keen on using the notion of the region as this broadens the framework of communication with the EU and wider international community. The academic and cultural elites in each of the countries concerned project their own vision of the region, which is often history laden and aimed at asserting one nation's superiority over others (e.g. Serbs over Bulgarians or vice versa). The economic elites, although condoning the view that the region is a reality, lack consistent and continuous interest in the region, thus blurring the significance of the notion of SEE for their own business purposes. Despite an interest to expand into the markets of the neighbouring countries and to invest there, the many obstacles and risks associated with doing business in the region drive business away to other locations, principally the EU. The NGOs are often by the very nature of their role pushed into accepting a particular regional framework in performing their activities, which may differ according to the source of funding and the terms of reference. Moreover, they tend to keep their allegiances to their parent organizations, which are predominantly Western-based NGOs, which makes them more controversial social actors in terms of having a clear notion of regionness (see Chart 1).

Chart 1:Criteria of regionness



The confused definition of the region is partly the result of the history of this part of Europe, which as such has never had a clear political identity. In distant past it was always incorporated into a larger political entity (Austro-Hungarian, Ottoman empires), which prevented it from developing into a more homogenous and independent economic and political space. For most of the post World War II period, it was politically and, to a large extent, economically divided between those countries belonging to the COMECON, the EU and the non-aligned movement. Most recently the referent framework has become that of the individual countries' status in relation to the EU, which again, other than in a very long run, has made the notion of the region a great deal more elusive. Various international initiatives directed at the countries in this part of Europe, involving their own definitions of the region and terminology, have additionally contributed to the existing local confusion.

The locals assert that how the external players define the region is primarily determined by their own agendas, which are often contradictory. The use of the different notions of the 'South East Europe', 'Balkans' or 'Western Balkans' plays into the hands of those who claim that the region is a product of political engineering pursued to fit the external players own goals, rather than a reality to be reckoned with. The high profile assigned to the issue of regional cooperation by the external players seems to have almost imposed a regional discourse among the local elites to the extent that some of them asserted that it simply had to be taken as given. Others have argued that insisting on a separate Balkan identity in effect reinforces divisions within Europe.

- All this suggests that a shared notion of the region of SEE, or the Balkans for that matter, is largely missing among the elites. It is believed that SEE is not a region in the contemporary new regionalist sense nor is it a region in the making. Instead there exists a number of often contradictory perceptions of what this region might be, which to some extent is counterproductive for furthering regional cooperation. The principal criterion on which the notion of the region is conceived is geographic proximity. Yet, geographical borders of the region are not defined as

such. Historical heritage and current political orientation (but also economic and cultural influence) of the individual countries have an important influence on where the borders of the region are set. Although at the level of the elites, political in particular, there is a tendency to maintain an equal distance towards all the countries in one's neighbourhood, factors such as culture and religion play a role in shaping up the affinities among the individual countries (e.g. Bulgaria, Romania, Serbia and FYR Macedonia are seen as closer to each other than to Croatia or Albania). The notion of the region is more warmly embraced by the representatives of academia, business and NGOs than by the politicians and media representatives. This reflects the highly politicised role that regional cooperation plays at this historical juncture, particularly in an area such as South East Europe, very much in flux in terms of where it will eventually anchor itself in political, economic or even civilisation terms. The process of self-definition is ongoing among the countries and societies in South East Europe, which makes the potential of regional cooperation quite uncertain. There is certainly no common regional identity that could serve as the basis for more comprehensive regional cooperation. The notion of regionness varies from country to country and it is mostly seen to be imposed by outside forces.

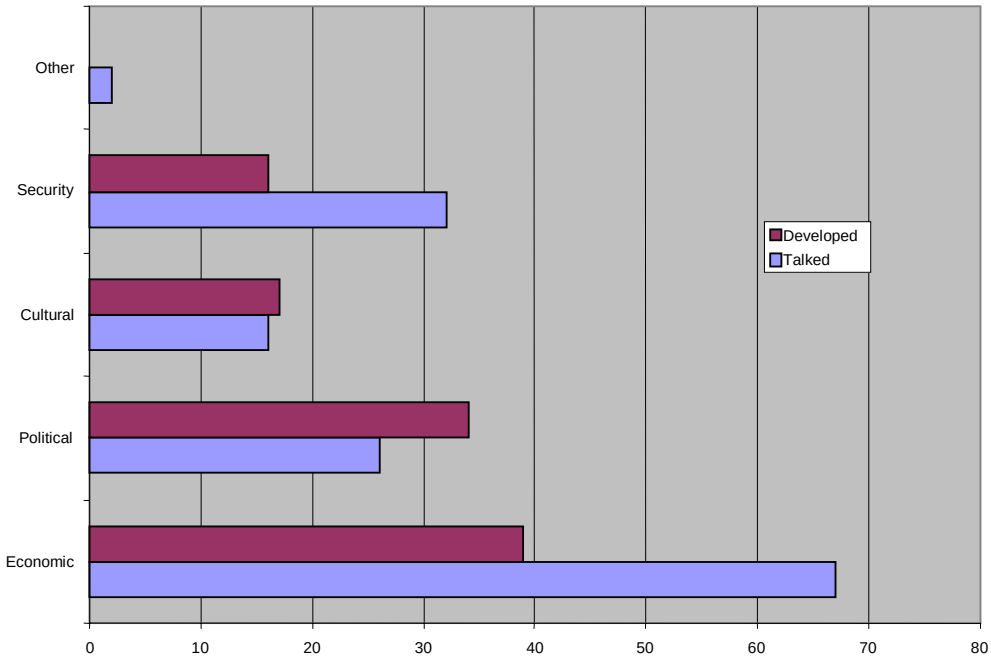
The content of regional cooperation

In general, the issue of regional cooperation does not feature as a regular topic in media reporting in all the countries included in this research. One plausible explanation could be that the countries concerned are overwhelmed by their internal problems, which weakens their awareness of regional and global issues. The issue of regional cooperation is more prominent in the former Yugoslav countries, which has to do with their legacy and previous experience of belonging to a regional entity for some 70 years. It is against this background that the analysis of the content of regional cooperation has to be interpreted. The local people involved in the survey were asked to assess the actual and the potential content of regional cooperation. The actual content does not necessarily coincide with the reality of regional cooperation, it rather expresses the perceptions of the elites and the

way they interpret the reality. The potential regional cooperation denotes the aspirations of the elites, as active actors involved in the process of regional cooperation.

The economic aspects of regional cooperation receive most attention in the local discourse, according to 46% of the respondents, followed by security (21.7%), political (18%) and cultural aspects (12.5%). In Albania and Romania the emphasis seems to be more on security rather than economic issues, which is in line with a more cautious attitude towards the scope for regional cooperation observed in these two countries and the more distant nature of their relationship with the region. When assessing the actual level of regional economic cooperation, it is considered only slightly more developed than political cooperation (34.9% and 31.1%, respectively). This means that the elites appreciate the actual limited volume of economic cooperation. Security appears to be seen as the least developed aspect of regional cooperation, which is easily explicable given the recent past (see Chart 2).

Chart 2: Perception of intensity of regional cooperation
(Which aspects of regional cooperation are most talked about/most developed?)



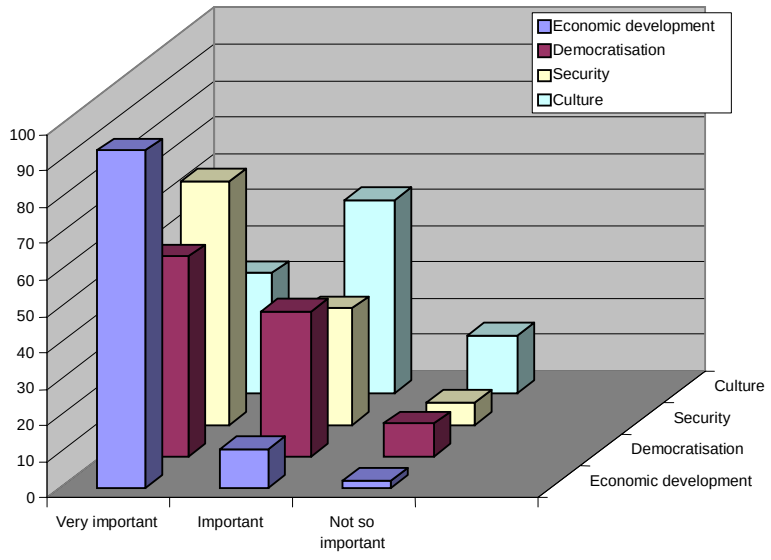
Again, there are some significant country variations. Political (parliamentary, diplomatic) aspects are considered more developed than economic ones by the Albanians and Romanians, whereas according to the respondents in FR Yugoslavia and FYR Macedonia, they are at about the same level. The former two countries have in the past had very limited economic links with the rest of the countries covered by the research and more emphasis on political aspects of cooperation seems logical. In addition their responses are in tune with the importance attached to regional security concerns. The view in BiH, Croatia and Bulgaria is that economic aspects of cooperation are slightly more developed than cooperation in the political sphere. This is an implicit recognition of the difficulties in establishing a genuine political dialogue in the region.

Most respondents believe that their country can benefit the most from the cooperation in trade (22.4%), transport (21.4%), energy (16.5%) and telecommunications (13.5%). The biggest potential for the intensification of regional cooperation is in transport - 21.6% compared to 18.6% in favour of trade -, which is in line with the international emphasis on these areas in much of the literature on the region. However, rather than seen as a functional approach to fostering regional integration, infrastructure seems to be a particularly attractive area for cooperation because of its potential to spur economic activity. Reviving economic activity and sustaining growth is a major issue for all of the economies under consideration. It is interesting to note that as high as 13.2% of the respondents believe that regional cooperation in the sphere of civil society is potentially beneficial to their countries. This suggests a growing recognition of the role that civic activities can play in an area placated with conflict and in societies which have traditionally lacked such activities. The emphasis on civil society regional projects appears more emphatically in countries like Croatia, Serbia or Bulgaria, where civil society has a more influential role.

Overall, there appears to be a lack of clear understanding of the role of regional cooperation and what it should achieve in the economic, political, cultural and security domains. This is particularly the case at the level of political elites and less so in academia, business, media and the NGO segment. Political elites by the nature of their

role and profession want to appear more encompassing and ambitious in their outlook, which makes it more difficult to narrow down and specify the goals of cooperation, unlike actors in other areas which are more focused. While it is tempting to conclude that the lowest common denominator seems to be an understanding of cooperation in terms of facilitating free movement of people, capital and goods, the actual situation is more complicated. This is corroborated by the replies to the question on the importance of various aspects of regional cooperation. Some 25% of the answers received, rate economic development as a 'very important' or 'important' aspect of regional cooperation, followed by security (23.7%), democratisation (22.6%) and culture (20.6%). The findings would suggest that in the SEE context, all aspects of regional cooperation are viewed as deserving attention and are to a certain extent complementary (see Chart 3).

Chart 3: Importance of regional cooperation



While the international community recognises this fact in its approach to the region as manifested through the various regional initiatives, in reality there is an overwhelming emphasis on infrastructure where needs are more easily identifiable and the implementation of the assistance is more straightforward. Given the above divided

opinion regarding the importance of various aspects of cooperation there are however different views regarding international support to regional cooperation. Some argue that economic cooperation will proceed inevitably and no external support is needed. Instead more support should be placed to the development of cultural cooperation and democratisation. On the opposite end are those who believe that economic cooperation should be supported and that democratisation would take its own course in each of the countries; they too recognise the importance of cultural cooperation. Almost without exception, the fieldwork reveals an absence of clear agenda for regional cooperation among all segments of the elites and a lack of identifiable priorities. Low capacity of the local elites to formulate their own interests in pursuing regional cooperation is additionally aggravated by a glaring paucity of information regarding the potential for regional cooperation regardless of field[19].

The economic is perceived as the most prominent aspect of regional cooperation among the countries of South East Europe both in potential and actual terms. This reflects first of all the overwhelming impact economic concerns bear on all of the countries covered by the research as well as an understanding that cooperation has to be based on clearly defined interests and benefits, which are more easily identified in the economic sphere. It also reveals strong aversion towards any form of deeper institutionalisation of the relations among the countries in the region, which during communist times was done primarily on ideological grounds. Moreover, it is linked with the priority of economic anxieties at a personal level in societies hit by high levels of unemployment and poverty. While, the importance of stability and security in the region is recognised, there seems to be limited interest in how countries can individually contribute towards this goal. Although the extent of cooperation is on the whole insufficient, discussions with the elites' representatives suggest that on the ground there has recently been some progress. Information is particularly scant regarding the existing cooperation in areas such as NGOs, youth and academic networks, activities in the SME sector etc. Some of these

[19] There are some notable attempts to fill this gap such as the activities undertaken by the Balkans Chamber of Commerce Association (under the auspices of the Black Sea Economic Cooperation initiative) and the Association for Small and Medium Enterprises aimed to provide information on business opportunities in the region.

activities are initiated and supported by foreign actors and some are genuine local grass root initiatives, which receive little attention from the official fora.

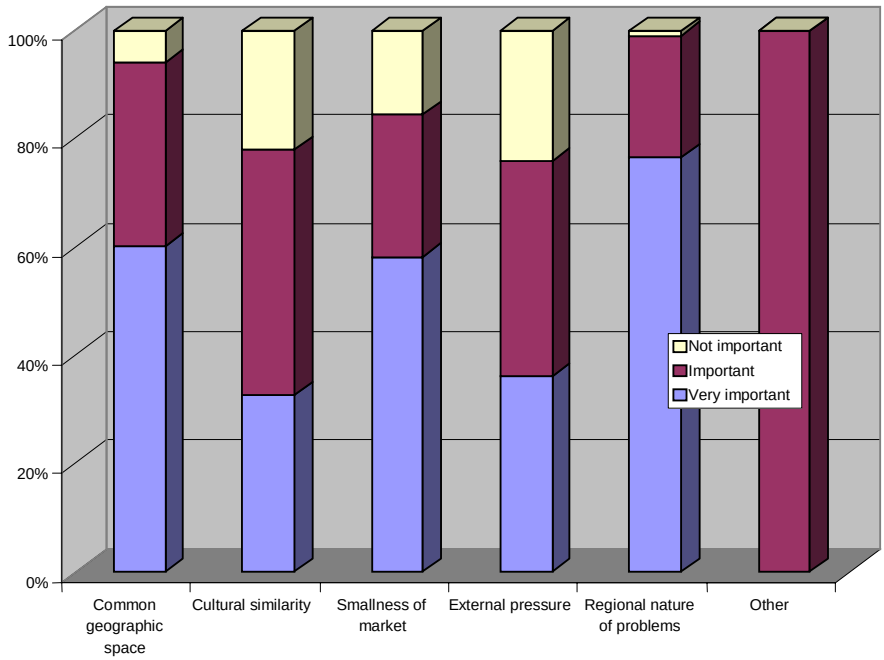
- Regional cooperation is generally not given sufficient attention in the discourse and practical engagement of any of the elites' segments. While there is an overall emphasis on economic aspects, the prevailing perception is that the existing levels of economic cooperation are not significantly developed; cooperation on security matters is seen as the least developed of all. Given the complexity of the political, economic and security situation in the region it is recognised that all aspects of regional cooperation deserve attention. However, the emphasis on economic aspects and infrastructure in particular, primarily reflects concerns of being pushed deeper into a kind of Balkan integration, which could de-rail the countries of South East Europe from their orientation towards closer integration with the EU. Focus on the economic aspects of cooperation is clearly acceptable to all countries concerned but how it can be applied to address other areas in which cooperation could be beneficial is not clear. The official discourse on regional cooperation fails to take into account the existing and potential cooperation at the grass-root level, which to a large extent explains why high- level contacts rarely translate into substantial activities.

Incentives to regional cooperation

Geographic proximity is most frequently cited as a factor conducive to regional cooperation, followed by the regional nature of current problems. The latter refers to issues such as underdeveloped infrastructure, environmental problems, border controls or organized crime, which by their very nature require involvement of all the countries situated at a certain geographic space. In actual fact, the regional nature of current problems appears as the most important factor in promulgating regional cooperation - (28.5%) of the answers compared to common geographic space (24%). This reveals a heightened sense among the elites of the fact that many problems the countries are facing do have a regional dimension which is perceived to be among the prime motives for

cooperation. The smallness of the individual markets and the potential for expansion through cooperation with other countries in the near abroad is another important factor conducive to greater cooperation (the economies of scale argument). Greater cooperation is particularly relevant with a view to attracting foreign investment, which as a rule have an outreach that extends beyond the borders of the market at the first point of entry. Cultural similarities are perceived in principle as playing an important role by 17.3% of the respondents; however, the percentage of those who actually believe that culture is less important in fostering cooperation is higher (20%). This finding is in tune with a negative connotation of the region found among wide sections of the population, which leads to a natural reaction of wanting to distance oneself from the region. It is also indicative of an attitude that cooperation ought to be viewed in purely practical terms, based on clearly identified interests of all parties involved. This latter point is reinforced by a frequent response, particularly among the political elites, that there is no preference to cooperation with any particular country in South East Europe (see Chart 4).

Chart 4: Factors conducive to regional cooperation



There are some important country variations in the perceptions of the factors conducive to regional cooperation. In Serbia and Montenegro, most respondents see culture as a factor conducive to cooperation unlike in Croatia where common cultural heritage is disputed by a number of respondents. This can be partly explained by the recent experience of conflict between the two countries and a strong impact that the regime of Franjo Tudjman has had on reinserting a distinct Croat cultural identity. Historically, Croatia has had a strong affinity with Central Europe, which has to some extent been downplayed during the communist era and which is now trying to reappear. On the other hand, a similar dichotomy is found between Bulgaria and Albania, in that the element of culture is generally recognised by the former as playing a part in furthering regional cooperation, while Albanians see little commonality in cultural terms with the other nations concerned. Common language in most of the former Yugoslav successor states is perceived as contributing potentially to greater cooperation.

An interesting and rather controversial finding is that external pressure is not perceived to be such an important factor in facilitating regional cooperation. Out of the five most important factors conducive to cooperation identified in the course of the research it ranks fourth, after the regional nature of current problems, common geographic space and the smallness of the market. This is in contradiction with a high level of support among the respondents to the conditionality accompanying international assistance to the region. The discrepancy can be explained by the controversial role that conditionality plays as part and parcel of the existing system of international assistance. While there is recognition that unconditional aid is not an option, at the same time conditionality is accepted reluctantly and often under great pressure from the donors. The public is rarely made aware of the political objectives behind the aid. Rather, giving in to the external pressures is presented primarily as an act that is necessary for securing the aid. In that respect, the actual impact of international assistance on the society of the beneficiary country falls short of the intention of the donors. Thus, in practical terms, while there seems to be plenty of evidence that conditionality works, its true impact on inciting a genuine process of change in the countries benefiting from assistance is an ambiguous one at best. Another explanation of why external pressure is seen as less important a

factor in promoting regional cooperation is related to the fact that the external intervention is seen by the local elites as an infringement of national sovereignty. This is a sensitive issue in a situation when some of the countries have only recently asserted their independent statehood. Moreover, the fact that individual countries in the region are seen to have different Western countries as their main partners or patrons, namely Germany with respect to Croatia, USA with respect to Kosovo and BiH, France with respect to Serbia and Romania, Greece with respect to Serbia, runs at times counter to supporting a regional momentum and diminishes the validity of the external factor as conducive to regional cooperation.

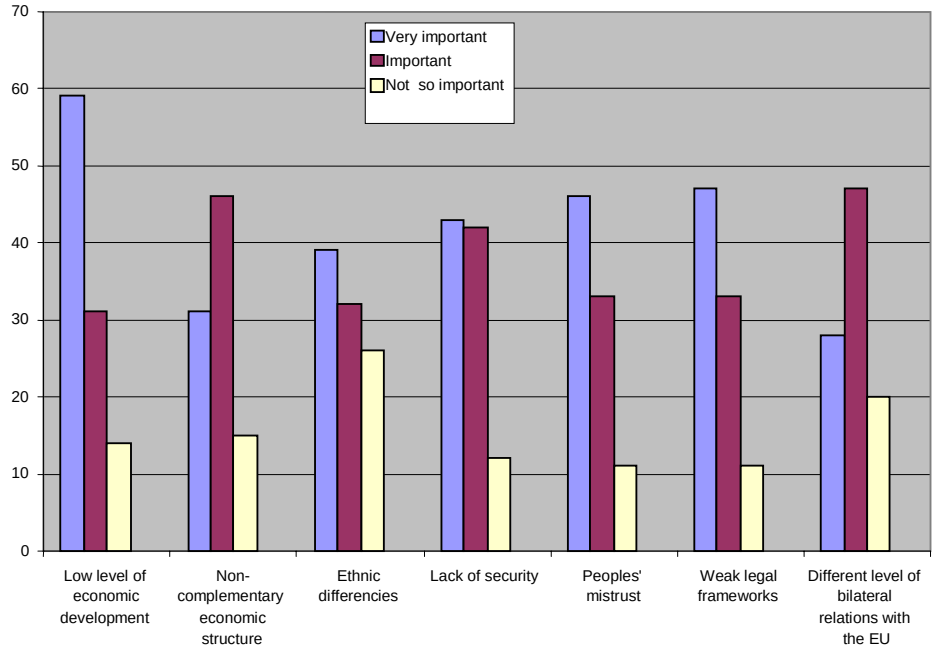
- Geographic proximity and the regional nature of problems feature as those factors most conducive to greater regional cooperation. Both reveal the real necessity to overcome problems at a regional level among countries that happen to be part of a common geographical space. They do not, however, suggest an active desire to associate with regional neighbours from a positive perspective with the exception of neighbouring EU countries like Greece and Italy or successful EU candidate countries like Slovenia or Hungary. It is indicative that all of the countries in the region tend to criticise the mentality and political culture of their neighbours and never praise any of their achievements. Rather, the specificity of the Balkans is that its post-1989 history and its repositioning within the international economic and political order offset the relevance of the geographic proximity in pursuing closer cooperation; instead the centrifugal effect seems to be more pronounced.

Obstacles to regional cooperation

The low level of economic development is the most frequently cited constraint to greater cooperation among the countries covered by the research (16% of the total), followed by the lack of security (15.2%) and weak legal frameworks (14.5%). 13.9% respondents perceive non-complementary economic structures and peoples' mistrust as being deterrents to regional cooperation; slightly less important a constraint is the different level of bilateral relations with the EU (13.4%). Despite the recent experience of wars in

the region, which have had a marked ethnic dimension, ethnic differences are perceived as the least important constraint to regional cooperation (12.7%).[20] This last point is particularly interesting and reveals a certain discrepancy with the predominant international perception (see Chart 5).

Chart 5: Obstacles to regional cooperation



There are national variations in the perceptions of obstacles. In Albania, the lack of security is perceived as the most important obstacle to cooperation, while in Bosnia-Herzegovina and Bulgaria low levels of economic development are seen as by far the strongest deterrent to cooperation. The weak legal frameworks is perceived as the most important obstacle to regional cooperation in Serbia and Montenegro. In Croatia, FYR Macedonia and Romania there is no single factor as such that poses an overwhelming constraint to regional cooperation; rather a number of factors are considered as equally important in obstructing cooperation. The particular way in which the international

[20] There is plenty of evidence supporting this finding. A well- known example of co-operation between Bosnian Serbs, Bosnian Croats and Bosniacs, who until 1995 fought each other, is the Arizona market in North Western Bosnia-Herzegovina. Located at the inter-entity boundary line it has become a booming trading post for people from all over the region. Another example is a market in Tuzi in Southern Serbia.

community has engaged in FR Yugoslavia over the last decade has resulted in the negative perceptions of its role among a wide section of the elites. The fieldwork suggests that there exists a degree of reluctance to closer regional cooperation in part because of a fear that it might give Serbia a chance to reinsert itself as a regional power. The opposite view that closer regional cooperation could actually work to anchor Serbia within the region in a more constructive way is much less present. The breakdown by sectors reveals that the low level of economic development is considered to be the strongest constraint to cooperation primarily by the political and business elites, whereas for the academics it is the lack of security and weak legal frameworks that hamper more intense cooperation. Both, media as well as NGO representatives believe that low levels of economic development, lack of complementary economic structure and the lack of security are equally strong deterrents to regional cooperation.

In the course of the interviews the unwillingness of the political elites and the lack of the political vision have often been cited as an important barrier to cooperation. Among some of the elites, there seems to be a fear of the political consequences, which might follow from the programmes of cross-border cooperation, given that most countries de facto border with their own majority ethnic group, which is typically a minority in a neighbouring country. One of the specificities of this part of Europe has been that the spread of ethnic minorities has worked rather as a barrier than as a bridge to closer cooperation (e.g. the Albanians in FYR Macedonia, the Serbs in Croatia or the Turks in Bulgaria). The political elites are not perceived to be genuinely interested in regional cooperation and there seems to be little trust in their ability to foster regional cooperation within the region.

The lack of a functioning states in Bosnia-Herzegovina, Albania, Kosovo and FYR Macedonia feature as strong deterrents to furthering regional cooperation. This view is particularly strong in Croatia and Bulgaria, which both perceive themselves as advanced in terms of institutional development. Widespread corruption as a corollary to weak state and the interests by the parts of the commercial elites, often involved in extra-legal activities and well connected to the governing structures, to maintain a degree of tension

and animosity among the countries also play a part in preventing closer regional cooperation, especially in FYR Macedonia. Related to this is a lack of social capital, which has suffered disproportionately from the recent events of the past 15 years, thus presenting another obstacle to the normalization of the relations within the region.

Business elites, for their part, identify the poor state of infrastructure in the region[21] and the diversity of legislation as major impediments to cooperation. Not only is the region geographically isolated due to underdeveloped infrastructure but also communication routes within the region are poor, thus restricting the movement of people and goods. Complicated bureaucratic procedures and a lack of trust in the payment systems are equally not conducive to more intense business cooperation.[22] Another important constraint is the low technological base of most companies and a lack of capital, which makes foreign, especially multinational companies, more attractive partners. Representatives of the business elites have often emphasized in the course of the interviews that the lack of political will on behalf of the governments in the region aggravates their efforts towards cooperation.[23]

- The main obstacles to cooperation can be roughly grouped into the objective/structural conditions originating from the low levels of political, economic and social development and the conjunctural conditions related to the lack of genuine political will to strengthen this aspect of their countries' external policy. The perception of negative attitudes or even incapable elites clearly shows the lack of respect for the governing elites as well as a low level of trust towards the way democratic regimes operate in the countries of the region. Ethnic hatred, frequently cited in the literature on the region does not appears to be a particularly strong deterrent to better cooperation. Having said that, the current climate of multiple obstacles has forced capable and knowledgeable local individuals to flee

[21] There are still no regular flight connections among the main cities in the region; instead, the travel is indirect via one of the West European countries. Travelling by road or train is lengthy; the existence of many borders may add several hours to a journey.
[22] According to a recent study from five countries and territories (Albania, Bulgaria, Kosovo, FYR Macedonia and Montenegro) the payment system is rather anachronistic, one third of all payments to trade are claimed to be in cash. (Stanchev, 2002).
[23] A case in point is the existing visa regime between Croatia and Serbia, which makes business communication lengthy and puts off many interested businessmen.

from the region, thus weakening significantly the human capacity to contribute to a more constructive regional dynamic.

Regional initiatives assessed

Despite the plethora of regional initiatives of which the countries in the region have become members (see following table), familiarity with them is generally low.

Table: Participation of SEE Countries in regional initiatives

Country	AII	BSEC	CEI	CEFTA	RP	SECI	SEECP	SP
Albania	+	+	+	-	+	+	+	+
BiH	+	-	+	-	+	+	+	+
Bulgaria	-	+	+	+	+	+	+	+
Croatia	+	-	+	-	+	+	O	+
FYR Macedonia	-	-	+	-	+	+	+	+
Romania	-	+	+	+	+	+	+	+
FR Yugoslavia	+	-	+	-	+	+	+	+

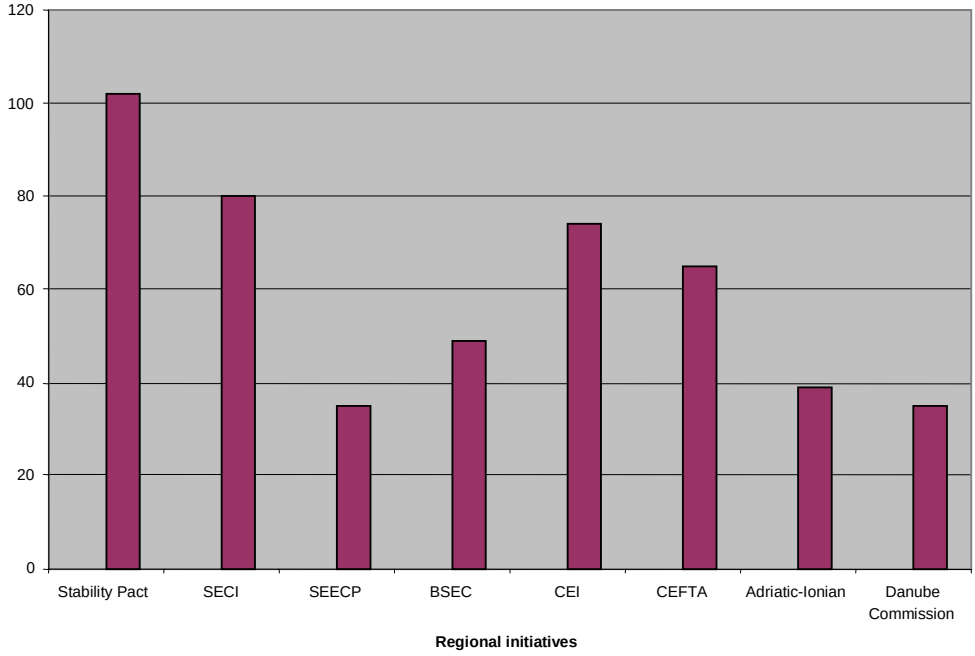
AII: Adriatic-Ionian Initiative; BSEC: Black Sea Economic Cooperation; CEI: Central European Initiative; CEFTA: Central European Free Trade Area; RP: Royaumont Process; SECI: Southeast Europe Cooperative Initiative; SEECP: South East European Cooperation Process; SP: Stability Pact for SEE
+: Participant; -: Non-Participant; O: Observer
Source: Lopandic, 2001

This is primarily attributed to the limited information available locally. According to 84% of the respondents, there is not enough information on regional initiatives. Consequently, the level of knowledge of the particular initiatives depends very much on the nature of one's job and one's drive and willingness to investigate the available schemes and options. The media report on regional initiatives only when there are high-level meetings or when there is a particular project concerning their own country with significant political repercussions.[24] The Stability Pact is the initiative mostly heard about (over 90%

[24] One example is a recent agreement between Romania and Bulgaria on the location of the bridge on the Danube.

of the respondents); yet few people have a clear understanding of what it is all about with the exception of those directly or indirectly connected to it (e.g. officials in the Ministry of Foreign Affairs). Only a very small number of respondents were able to name at least one or two of the most important initiatives undertaken thus far within the Stability Pact framework. Between 73% and 60% of respondents have heard of SECI, CEI and CEFTA; the least known regional initiatives are SEECP, Adriatic- Ionian, and BSEC (see Chart 6).

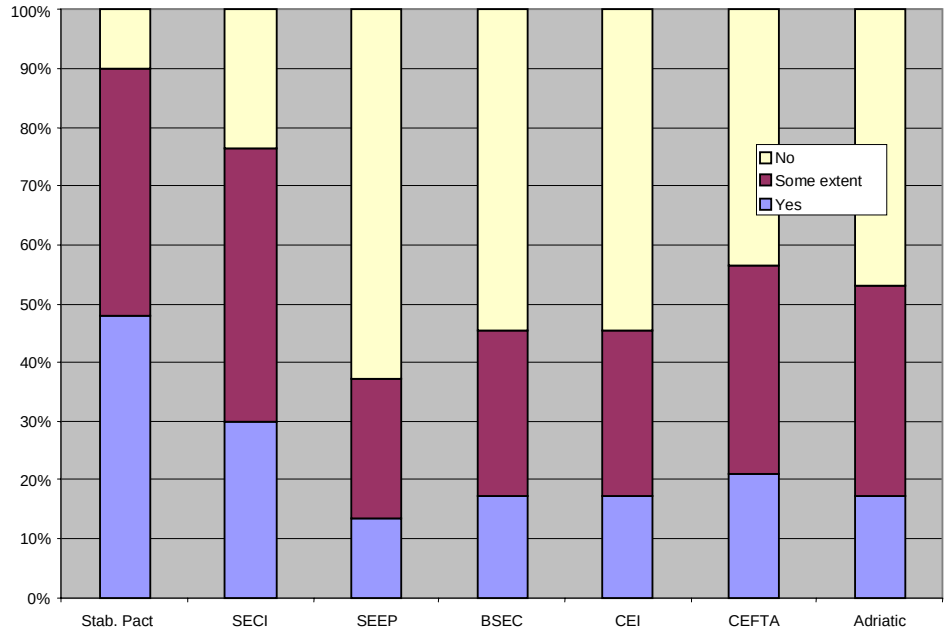
Graph 6: Knowledge of regional initiatives



There are country variations regarding the interest in the particular regional initiatives. For example, Bulgaria and Romania are more interested in the Black Sea Economic Cooperation than in the Stability Pact; Croatia is keener on pursuing its CEFTA membership than engaging more actively in the SEECP. Insufficient knowledge of the regional initiatives clearly affects the perceptions of their effectiveness. With regard to the Stability Pact, 46% of the respondents believe their country has benefited from this initiative, compared to 42% of those who think that it has benefited to some extent and 10% who believe that it has not had any benefits from this initiative. SECI, CEI and CEFTA are also believed to have been beneficial at least to some extent to the respondents' countries; as far as the remaining regional initiatives included in the

research are concerned, the view is that they have not had beneficial effect on the countries concerned (see Chart 7).

Graph 7: Benefits from participation in regional initiatives



There is a shared view that regional initiatives are to the benefit of some of the elites**,** while their impact on economic, social and political processes in member countries has been limited. Cooperation for instance at the level of civil society is fairly intense, yet the impact of various internationally supported schemes is rather limited. Within each society needs and difficulties differ and these schemes fail to consider this. Another common claim is that while some of the initiatives are well designed and focus on the right priorities, their implementation is generally poor. Over-bureaucratisation, lack of funding and too wide and often ill-defined agendas, are most frequently mentioned among the factors affecting the implementation of regional initiatives. Insufficient and inadequate involvement of the EU has been cited as another negative factor.

While most elites involved in this survey tend to think that the inclusion of different sets of countries in various regional initiatives is a useful approach, they believe that there is a

significant degree of overlap in their activities, which creates confusion when it comes to their implementation. Particular problems present those regional initiatives involving activities which to a large extent fall into a purview of long established international organisations. One example is that of the programmes of democratisation featuring prominently in some of the regional initiatives, democratisation being one of the main activities pursued under the auspices of the OSCE. This creates confusion and undermines the status and the impact of the programmes implemented within the regional initiatives framework.

Most respondents (60%) think that regional initiatives are overlapping, while some 30% believe that they are complementary. There is also a widespread view that regional initiatives are not connected, which puts strain on the local human and other resources these initiatives call for. Often the goals and the working methods of the regional initiatives are not well communicated, which in some cases such as the Stability Pact creates great (and sometimes exaggerated) expectations among the public. Very often the Stability Pact is perceived as yet another channel of getting international assistance, a perception which has contributed to the negative assessment of its effectiveness. Much less common is a perception of it as a process of identifying common issues for which regional solutions are required. This is why perhaps it has raised great expectations and subsequent disappointment. It overlaps with other initiatives, lacks consistency and co-ordination and therefore does not contribute much to a more appropriate regional approach that the EU has been talking about. Overall, the elites fail to see the added value of the Stability Pact, they claim they have not understood its real purpose. It has been suggested by some interviewees that realistically the Stability Pact could have the greatest impact on the development of infrastructure.

Although regional initiatives in SEE have predominantly originated outside the region, most respondents (33%) think that their country's involvement in the design of the initiatives has been important and some 21% believe it to have been very important. This response can be taken as largely referring to the Stability Pact as the best-known initiative. The fact that the Stability Pact has designated local co-ordinators plays a role in

the perception of the country's involvement in the design of this particular regional initiative. Still, as high as 43% of respondents think that their country's involvement in the design of regional initiatives has not been important or has been none whatsoever. That an overall lack of more detailed knowledge influences the elites perceptions of regional initiatives is suggested by the fact that SEECP as the only recent initiative coming out of the region itself is among those least known.

- The goals, the contents and the mechanisms of regional initiatives involving the countries of South East Europe are insufficiently known among their elites. The lack of knowledge influences the perception of the actual impact these initiatives have on the society, which is largely seen as marginal. The Stability Pact is the most widely known regional initiative but the assessment of its effectiveness and the results achieved so far is overwhelmingly a negative one. Moreover, despite the talk of 'local ownership' and 'regional input' the single most important initiative generated from within the region (SEECP) is the least known to the elites.

Regional cooperation and European integration

Integration into the European Union is a common goal shared by all the countries included in the research. It is clearly understood that closer integration with the EU is the only hope for a more positive future. This is why the EU is very popular among the elites in the region. The willingness to associate with the EU, determines, to a large degree, the importance attached to regional cooperation, which is to a limited degree perceived as having a value on its own. Thus, only 46% of all the respondents believe strongly that regional cooperation is a route to national and regional stability; at the same time, the percentage of those who are less supportive of this view is higher. In contrast, the view of regional cooperation as a springboard to European integration is overwhelming; some 86% of the respondents believe that regional cooperation is fostering their countries' prospects of joining the EU. This is in line with a high degree of consent regarding regional cooperation as a condition for Western Balkans' prospects of EU membership;

some 62% of the respondents support this type of conditionality. Only in Bulgaria the number of those who disagree with this condition exceed those in favour. In Croatia and Romania the number of those in favour is only slightly higher than those against, unlike in BiH, Serbia and Montenegro and FYR Macedonia where the support for this type of conditionality is much stronger. In some countries e.g. Croatia and until recently Bulgaria there is a fear among parts of the elites of regional cooperation being an alternative to European integration. Most, however, see it as generally complementary processes, provided that each country is assessed in its own right in terms of its readiness for the accession to the EU.

Integration into the EU is viewed as crucial for the long-term stability and prosperity of both individual countries as well as Southeastern Europe as a whole by an overwhelming majority of the respondents. Most see the SAAs as a suitable framework for the Western Balkan countries' accession to the EU (68% of the respondents). Some 28% of the respondents believe it is a delaying tactic on the part of the EU, which is not clear about the further course of enlargement; this view is most common among the academics. The ambiguity with respect to the suitability of the SAA is most pronounced in BiH and Croatia. As with regional initiatives in general, there is similarly a lack of information on SAAs as well as the EU CARDS programme. The EU is criticized, in general, for a lack of communication strategy of its policy towards individual Western Balkan countries.

- Regional cooperation is primarily approached in the context of European integration rather than as having a value of its own. The wars in the region have created objective barriers to cooperation from political, economic down to personal level, reinforcing countries' orientation to step up their links with the EU. The EU approach to regionalisation in this part of Europe has been seen as controversial. European integration and regional cooperation are two processes which are not very well connected in the minds of the elites. Like in other regional groupings in Central Europe or the Baltic countries, there is a perceived incompatibility between the two and a suspicion that regional cooperation might

delay the prospect of European integration. Moreover, there is clearly a lack of an effective communication strategy from the part of the EU.

V.2 COUNTRY REPORTS

Albania

The sense of isolation Albania feels is first and foremost determined by the geography of this part of South East Europe where massive mountain range makes a physical barrier to communication with the rest of the region. Road infrastructure is poorly developed, which has also undercut more intense commercial traffic with the rest of the region. Politically, Albania has had for most of the time tense relations with its Eastern neighbours, particularly Serbia, with which political contacts have been established only recently. To this day the contentious issue has always been the Albanian minority present in significant numbers both in Serbia/Montenegro and FYR Macedonia and the fear that sooner or later the political project of creating greater Albania will gain political currency. Albania has a week sense of belonging to the region. This has been reinforced by the proximity and easier access to Italy and the influence of different cultural experience brought back home by massive Albanian emigrant community.[25] Elites in Albania feel closest to FYR Macedonia than to any other of the countries in the Balkans although they realise that the latter is negatively predisposed towards both Kosovo and Albania. In the regional cooperation discourse FYR Macedonia, Italy and Greece are the focal points.

Albania's main focus in regional cooperation is on security, both external and internal. The regional nature of many problems facing Albania is a major impetus to cooperation. Yet, Albania's grave internal problems of poverty and a lack of functioning state represent an agenda in which regional cooperation is seen as only marginal. This corresponds with a view that lack of security, resources and capacity to provide it by the regional structures, as well as peoples' mistrust, are the main obstacles to cooperation. The political elites are perceived as self-serving, and the quality of the political class is

[25] It is estimated that over 20% of Albanians left the country in the last ten years with prime destinations, Italy and Greece.

viewed as poor. The civil service is seen as composed by low skilled and low paid individuals that lack the ability to identify regional projects. There is, therefore, little trust in the indigenous effort at cooperation and external pressure is deemed essential. It has been pointed out that the international community has been influencing the agenda of regional cooperation. This is to a large degree accepted given that the elites are well aware of the poor state of the economy and low level of internal institutional support.

Cooperation in the economic field has been recently stepped up with Croatia, Slovenia and Montenegro but on the whole this aspect is not considered as very important. Albania is interested in infrastructure projects, which would improve the country with land connections with the rest of Europe. Infrastructural projects have become a focus for regional cooperation as well as anti-crime schemes in the context of the Adriatic-Ionian Initiative. The increasing volume of regional contacts indicates the country's desire to link with the regional and the European context. On the whole, however, the country is more interested in pursuing its association with the EU and its bilateral relations with countries like Italy, US, Germany and Greece, although they tend to keep their reservations regarding the latter's intentions.

There is limited knowledge of regional initiatives in Albania. The Stability Pact is seen primarily in the context of European integration, which takes a central place in Albanian foreign policy orientation. The EU is seen as the most important external influence which will help the country's development through technical and financial support. Yet, Albanian elites are not convinced that there is a genuine EU interest in the country's developments or a clear strategy for the future. Orientation towards the EU and improved regional cooperation are both deployed primarily as a framework within which the support for the domestic programme of reforms is sought both from the local electorate as well as from the international community. In reality, Albania lacks functioning institutions necessary to implement the obligations coming out of any agreement reached as part of these processes.

Bosnia-Herzegovina

Although BiH is principally affected by the developments in its immediate neighbourhood namely Croatia and Serbia, yet its physical proximity as well as historical ties seem decisive in placing the country into the region of South East Europe. For example, although Slovenia has made a distinctive step in disassociating itself from other successor states of former Yugoslavia, there seems to be an understanding that a shared historical heritage makes BiH feel still closer to Slovenia than to Albania, Bulgaria or Romania. Outside of the confines of former Yugoslavia, it is believed that BiH has more affinity with Austria and Hungary, rather than ex-Yugoslavia's eastern neighbours.[26] There is a sense of isolation and disillusionment with the country's position vis-à-vis the region as well as wider Europe among the Bosnian elites and it is clearly understood that the country cannot survive in isolation from the region. The awareness of the region outside the borders of former Yugoslavia and eastwards is only beginning to develop, mostly as an outcome of external approach as reflected in various international assistance schemes.

Regional cooperation from the state's perspective is only recently coming into the purview of the political elites as a result of improved relations with its immediate neighbours, Croatia and Serbia. There is however a lack of clarity as to what are the true benefits from regional cooperation. Among parts of the elites there emerges a strong view that regional cooperation is primarily a political issue and that in reality there is very little of it in all walks of life. Economic cooperation stands out as the most important aspect, which is understandable given the country's low level of economic development, the peoples' economic worries and uncertainties and a pressing need to rid itself of the dependence on international assistance. There is an interest in expanding trade, which at the moment is predominantly with the EU, Serbia and Croatia. The prospect of a bigger and more unified market in a sense of harmonisation of relevant economic legislation is a major pull to co-operate regionally. In that sense, BiH still has to overcome its internal barriers to greater cooperation between its two entities. A need to improve infrastructure,

[26] There is even an element of resentment among some of the elites towards the eastern Balkan countries who in the past were lagging in development behind former Yugoslavia and are ahead of BiH in terms of EU accession processes.

which was severely downgraded by a war-related destruction and a lack of maintenance, makes regional cooperation in this field particularly important. In some areas e.g. refugee return there is an attempt to develop a regional approach in dealing with this complex issue. BiH has a strong interest in co-operating with other countries in combating organized crime and terrorism. Greater cooperation is also perceived as a factor of security understood in its widest sense from the individual level, to the collective (political, economic, military). It also gives BiH greater visibility in international affairs and improves its international standing.

The lack of political will is identified as the main obstacle to regional cooperation; political elites are not perceived to be genuinely interested in the issue. There is a lack of political vision, strategy and even knowledge at the level of the BiH state, which makes the whole issue of regional cooperation and its potential benefits devoid of content. Another strong deterrent is a fear by parts of the elites of regional cooperation leading to re-creation of former Yugoslavia. The lack of a functioning state in BiH and the poor state of the economy are also seen as major obstacles to greater cooperation. The informal sector, which has flourished in an environment of wars, economic sanctions and faltering development of market economy have also played an important part in preventing more intense cooperation among the countries in the region. There is a lack of trust, confidence and understanding of the local and state institutions, which makes the country a weak and unreliable partner in the region. As a result, the country relies heavily on the international community to reinforce solutions to those problems and give a push to regional cooperation. At the same time, there is also a critical approach towards the way the international community has been handling developments in Bosnia-Herzegovina.[27]

The Stability Pact is seen by many as another channel for securing international assistance. However, there is a degree of confusion over the role of the Stability Pact and the related EU integration process such as the EU Road Map for BiH. Formally, there is a

[27] The international conference on "International Support Policies to South-East European Countries; Lessons not Learned in BiH" held in Sarajevo 9-10 February 2002, aimed at a first *local* assessment of the international initiatives in the region. The participants, the majority of them from the region, were quite critical of the international community's approach to regional development.

strong support among the elites to BiH's integration in the EU which is recognised as the only future course for the country and the EU is also seen as the biggest donor. Yet, part of the academic elites has reservations towards the impact of the EU membership on the local economy and others doubt whether the EU has adopted the right strategy for the country and the region. Confusion over EU matters is aggravated by the lack of expertise among officials in the relevant ministries. In reality, the true political agenda in BiH does not revolve around the EU integration issues despite the official rhetoric. Coverage of the EU matters in the media is poor and at an abstract level. Like in other countries, the worry is that external pressure on greater regional cooperation implies that BiH is left out of EU integration process. This explains for example why the proposals for a Customs Union in the region have not been enthusiastically embraced. There is a general fear that such a development would create two Europes.

Having said that, one has to distinguish between perceptions both at the ethnic as well as at the entity levels. While there is a certain process of reconciliation at the level of elites, which is materialised by frequent meetings (academic, business, NGOS), there is still a lack of confidence and trust between Bosniaks, Serbs and Croats. Bosnian-Serbs are closer to the Serbian nationalist approach and have closer links with Serbia. Bosnian-Croats are more attached to the Croat nationalist approach and have closer links with Croatia while Bosniaks appear more internationalist, integrationist and in favour of regional cooperation, both by choice and by necessity. At the entity level, there are some differences between the Federation (FBiH) and Republika Srpska (RS). The elites in the FBiH appear more internationalist, more open to regional cooperation, occupied with economic anxieties and with greater confidence in private enterprise. The elites in RS feel closer to orthodox countries like Serbia, Russia, Greece and Montenegro, they are more sceptical towards the international community and the EU, but they are equally worried about economic issues as their entity faces grave developmental difficulties and is more underdeveloped even by Bosnian standards.

Bulgaria

The notion of the region among Bulgarian elites is quite diverse. In geographic and historical sense, Bulgaria feels closer to Romania and FYR Macedonia, and to a lesser extent to Serbia, Turkey and Greece. There is a lack of regional interest in BiH, Croatia and Albania. Bulgaria is eager to reassert its distinctiveness in the region, having successfully handled the issue of ethnic minorities and its own difficult economic and political transition. It also considers itself more advanced in terms of economic and democratic reforms. Therefore, it finds it inappropriate to be grouped with the countries of the Western Balkans and is determined not to allow to be drawn into a "pool of regional indistinctiveness", as suggested by one interviewee.

Regional cooperation is not a priority for the political or economic elites in Bulgaria. The political elites' recognition of the importance of regional cooperation is fairly recent and is focused on economic and security aspects. Regarding economic interests, these are most developed with Turkey and Greece but on a bilateral basis. Infrastructure, combating organized crime and culture are also important areas for furthering cooperation in the region. Having said that, Bulgaria does not have some specific and clearly defined interests and priorities for regional cooperation. Regional cooperation is mainly seen as an accompaniment to processes leading up to the accession to the EU. Thus, priority is cooperation with those countries that can reinforce Bulgaria's prospects for EU integration. In Bulgaria, more than in most other countries included in the research, the role of civil society and culture are important aspects of regional cooperation that have to be addressed further. A common Slav origin of most nations in the Balkans, apart from Albanians, is often mentioned as a factor facilitating communication and contributing to cooperation.

Instability in Bulgaria's immediate neighbourhood i.e. FYR Macedonia and Kosovo, and further a field in BiH, is seen as a strong deterrent to intensifying regional cooperation. An uncertain prospect of EU membership, in spite of all the rhetoric to the contrary, pities the countries of the region against each other. Thus, Bulgaria is constantly trying to

assert its advantages over Romanian EU entry, which is counterproductive to enhancing cooperation. Bulgaria has participated in various regional initiatives and believes there is a great scope to do so as an initiator of new ideas and a donor rather than a beneficiary. This corresponds with a view of Bulgaria being ahead of the rest of the region in institutional development and democratic practices, and which does not share the same concerns as the rest of the region. In addition, it has helped FYR Macedonia negotiate its SAA and is stepping up cooperation with Serbia regarding sharing its experience in economic reforms or EU accession matters. Bulgaria is very cautious not to be involved in any kind of institutional arrangement, which could derail it from its EU accession direction. The Black Sea Economic Cooperation initiative is seen as a more important framework for cooperation than the Stability Pact because of the countries involved and the fact that the BSEC concentrates on specific projects unlike the Stability Pact, which is vague and static. It has been suggested by some that the Stability Pact's impact could be potentially more significant on democratisation and strengthening of the civil society, and much less so on infrastructure.

In Bulgaria, there are contradictory opinions regarding the relations between regional cooperation and European integration. Because of its central geographic position, there is a view that Bulgaria is being pushed to become some kind of engine for other countries in their efforts to join the EU. Thus, the view among some sections of the elites is that Bulgaria should concentrate on the EU integration processes and proceed on its own, downplaying the regional orientation of the country. Bulgarian elites are firmly against being perceived as belonging anywhere else but to Europe. While being part of a strong region would help Bulgaria in progressing to the EU, at the moment the fulfilment of the criteria for accession is perceived as much more important. However, there is also the view that regional cooperation is a necessary step in the progression towards the EU and that Bulgaria should participate more actively. The new government appears to pursue this line[28].

[28] Symbolically, the second official visit of the Bulgarian prime minister upon entering the office was to Skopje, the first one being to Brussels.

Croatia

Croatia's regional identity is controversial for both internal as well as external reasons. Historically and culturally, Croatia sees itself more as a Central European country; it shares the same religion as most of Central Europe and was historically more orientated in that direction. Economically, it is more developed than the rest of SEE and, to some extent, has different economic priorities. Politically, it sees itself as the most stable country in the region. The domestic discourse places an overwhelming emphasis on the heterogeneity and diversity of the region and the weak economic and communication links. There are attempts on the part of the political elites to disassociate Croatia from the other Yugoslav successor states, an attitude widely shared by some sections of Croatian population. There is a certain degree of inferiority complex vis-a-vis Slovenia, the latter having managed to anchor itself firmly into Central European framework, which in turn undermines further Croatia's sense of belonging to the region.

Part of the political elites share the view that Croatia has historically never had a problem with regional cooperation. Therefore, in the contemporary context it could assume the role Austria once had in a sense of becoming a regional centre for negotiations on trade, business exchanges etc. Croatia is primarily interested in developing closer links with more developed countries to secure better access to know how or technology. Furthermore, closer cooperation with Hungary, Poland and Czech Republic could help Croatia learn from their experience in EU integration matters and therefore help her prepare better for the eventual EU accession. Thus, there are clear arguments why Croatia has a strong interest in co-operating with Central European countries and not primarily with those in Southeastern Europe. While the elites understand that regional cooperation is necessary, opinion polls reveal some 70% of the public is not in favour of closer cooperation with SEE.[29] The reasons are related to the wars in the region and their consequences, as well as perceptions of Croatia as more developed country and weak cultural links such as religion or language, particularly with Albania, Romania and

[29] According to a latest Public Opinion Survey on European Integration conducted by the Croatian Ministry for European Integration, which can be found at www.mei.hr.

Bulgaria. At the same time, although doing business with other former Yugoslav countries is acceptable, there is a strong fear that this could lead to the re-creation of SFR Yugoslavia with its dominant Serbian component.[30]

Cooperation at the economic level with emphasis on trade issues, is the aspect most talked about. Because of the break up of SFR Yugoslavia and subsequent wars in the region, Croatia lost its traditional markets both in the region as well as Eastern Europe and is keen on recapturing them. Significant benefits to Croatia are also expected from improvement in regional infrastructure. At the same time, Croatia needs better transport corridors in order to link the country to the rest of Europe. Interest for regional cooperation is particularly strong among Croatia's businessmen who have voiced their criticism over the government's lack of engagement in promoting the country's economic links in a regional context. Lack of regulation and absence of bilateral agreements aggravate business cooperation e.g. visa regime, payment system regulations. Lack of information on the opportunities for cooperation as well as corruption are some of the important obstacles to greater cooperation at the business level.

However, other aspects of regional cooperation such as democratisation, culture and security are viewed as equally important to Croatia. Besides infrastructure and trade, it is interesting to note that Croatia perceives itself as a country which can contribute to cooperation in matters of democracy building and civil society. This corresponds to an overall impression of itself as more advanced in democratic processes and institutional consolidation. Overall, regional cooperation in all aspects is seen as desirable but the common interests and mutually acceptable terms of cooperation are a necessary precondition while there is a strong resentment to any form of institutionalisation of cooperation at a regional level. Security in the region is of paramount importance to Croatia as its economy, in which tourism is one of the key activities, has suffered greatly from the instability in the region. Cooperation with Albania, Romania and Bulgaria is proceeding without problems but this is a new territory which is developing against strong historical prejudices.

[30] Croatia has a constitutional clause banning any arrangement that could result in a political union along the lines of former Yugoslavia.

Regional issues are superficially covered in Croatia's media. An adequate marketing strategy to promote regional initiatives is missing. It is the reason why among the Croatian public, for example, the Stability Pact is perceived as an initiative that pushes Croatia to the southeast of Europe. Moreover, it is believed that the EU has made the Stability Pact look like a new source of funding whereas most of the available funds are in the forms of loans, which Croatia can obtain without the Stability Pact. More attention is given to the initiatives that place Croatia outside the Balkan context e.g. CEI, CEFTA, and Adriatic-Ionian.

According to the Croatian elites, the EU notion of the Western Balkans is not based on objective criteria but rather on its own internal considerations and the negative legacy of the Tudjman era when the country was isolated from the West. According to some, the EU continues to perceive Croatia as part of former Yugoslavia and its regional approach does not give credit to the more advanced state of development of the country. As a result, there is an inherent problem with conditionality imposed on regional cooperation by the EU. Integration into the EU is Croatia's main goal, and this process has to be pursued bilaterally. The prevalent view is that multilateral relations can come out of successful bilateral relations. This is a preferred approach when it comes to regional initiatives too. The bilateral approach is favoured so that any sub-regional integrative elements entailed in these initiatives are avoided.[31] Overall, Croatia is not happy to be treated as a potential candidate to the EU. Political elites by and large subscribe to the view that insisting on closer regional cooperation is not helping Croatia's strategy of EU accession.

FYR Macedonia

FYR Macedonia is a landlocked country surrounded by exclusively Southeast European neighbours. Most Macedonians feel that they are largely victims of the country's

[31] This explains for example Croatia's rejection of a recent proposal to establish common market with Albania, BiH, SR Yugoslavia and FYR Macedonia. The argument is that this framework would not bring Croatian businesses any more benefits than provided via bilateral agreements. See the response of the minister of foreign affairs to the proposal by the German minister of foreign affairs to establish a Western Balkans common market: www.mei.hr

geography, surrounded by neighbours that have at one point or another threatened the existence of a Macedonian nation-state.[32] At the same time, FYR Macedonia was until recently considered by the international community as the only country, that was spared the inter-ethnic violence and as an island of stability and democratic co-existence of different ethnic communities despite adverse regional circumstances.[33] Yet, the post-war situation in Kosovo did have its toll on the country which came close to a civil war in 2001. Thanks to the more moderate character of those involved in the conflict and the quick reaction of the international community, FYR Macedonia has avoided a large-scale civil war, on the model of BiH. The above shows the vulnerability that Macedonian elites and public feel with respect to changes and developments in the region and their need to develop closer links with their neighbours. In the current reality, the country feels threatened by Albania and Kosovo, but is open to regional cooperation with all the other SEE countries especially the former Yugoslav republics with which it has held traditional ties. Moreover, Macedonians feel that the country can benefit from bilateral relations with EU countries such as Germany, Greece or Italy.

The elites stress their sensitivities in terms of regional security as their country shares weak and porous borders with Kosovo and believe that the country could benefit in terms of advancing dialogue on security and military issues, at a regional level. This has to do with the recent war in the country and their distrust towards Albania and the Albanian community in FYR Macedonia. Although the Stability Pact was seen as absent in the Macedonian conflict, the political elites feel that the country can still benefit from it in terms of advancing dialogue on security and economic issues. Corruption, organised crime and the informal sector are also seen as a major obstacles to economic cooperation which is of particular importance to a country of such a small market. Economically, the country feels it can benefit from links with its neighbours as the experience with Greece investors has shown and the traditional economic ties with Serbia. By and large, Macedonian business is mostly driven towards Bulgaria and Serbia but this is on an ad

[32] Greece vetoes international acceptance of the country's name, Serbia denies the autonomy of its church, Bulgaria the existence of a Macedonian language and a Macedonian nation, Kosovo does not recognise the borders between FYR Macedonia and Yugoslavia.
[33] FYR Macedonia was affected economically by the Greek embargo during 1994-95 or by international sanctions to Yugoslavia and bore the biggest wave of Kosovo refugees in its northern territory during the 1999 war in Kosovo, managing at the same time to stay away from the conflict.

hoc basis rather than a more systematic context. This is due to a lack of knowledge or information which is not provided by the appropriate agencies. It has also been pointed out that political issues and political interference have been obstructing the process of economic cooperation. In this ethnically divided country, there is an implicit fear that regional cooperation might lead to the federalisation of the country.

Despite having been rewarded by the EU with a Stabilisation and Association Agreement, Macedonian elites feel that they have been treated unfairly during the recent war and that the Albanian 'aggressors' have mostly benefited from international intervention. This has had its toll on the popularity of the EU and NATO among civilians, although it is realised that most of the crucial decisions are being imposed from abroad and that the European Union is the only option for a better future.

Romania

Romania has been undergoing a difficult process of transition, remaining one of the region's poorest economies with traditionally limited political and economic links with its Southeast European neighbours. From the start of the transition Romania made membership of the EU and NATO the main goal of its foreign policy, which resulted initially in a desire to extract itself from the region and to neglect the regional cooperation aspect in its foreign policy. The issue of developing relations with neighbours gradually captured the official discourse, as a result of the EU's insistence on good neighbourly relations, an important criteria in assessing the potential candidates readiness to join the EU. However, the notion of regionness understood by the Romanian elites focuses on relations with neighbouring countries like Hungary, Ukraine, Moldova and Bulgaria (with which bilateral issues have been raised) or with countries like Greece or Turkey. Romania took a proactive role in settling important disputes over minority rights and borders with Hungary and Ukraine, which had burdened political relations with these two countries in the past. This paved a way for greater cooperation, making Hungary one of its most important trade partners outside the EU. It has proceeded with signing bilateral and trilateral agreements with the countries in the region and joined all

the major regional initiatives. In particular, Romania is trying to maintain and develop relations with Greece which it sees as beneficial to its EU membership goal. Because of the nature of issues concerned -minority rights in the case of Hungary, contested territory in case of Ukraine- Romania has been more engaged with these two countries and is only recently developing an interest in its Eastern neighbours with which it had little relations during communist times not least because of the isolationist policy of the Ceausescu's regime. While a sense of belonging to the region exists largely in cultural and historic terms, affinity is greater with Serbia than with other SEE countries.

In spite of its difficult transition, Romania has been able to maintain political stability, an asset which it has tried to use to strengthen its international standing and to gain a more prominent role in the region. Romania's primary concern is security and economic development and contributing to progress in these areas is its main motive for promoting regional cooperation. Regional cooperation in trade, infrastructure and communications are deemed beneficial for Romania's economy, which is by far the country's most pressing problem. Significant scope for cooperation exists in infrastructure, energy and political relations among the countries. Regional cooperation is also seen as important in addressing problems which are regional in character such as organized crime and environment. The main obstacle to cooperation is low security in the region and weak and diverse legal frameworks in individual countries.

Romania has taken an active interest in the Stability Pact and sees itself as both a recipient and a donor. The Stability Pact is mostly perceived as a framework for addressing the problems of the Western Balkan countries and the reconstruction of war-damaged societies in the former Yugoslav region. Apart from providing the opportunity to benefit economically from cooperating with its neighbours and to contribute to improved security and infrastructure in the region, Romania perceives the Stability Pact framework as yet another channel it can use in support of its European integration efforts. Most of the interviewees consider the EU as the main context for a better future of the country, through financial support, technical assistance and institution building. There is also an implicit competition with the other EU candidate country Bulgaria (although it is

appreciated that the latter has faired better) and the expectation among some of the interviewees that Croatia might make it sooner to EU membership than the two candidate countries in the region.

FR Yugoslavia

FR Yugoslavia is seen as a central country in the region (not just by its people but by the wider international community) because of its size and its central geographic position. Yugoslav elites perceive the region in rather broad terms, geographic, historic, cultural and economic, feeling closer to the successor countries of SFR Yugoslavia, and sharing common links with Bulgaria, Romania, Albania, Greece and Hungary (not identical with all of these). Elites in Belgrade appeared rather confident in their ability to contribute to the goal of regional cooperation, a fact which is associated both with the central geographic location of the country as well as the existence of experienced human capital, a legacy of the previous Yugoslav era.

Regional cooperation is primarily understood in terms of economic cooperation and this appears to be its most frequently discussed aspect, with an emphasis on fostering trade links. As the largest market in the region, FR Yugoslavia stands to gain the most from increased regional economic cooperation.[34] There is a consensus that regional cooperation in infrastructure is important and desirable and it involves additional investment in which the EU might not be interested. Equally important to cooperation at the economic level is cooperation in democratisation. Serbia has only recently experienced democratic transition and democratic consolidation is one of its main preoccupations. On the ground there is a fair deal of cooperation among civil society actors. Not uncommon is cooperation outside the internationally sponsored schemes, often relying on contacts and networks that existed when Serbia was a part of SRF Yugoslavia. Cooperation in culture and sport, in which there were some positive achievements prior to 1990s, is currently out of focus, and arguably wrongly so. In some areas such as economics, Serbia is more interested in intensifying cooperation between

[34] There are however dissenting voices regarding the usefulness of the regional cooperation in the area of trade liberalisation since the EU accession process will eventually set up the terms of engagement for all the countries in the region.

the successor states of former Yugoslavia as opposed to Romania, Albania and Bulgaria, while in others such as science and technology no such differentiation is made.

The main obstacles to regional cooperation are perceived to be political, primarily tension in relations between Serbia, Croatia and BiH. It is considered impossible to advance regional cooperation nor indeed to conceive of a region unless these relations are normalised. There is still a high level of mistrust following the wars in the region, the lack of political will to step up the normalisation of relations despite democratic changes in Croatia and Serbia and a more widespread reluctance to face up to past responsibilities. The current Serbian political elite is not perceived to be genuinely interested in a dialogue with Croatia and BiH. It is still considered to be, to some extent, under the shadow of Milosevic's regime and anti- reform forces remain strong.

The Stability Pact, SECI and CEI are the best-known regional initiatives in FR Yugoslavia. Overall, the representatives of the academia tend to be better informed than other segments of the elites. However, business elites are better informed about CEFTA than other initiatives. The Stability Pact features prominently in the work of the government but most of those interviewed have no thorough knowledge of it. Unfamiliarity with the Stability Pact is partly due to the fact that FR Yugoslavia only joined the Stability Pact a year ago and that it has not been well communicated and well understood. Overall, there is a general willingness to work within the existing context of regional initiatives and a clear consciousness that the role of Serbia is very central for the effectiveness of regional cooperation.

It is also felt that there is a discrepancy between what the EU projects as its Regional Approach and how this is interpreted on the ground. Recent attempts by the EU to come up with a regional approach have been conceived more as a block-type approach aimed at coercing Serbia under Milosevic into more constructive engagement in the region. Although Milosevic's era is over, there is much of an institutional inertia in the existing approach, which makes it in many respects inefficient in tackling the most pressing regional issues. One of the main objections is that it is not clear what the actual benefits

the countries concerned will accrue from the regional approach or various regional initiatives. A degree of cynicism has been expressed by some in suggesting these initiatives are primarily driven by the external players` own concerns rather than reflecting genuine interests of the countries of the region. Some interviewees have suggested that in FR Yugoslavia there is a degree of xenophobia and that the EU's insistence to regional cooperation is perceived as a new way of colonisation of SEE. However, more common than in other countries in the region, is a view that regional cooperation has a value of its own and is necessary when it serves the country's internal concerns of development, security and stability, rather than primarily the rapprochement with the EU.

VI. CONCLUSIONS

There is a common perception among Western academics, analysts, journalists and policy-makers that the Balkans constitute a region with its own historical, cultural, security, political and socio-economic regional identity; yet it is a regional identity which is mostly defined in negative terms based on economic backwardness, political incompetence and lack of security, to the point that the notion of 'Balkanisation' entered the political parlance to denote conflict-prone and uncivilised way of conducting any kind of affairs (from the personal to the state, regional or international).

The international community has implicitly adopted two criteria -apart from the obvious geographic location in the South East of the European continent- for the definition of the region. The first is the actual (success or failure of the) transition process itself; the second is war in the former Yugoslav territory. The region, therefore, consists of countries with less developed economic, social and political structures, which have been involved, directly or indirectly, in the recent wars. Based on the combination of those two criteria, FR Yugoslavia, BiH, FYR Macedonia, Croatia and Albania constitute the core of the Balkan region. By the same token, Slovenia - until recently an integral part of former Yugoslavia- is not part of the Balkan region anymore, having successfully managed its transition process and having distanced itself from the wars in the former Yugoslavia. Bulgaria, for its part, is geographically too central in the region not to be considered part

of it, while Romania, a country situated in the north-east of the Balkans and clearly affected by other regional configurations is included in the SEE region based on its belated and problematic political and economic development which fits more appropriately with its neighbours in the south. Hence, despite the recent adoption of the more acceptable term of 'South East Europe', to replace the charged term 'Balkans', the negative connotations associated with the notion of the region of SE Europe remain central in the perceptions of the extra-regional actors. This negative perception has shaped the international approach to the region, which has been predominantly conceived as a reaction to the crises and wars and with all the attributes of a crisis-management approach.

Our analysis shows that the notion of regional cooperation in SE Europe is equally problematic as the notion of the region itself. Despite the plethora of ideas, international policies and pressures, as well as regional initiatives, regional cooperation has never managed to take off. Although, from a regionalist theory perspective, there seem to be many elements in favour of a policy of regional cooperation (geographic proximity, common Slav origins, shared communist experience), regional cooperation in SE Europe is mostly defined by the obstacles to the process rather than its actual potential and benefits. More than elsewhere in Europe, the factors conducive to cooperation tend to become obstacles; when compared with the other sub-regional groupings in Central Europe and the Baltic area, SE Europe clearly lacks in both regional focus and cooperation results.

But why has not cooperation in Southeastern Europe succeeded in the new regionalist environment of Europe? According to the existing literature, this is due to the lack of the appropriate extra-regional and intra-regional environment conducive to cooperation. The first, guided by the EU, has only recently managed to come up with a more consistent regional policy, based on the Stabilisation and Association process, financial assistance and a reassured political presence in the region; yet, as regards the Stability Pact as the most prominent regional initiative involving SEE, there is still much to be desired. Moreover, internal features such as major flaws at both the macro- as well as the micro-

economic levels, an extensive informal sector, lack of reliable legal systems or weak civil societies have been identified as the main shortcomings at a regional level. Such structural defects, similar to all the countries in the region, have an immediate toll on the quality and intensity of cooperation.

But even more problematic has been a lack of intra-regional consensus on the importance of regional cooperation for the prospects of individual countries as well as the region as a whole. Our research findings suggest that local elites do not regard regional cooperation as an important policy tool in its own right, and that support for regional initiatives is often just a token gesture without clear understanding of their purpose. The reasons for this are manifold and can be summarised as follows:

- There is no shared notion of the region but different conceptions, different influences and different criteria among countries and sectors of the elites. All this limits the ability to create a regional identity as a mental area of common perceptions regarding the regional, extra-regional and international realities.
- Most countries in the region have a negative predisposition towards their neighbouring countries and feel that they have very little to gain from cooperating with their neighbour. This negative perception has been reinforced by the ambiguous status the region has had in the re-configuration of the European political space following the end of the Cold War.
- Although the elites are aware of the existence of common and regional problems and are most keen on promoting the economic aspects of regional cooperation, they lack the capacity to identify their own country priorities and to formulate how they can be best achieved through specific regional projects.
- Lack of political vision and concern for its own self-preservation on the part of the political leadership in most of the countries is perceived to be counter-productive to furthering constructive relations with neighbours.
- The elites' knowledge of regional initiatives is scant. They are by and large disillusioned with the existing regional initiatives and see them as something

imposed on them and only marginally relevant to the problems of their own countries.

- Local elites view regional cooperation for the most part as competitive to the goal of European integration - recognised as the only process that can lead the countries to peace, stability and prosperity – and the ultimate target of EU membership. At the same time, they are not well acquainted with the specificities of the process and even less so how in concrete terms regional cooperation can contribute to it.

Having said that, the current context – extra-regional and internal- seems more conducive to regional cooperation, than previously, in that it has diminished the degree of negative predisposition towards regional interaction. The key issue in policy terms is how to strengthen the emerging positive change in the local perceptions towards cooperation and how to build on it. It is clearly acknowledged by all the actors involved that building networks of interdependence in that part of Europe will take time and that it is a step-by-step approach. This approach has to include clear goals, road maps and benefits that will generate a genuine interest in local players to pursue regional schemes with neighbouring countries. Most important, it has to be linked constructively to the process of European integration in order to create a more positive perception of the Balkan region and, effectively, of South East European regional cooperation.

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South East European Cooperation Process: www.seecp.gov.mk

Stabilisation and Association Process: www.europa.eu.int/comm/external_relations/see

Stability Pact: www.Stabilitypact.org

Transition On Line: www.tol.cz

The Vienna Institute for International Economic Studies, Balkan Observatory: www.wiiw.ac.at/balkan

Visegrad, www.visegrad.org

Woodrow Wilson International Center for Scholars, East European Studies: wwics.si.edu/ees

List of interviewees

Belev Boyan, Professor, Centre for the Study of Democracy
Bezovan Gojko, Professor, University of Zagreb
Bogosavljevic Srdjan, Professor, University of Belgrade

Culo Karlo, Directorate for the Integration Strategy, Ministry for European Integration, Croatia

Daianu Daniel, Professor, Romanian Academy of Science
Denda Aleksandar, President, Balkan Investment and Development Company

Ganev Guido, MP, Bulgaria
Ginko Gjergi, NGO, Tirana
Gjonca Aarjan, Lecturer LSE
Grebo Zdravko, Professor, University of Sarajevo
Grigic Boris, Minister Plenipotentiary Ministry of Foreign Affairs, Croatia
Grubisa Damir, Professor, University of Zagreb
Gruia Gabriela, Programme Manager, Romanian Academic Society

Hadziahmetovic Azra, Minister, Ministry of Foreign Trade and Economic Relations, BiH
Halilovic Mehmed, Former editor-in-chief, "Oslobodjenje", Sarajevo

Iskrov Ivan, Head of the Budget and Finance Committee, National Assembly, Bulgaria
Ivancevic Zeljko, General Secretary, Croatian Employers' Association
Ivankovic Zorana, Adviser to the Stability Pact Co-ordinator for FRYugoslavia
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Jankovic Aleksandar, Deputy Director, Dunav Osiguranje, Belgrade
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Kovac Ivica, Deputy minister, Ministry for refugees and displaced persons, BiH
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Krasteva Ana, Professor New Bulgarian University
Krikorian Roupen, MP, Bulgaria

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Manakovski Sasko, Manager, Macedonian Bank for Development Promotion
Markova Elitsa, NGO, Sofia
Markovski Igor, Assistant Director, Sector for European Integration, FYR Macedonia
Matic Veran, Editor-in-Chief, B92-Radio Station, Belgrade
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Misic Milenko, Head of European Integration Ministry of Foreign Affairs, BiH
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Suman Zeljko, Professor, University of Mostar

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1. Between engagement and cold feet: ten years of the EU in the Western Balkans

Rosa Balfour and Corina Stratulat

Introduction

While the Western Balkans have become progressively more stable, during the past decade the EU has moved from the solemn commitments of Thessaloniki to a more laboured strategy of engagement. So-called enlargement fatigue, some 'digestion' difficulties of the 2004-2007 rounds of enlargement, and the economic crisis together have led to a review of the means and tools of EU policy. This chapter analyses how and why the ways in which the EU engages with the region have changed, in terms of its stabilisation and security policies, as well as of its pre-accession and accession policies. The development of more exacting conditionality, often accompanied by *ex ante* demands to meet conditions, coupled with a more haphazard commitment within the member states on the strategic prioritisation of enlargement, have made the enterprise more fragile and exposed to the vagaries of domestic politics. These developments, however, have not altered the EU's overall commitment, making the whole relationship between the EU and the Balkans a challenging policy area in need of a new lease of life.

BACKGROUND

Much has happened in Europe during the decade since the Thessaloniki Declaration of 2003 – the 'decade without a name', as Timothy Garton Ash [2010] put it. In 2003 the EU experienced deep divisions over the military intervention in Iraq. To mend fences, at the end of the year it coalesced around a European Security Strategy, the first attempt at defining a doctrine for foreign policy. Its emphasis on supporting democratic change in the EU's neighbourhood as the best means to guarantee Europe's security was strongly influenced by the EU's experience in the previous decade with enlargement to Central

and Eastern Europe and in dealing with conflicts in the Balkans. That combination of democracy and security underpinned the strategy and commitment made by the then EU-15 in Thessaloniki: the only way to anchor stability and bring conflict to an end in the Balkans was to open up the doors of the European family, to ensure that the spectres of Srebrenica would not return, as they had done in Kosovo in 1999 and Skopje in 2001, and to irreversibly make them democracies.

The past decade has also seen peace take hold in the Balkans. The consequences of the breakup of Yugoslavia still hang over the region and destabilising events have taken place, but they have occurred peacefully. In 2006 Serbia and Montenegro divorced. In 2008 Kosovo declared its independence from Serbia, and despite the still unsolved statehood of both, the past five years have seen only sporadic and circumscribed episodes of violence. In spring 2013 the two sides reached a political agreement to normalise relations, under the auspices of EU facilitation. These experiences have undoubtedly been helped by the prospect of European integration.

But within the EU, the constitutional process which started in 2003 to match expansion and external ambitions failed. In 2005 the Dutch and French No votes turned the EU's Constitutional Treaty into yet another difficult process of intergovernmental reform. In 2004 and 2007 the EU increased its diversity by welcoming twelve new member states but without bringing political integration to a higher level. Then came the economic crisis, and its unprecedented threat to deal a blow not just to the single currency project but to the European Union as a whole.

The shorthand for capturing the impact of these developments on the Balkans is 'enlargement fatigue', although symptoms and consequences run deeper. During the past ten years the EU has lost its appetite for doing what it does best: expansion. Although the tools, methods and approaches of the enlargement process have been improved, also as a consequence of these developments, the 'unequivocal support to the European perspective of the Western Balkan countries' expressed by the EU in Thessaloniki has been fizzling out. The challenge for Thessaloniki 2 is to sustain the overall strategy at a time of waning commitment.

STATE OF PLAY

Not just another enlargement

The criteria formulated by the 1993 European Council in Copenhagen remain the blueprint for accession. Essentially, these require EU hopefuls to have stable democratic institutions, a functioning market economy and the ability to adopt and implement the *acquis*, which has expanded over six decades of deepening and widening to encompass an ever-larger policy universe.[1] This last point makes the Union, by definition, a 'moving target' and sets the bar increasingly higher for any future entrant. Article 49 of the Treaty on the European Union (TEU) also allows the European Council to set further 'conditions of eligibility' for acceding states.

The second leg of the EU's overall approach to the region is based on a strong security dimension, with its own repertoire of action, including various peace agreements and political deals (UN Resolution 1244 and the Dayton, Kumanovo, Ohrid and Belgrade Agreements, the normalisation of relations between Serbia and Kosovo); the Stabilisation and Association Process, launched for the entire region in the aftermath of NATO's war in Kosovo; and the multilateral Stability Pact for Southern Europe – replaced by the Regional Cooperation Council in 2008. These set additional criteria – the 'Copenhagen Plus' criteria – for the Balkan states with regard to democratic principles, regional cooperation, refugee return, and the full cooperation with the International Criminal Tribunal for the Former Yugoslavia (ICTY).

The Copenhagen criteria have been further elaborated on the basis of lessons learned from the eastward enlargement. For one, 'good governance' criteria – maintenance of the rule of law, an independent judiciary, efficient public administration, the fight against corruption and organised crime, civil society development, and media freedom – have acquired new salience. Following the experience with Croatia's negotiation process, the Commission now favours an early start on the most difficult areas of reform, such as those in Chapter 23 on Judiciary and Fundamental Rights and Chapter 24 on Justice, Freedom and Security. In June 2012, Montenegro was the first country to have to open precisely these two chapters in the early stages of its EU accession talks and close them last.

The method for applying enhanced conditionality has also become more exacting, by tying any steps forward more closely to actual results. New mechanisms were introduced,

1. The EU's capacity to absorb new members while maintaining the momentum of integration is also an important consideration.

for instance: opening, intermediary, equilibrium, and closing benchmarks; safeguard clauses to extend monitoring; more routine procedures to suspend negotiations; and the requirement for countries to demonstrate a solid record in reforms. And the EU is now adamant about dealing with any pending issues prior to accession, when its leverage was most robust.

To keep the process moving while addressing some of the shortcomings of previous accession rounds, the Commission has adopted more ingenious tactics that aim to help the Balkan countries to move forward on the EU track. To counter the limbo in which the former Yugoslav Republic of Macedonia (FYROM) has been since its recognition as a candidate country in 2005, the Commission launched a High Level Accession Dialogue in March 2012; the Structured Dialogue on Justice with Bosnia and Herzegovina kicked off in June 2011 so as to consolidate the independence, effectiveness and professionalism of the country's judicial system even prior to the entry into force of the Stabilisation and Association agreement. At the same time, the Commission is tightening its oversight and pressure on reforms and domestic changes through the early screening process, for instance with Albania to help the country overcome the two-year stalemate due to polarised government-opposition relations [Stratulat and Vurmo, 2012].

When the going gets tough, the tough get going

These strategies have so far kept the process of enlargement rolling, if only on a step-by-step basis rather than through grand initiatives, in an ever more complex political and economic context and in spite of daunting regional and country-specific problems.

The challenge of calibrating the pressure to keep up the momentum of enlargement while maintaining the efficiency of conditionality is, in itself, complicated to manage. But a combination of fickle member states and regional malaise creates further hurdles. The divergence between the member states and the Commission has weakened the latter's strength and authoritativeness on enlargement. The dossier is not exactly a priority for the member states. If anything, it has become easier in the currently difficult economic climate to tap into people's uneasiness about the potential negative consequences of enlargement for electoral gains. And the many and complex problems still confronting the region – from war legacies, statehood issues, political polarisation to ethnic tensions – only foster the member states' 'wait and see' or 'go slow' approach to enlargement.

Indeed, the past few years have witnessed a 'creeping nationalisation' of enlargement [Hillion, 2010], and have shown the risks that bilateral issues can disrupt the accession

process. The Council, rather than the Commission, is increasingly setting the benchmarks and conditions for progress. In 2009, when Albania submitted its application to the EU, Germany waited for the approval of the Bundestag before asking the Commission to formulate an opinion. In December 2011, when the Council needed to respond to Serbia's application for membership, to which the Commission had already given a positive – if conditional – *avis*, the Council delayed the answer to March, requesting Serbia to further demonstrate its fulfilment of the conditions set. These incursions often amount to delaying tactics: before reaching clear decisions, the Council requests additional reports from the Commission or other agencies, such as the Europol for Montenegro.

Existing bilateral issues between EU and aspiring member states have also complicated the process. Slovenia blocked the opening of new negotiating chapters with Croatia for a whole year in 2008 before its citizens decided that its maritime border should be agreed upon through international arbitration. And ratification by the Slovenian parliament of Croatia's accession treaty was dependent on solving the row over the former Ljubljanska Banka earlier this year. The acrimonious name dispute between Greece and FYROM drives this point home. Here, the accession process and the tools deployed by the Union do not seem to have any bearing on the positions of the two countries in their UN-mediated talks. For four consecutive years the member states have ignored the Commission's recommendations to start accession negotiations with Skopje.

The process has also suffered setbacks on less existential disputes. In February 2012 Belgrade's candidature was put in jeopardy by Romania's demand to add a new condition regarding the Vlach minority in Serbia, though it did not succeed in finding a supporting constituency in the EU. Then again, in December 2012, Greece was joined by Bulgaria and France in opposing the Commission's *avis* to open accession talks with FYROM. Such blockages are often of little relevance to the region: the position of the five EU non-recognisers of Kosovo's independence is based on fears of the impact of Kosovo's statehood on their own domestic situation. And the possibility that France may put future accession treaties to referenda further ties the enlargement process to national politics.

The member states are diverging in functional terms, but the strategic logic in favour of EU engagement remains visible, albeit haphazardly. The priority status of Kosovo-Serbia is driven by Germany and supported by the UK, but other Balkan countries do not enjoy similar treatment. On the southern flank of the region, FYROM, Albania and Bosnia and Herzegovina have been stuck for different reasons, and the prospects of overcoming their respective stalemates are not rosy. These cases illustrate how focusing on

security considerations or the concerns of individual member states can have counter-productive effects on the enlargement process as a whole.

In this sense, what was meant to create a virtuous circle between stabilisation and democratisation presents the EU with a conflict of objectives: strategic/security interests can take priority over the democratic promotion agenda and call for a rapid integration of the region. Conversely, the quest for the democratic transformation of the Balkan countries demands a strict application of conditions so as to prevent a premature accession [Solveig, 2012]. How can the EU reconcile its different priorities in the Balkans?

PROSPECTS

An assessment of the ten years since Thessaloniki should seek to identify a renewed approach towards enlargement. The EU has found creative ways of keeping the process open; the promise towards the Western Balkans is unlikely to be broken. But the when and how are not secondary questions, and this is where more ingenuity is necessary.

Make enlargement relevant on the ground

First, the EU can draw many lessons from the Belgrade–Pristina dialogue it has facilitated to upgrade its regional approach and to support, together with other regional actors, a pan-Balkan reconciliation process which includes settling border disputes, minority rights and bilateral or multilateral good neighbourly agreements. These are necessary for joining the EU and ensuring that the accession process does not fall victim to bilateral issues.

Second, it could engage aspiring countries in policies and/or negotiating chapters (such as environment, consumer protection, energy, infrastructure, student and business mobility) where clear benchmarks can be set and rewards can be offered (*à la* visa liberalisation), with concrete relevance for the lives of people. The EU could also put a premium on measures that assist the region from a socio-economic standpoint, for instance, by extending its Europe 2020 Strategy for growth, jobs and development. The potential of IPA II funds in supplying new incentives for reform in the Balkans could be explored in this regard.

Leadership begins at home

But in parallel the EU could work to put its house in order. This would allow it to lead by example, thereby boosting its credibility and transformative leverage in the Balkans. The EU could get better equipped to defend its democratic principles and practices. Recent political events in Hungary and Romania made it all too clear that democratic achievements are reversible and that an effective post-accession-type of conditionality to address backlashes might be in order. Developing tools that allow the EU to monitor and influence internal dynamics once countries join could also help to assuage concerns on the side of the member states regarding the potential consequences of further EU enlargement.

In addition, sooner or later the EU will have to deal with its 'absorption capacity' if it is to continue growing and functioning effectively. How will its current institutional and decision-making set-up have to change in order to accommodate more and more members? A potential re-opening of the treaties in the context of economic governance reform could offer the opportunity to reflect or even act on proposals on how to address this problem. However, should the pace of enlargement slow down considerably after Croatia (and Iceland?) or break down (with Turkey?), or else should the crisis result in 'inner' and 'outer' circles of member states, the EU might have to envisage new forms of (a peripheral type of) association for countries wishing to join. What would these arrangements look like? And will anything short of full membership ensure the economic and social modernisation, as well as democratic consolidation, required of new entrants?

Such ideas and questions should spur a debate about the challenges and opportunities of enlargement in the member states and at the EU level. This could not only help to define a Thessaloniki 2 agenda but also the EU's future character and role as a global actor.

BiEPAG



Background Paper

Culture of Regional Cooperation in Southeast Europe

AUGUST 2015

Balkans in Europe Policy Advisory Group

Culture of Regional Cooperation in Southeast Europe[1]

Authors: Dimitar Bechev, Filip Ejdus and Dane Taleski

1 This background paper was written for the Civil Society component of the Vienna Western Balkans Summit 2015

Executive Summary

Regional cooperation in Southeast Europe started as an externally driven initiative, dominated by security concerns in the 1990s, ,but has now been locally appropriated. When considered an integral part of the EU and NATO agenda in the region, these externally started initiatives that were appropriated by local actors have delivered significant results in regional cooperation, for example in justice and security affairs. On the other hand, the early logic and structuring of regional cooperation has neglected the economy, energy and infrastructure, and social development. Thus, regional cooperation in these core policy areas is lagging behind. Even though regional cooperation between governments is dominant and expanding, leading to a multitude of local and top-down initiatives, for example in parliamentary cooperation, the results still do not match the announced high expectations. Greater political will and more commitment would be beneficial to sustaining and deepening local top-down initiatives and to increasing their capacities. Local and bottom-up initiatives have significantly intensified and contributed to a growing culture of regional cooperation. Local bottom-up initiatives working toward common goals, like overcoming past conflicts, promise robust cooperation; however, they face challenges in financing and in managing large regional coalitions of civil society actors. On the other hand, local bottom-up initiatives of regional groups who share a common interest, for example building human capital, bring forward focused and results-oriented regional cooperation.

Introduction

Regional cooperation in Southeast Europe (SEE) has undergone a fundamental shift over the past decades. If in the late 1990s, when the process took off in earnest, it was mostly about strengthening security in the wake of violent conflict, nowadays the principal goal is to kick start economic growth and development in times of prolonged crisis. However, if in the 1990s, conflict was the alternative to regional cooperation, then now the alternative is to have frequent meetings between government officials, which do not necessarily impact or improve the every day life of people. Governments in the region are the main consumers of regional cooperation, while at the individual level, consumption of benefits deriving from regional cooperation is still lacking. On the other hand, citizens are highly supportive of regional cooperation. According to the Regional Cooperation Council's Balkan Barometer 2015, 60% of citizens in the region want to see more regional cooperation and 76% believe that improved regional cooperation can positively affect the economy.[1]

Policy priorities in regional cooperation in SEE have similarly shifted. The initial outset from stability- and confidence-building has moved to headline initiatives such as the SEE 2020 Strategy. A continuation of Brussels' own policies to re-energise the European economy, its goal is to "improve living conditions in the region and bring competitiveness and development back in focus".[2] The key premise is that the SEE countries already find themselves deeply integrated into the EU, and therefore exposed to the on-going Eurocrisis, so that regional economic integration is embedded into larger schemes promoted by the European Commission and other EU-level bodies. The claim is that growth in the region has to be integrated, smart (i.e. focused on education, R&D, digital opportunities), sustainable and inclusive, and that it needs improved governance (i.e. delivery of services, tackling corruption and improving justice). The SEE 2020 strategy is the main focus

1 RCC. Balkan Barometer 2015. Public Opinion Survey, Analytical report. (available at http://rcc.int/pubs_archive).

2 Regional Cooperation Council (RCC). *South East Europe 2020. Jobs and prosperity in a European perspective,* November, 2013.

of the Regional Cooperation Council (RCC).[3] Most of the Council's modest budget is spent on it, that is 3.4 million Euro or 72.3% of the total budget.[4]

It is not just the content. The players have also changed. Following the end of the Kosovo War (1999), institutions such as the Stability Pact for Southeast Europe (SP) opted for an inclusive approach, binding together all post-communist countries of the region, Romania, Moldova and Bulgaria included, as well as on the donor side, a motley coalition involving the EU, its member states, International Financial Institutions (IFIs), a host of Western governments, and even Russia. By the time, SP morphed into the Regional Cooperation Council (RCC), the "region" was already shrinking. Romania and Bulgaria left with their 2007 accession to the EU. Croatia was to follow suit in July 2013. In consequence, "regional cooperation" zoomed in on the so-called Western Balkan Six (WB6), that is Albania, Bosnia and Herzegovina (BiH), Kosovo, Macedonia, Montenegro and Serbia.

The "Balkans redux" approach entails both advantages and disadvantages. It is certainly a plus that we have a cluster of countries that is more tightly knit and homogenous compared to the past; the core of ex-Yugoslavia together with Albania, which is now better connected to Kosovo, Montenegro and Macedonia. What is more, all the countries concerned are subject to EU pre-accession conditionality, which promotes regional cooperation as a top objective. On the negative side of the ledger, many of the cross-cutting and functional issues to be tackled with joint effort do not map neatly into formal-institutional divisions. The floods of 2014 did not discriminate between EU member Croatia and its next-door neighbours BiH and Serbia. In a similar way, energy interdependence bridges the divisions between "ins" and "outs" in Southeast Europe. As a renowned expert says, "the pipelines and the electricity grids do not stop at EU borders". Rather than viewing the Western Balkans as a regional "ghetto", we should think of it as a piece in a bigger puzzle (wider Southeast Europe; the EU-sphere; post-communist Europe; Eurasia, etc.).

3 RCC. Strategy and Work Programme, 2014 – 2016. Sarajevo, 25 April, 2013.

4 The second supported area is promoting Justice and Home Affairs and Security Cooperation (1 million Euro or 21.7%) and cross-cutting other issues come third (0.3 million Euro or 5.8%).

The interplay between flexible, open-border forms of regional cooperation and initiatives taking a more restricted, WB6-focused approach is a healthy reminder that in contrast to past times, the EU is no more the only actor promoting regionalism in the Balkans. Other players, like Russia, Turkey or even China and the Gulf have claimed a stake, though their economic presence and capacity to steer multilateral schemes is still dwarfed by that of the EU. Russia uses its energy clout to gather friendly governments, from Greece and Macedonia all the way to Hungary, around the negotiations table. Turkey has reached out to Muslim and Turkish communities across the region. Each year China convenes the so-called "16+1" summits featuring the leaders of all Central and Eastern European (CEE) countries as well as the Western Balkans (most recently, in December 2014, Belgrade was the host capital). The point is that from the perspective of all those alternative power centres, the "region" takes a different shape – as does indeed regional cooperation.

How successful is regional cooperation nearly 20 years after it made its first inroads into the Balkans? What are the impetuses and approaches that drive regional cooperation forward? What are the promises it has thus far failed to fulfil – and why? Is it (still) a top-down, government-to-government affair bankrolled and facilitated from outside, or has it taken a life of its own giving rise to countless bottom-up initiatives, linking a plethora of actors such as businesses, municipalities, civic associations, NGOs, citizens, etc. in a ever denser network of ties? In other words, what kind of culture of regional cooperation do we have today in SEE and what is there to be done to make the most of regional cooperation?

The paper first draws on impetuses (external and local) and approaches (top-down and bottom-up) to deliver a framework to analyse and illustrate the culture of regional cooperation. The second part analyses regional cooperation in some policy areas (justice and security, energy and infrastructure, and social development) to highlight specific challenges that support or impede regional cooperation. The conclusion offers a summary of the main findings and some broad policy recommendations.

1. Regional Cooperation in SEE: Impetuses and approaches

Regional cooperation in SEE has been moved forward both by external and locally owned initiatives. Some of the regional cooperation initiatives have been proposed, and to a large extent supported, by international actors, namely the EU and EU Member States; other initiatives, meanwhile, were proposed by actors in the region, be it governments or civil society actors. On the other hand, it is also useful to distinguish between top-down initiatives and bottom-up initiatives in SEE. While the top-down initiatives are mainly political and implemented by governments, the bottom-up initiatives can consist of cooperation between governments, if they were externally motivated, or cooperation between civil society actors, if it was a case of a local bottom-up initiative. Taking the impetus, external or local, and the approach, top-down or bottom-up, for regional cooperation, one can establish an analytical framework to analyse the development of regional cooperation in SEE. Table 1 presents the analytical framework with some illustrative examples.

Table 1. Impetus and approaches to regional cooperation in SEE

	External	**Local**
Top-down	Stability Pact	SEECP
Bottom-up	CEFTA, Energy Community, MARRI	Igman initiative, RECOM

The Stability Pact for South Eastern Europe (SP) is by now a classic example of an externally driven initiative for regional cooperation, while on the other hand the South-East European Cooperation Process (SEECP) is an example of a locally owned regional cooperation initiative. At the same time, both are examples of top-down approaches to regional cooperation. One should acknowledge that the impetus to start some regional cooperation initiatives was external; however, local ownership was later assumed, like in the cases of CEFTA, Energy Community in SEE and MARRI. Also, regional cooperation

initiatives can be locally owned and bottom-up from the start, like in the cases of the Igman Initiative and RECOM.

The culture of regional cooperation in SEE has moved from external to more locally owned; notwithstanding that in the mid-1990s there was competition between external and local initiatives. For example, South-East European Cooperation Process (SEECP) was launched in Bulgaria in 1996 as a regional answer to the external Stability Pact, with the aim to improve trust and stability in the region, and to contribute to good neighbourly relations. It is an inter-governmental cooperation platform to improve political cooperation and economic relations and to contribute to democracy, rule of law and the fight against organised crime. In 2008, the Stability Pact, which aimed to strengthen peace, democracy, human rights and the economy, was transformed in the Regional Cooperation Council (RCC), at a meeting of the Ministers of Foreign Affairs of SEECP. The RCC now works under the political guidance of SEECP and provides operational capacities to promote regional cooperation and Euro-Atlantic integration of SEE. RCC is the main pivotal point for coordination of regional cooperation in SEE.

Local top-down approaches to regional cooperation are dominant and expanding. This can be seen in the area of parliamentary cooperation.[5] For example, recently, in May 2014, a Parliamentary Assembly of SEECP (SEECP PA) was created; notwithstanding that SEECP has had a parliamentary dimension of cooperation since 1997. SEECP PA has a clear institutional structure and rules of procedure. It has the highest potential to be the main platform for parliamentary cooperation. However, the competences overlap with other parliamentary cooperation initiatives, like the Western Balkans Conference of the Committees on European Integration/Affairs of the States participating in the Stabilization and Association Process (COSAP) and the Conference on Foreign Affairs Committees (CFAC). COSAP was established in 2005, as a regional forum to exchange views on the Stabilization and Association Process, to promote regional cooperation and EU integration. The Conference on Foreign Affairs Committees (CFAC) was established in

5 For more detailed information see, European Commission "Study on Parliamentary Cooperation. Mapping and Analysis of International Parliamentary Institutions and Parliamentary Networks in the Western Balkans and South East Europe", February, 2015.

2012 by the countries participating in the "Igman Initiative" to improve parliamentary cooperation and coordination on foreign policy issues.

Even though there is an increase of local ownership in top-down political cooperation, there is also a lack of commitment and a lack of political will to deepen the cooperation. For example, parliamentary cooperation initiatives are not institutionalised, they do not have secretariat or staff, and they do not have an independent budget. Host countries, taking rotating chairmanship, organise conferences, and national delegations cover their own costs. There are no political or regional factions. Parliamentary cooperation initiatives mainly have consultative powers. They serve as platforms to exchange ideas and have a low impact on policy making. However, their contribution to increasing regional cooperation should not be underestimated. They bring senior parliamentarians together and serve as platforms to diffuse ideas, to enhance regional cooperation and local ownership, and to push for EU integration. Also, some of the locally driven top-down initiatives are used as political show-off initiatives to promote individual countries' support for regional cooperation.

At the same time, there are several externally started parliamentary cooperation initiatives that have been sustained by local actors. Some have a latent impact on the culture of regional cooperation. Take, for example, the Adriatic Ionian Speakers of Parliament and the Danube Parliamentary Conference. Both initiatives follow EU strategies for the Adriatic Ionian and Danube region, respectively. These initiatives do not offer deepening regional parliamentary cooperation in SEE, but add a parliamentary dimension to the implementation of the EU's strategies in the respective geographical regions. However, they bring structured cooperation, involve SEE countries in implementation of EU strategies, and develop a sense of "Europeaness" among SEE countries by allowing the region to be perceived as an integral part of Europe.

On the other hand, some externally started but now bottom-up regional cooperation initiatives have a clear focus and structure; however, their results are limited. For example, in 2009, the Network of Parliamentary Committees on Economy, Finance and European Integration of WB (NPC) was established as a follow up of an OECD/GTZ project. The Westminster

Foundation for Democracy supported a three-persons regional secretariat, which brings together parliamentary committees on economy, finance and EU integration. Their goals were to promote competitiveness, growth and EU integration; however, their impact on policies is very limited. Similarly, The Regional School of Public Administration (RESPA), supported by the European Union, was opened in Danilovgrad, Montenegro, in 2010. The goal is to improve regional cooperation in public administration, and to strengthen and improve administrative capacities in line with EU integration processes. However, it is unclear whether RESPA's training can tackle the problems of politicisation and non-merit based appointments, overly present in public administration across the region.

CEFTA, the flagship of regional trade, is another similar example of externally driven, bottom-up, regional cooperation initiatives, which has limited results. The Visegrad countries initiated the original CEFTA in 1992, and once countries join the EU, they leave CEFTA. An agreement to extend CEFTA to Western Balkan countries was signed in 2006. Albania, Bosnia and Herzegovina, Macedonia, Moldova, Montenegro, Serbia and Kosovo (represented by UNMIK) are members. The aim is to fully liberalise trade in the region. However, on the one hand, the project ran into political obstacles. Kosovo changed customs stamps from UNMIK in 2008 and trade blockades from Serbia and Bosnia and Herzegovina followed. The Kosovo government retaliated and imposed a blockade on imports from Serbia. A chain of escalating events led to clashes at border posts in 2011.

On the other hand, even though there was a rapid increase of trade within the region, it did not lead to higher trade integration as compared to CEE countries.[6] One of the reasons was that non-tariff barriers (e.g. sanitary and phito-sanitary standards) appeared as obstacles. Also, the countries trade mainly goods, while integration of labour markets and increased labour mobility is still not in sight. This limits the expansion of regional trade. Another thing is that there is variance of how much regional trade matters to individual countries.[7] Moldova has almost no trade and Albania has

6 Handjiski, B. et al. "Enhancing Regional Trade Integration in Southeast Europe", *World Bank Working Papers,* 2010

7 For more see "CEFTA Trade Statistics, 2014" (http://www.cefta.int/sites/default/files/Cefta_trade_statistics_2014.pdf)

low trade with the region, while Kosovo's main exports are in the region. Trade with CEFTA is a substantial part of Montenegro's and of Bosnia and Herzegovina's trade patterns. On average, trade with the EU outweighs, by far, the intra-regional trade. The EU accounts for 75% of the region's total trade.[8] However, for the EU, imports from WB countries are below 1% of the volume in imports from extra-EU trade, and the exports make up less than 1.5% in extra-EU trade.

Grass-root regional cooperation rests on strong sentiments of a shared culture, on the one hand, uniting countries of former Yugoslavia, and on the other, bringing closer Albanian-speaking parts of the region. Local and bottom-up regional cooperation initiatives are usually started by networks of civil society actors, which have common goals or common interests. Local bottom-up initiatives based on common goals (e.g. dealing with the past) promise more robust regional cooperation. The focus on goals involves communication and involvement of different stakeholders.

However, there are problems with managing large-scale coalitions and there are issues with financing (i.e. donor dependency), which can be reasons for the initiative's success or failure. For example, the Regional Commission to determine and disclose the facts about war crimes committed in the former Yugoslavia (RECOM) is a grass-root initiative of civil society groups to face the past. RECOM advocates a regional approach to transitional justice in the Western Balkans. It was initiated in 2006, and after a series of consultations in different Western Balkans post-conflict countries, a Regional Coalition for RECOM was formed in 2008. The goal of RECOM is to establish the facts about war crimes and human rights violations in the former Yugoslavia from 1991 to 2001, to complement the inadequate work of the judiciary in the countries in the region, and also that of The Hague Tribunal. RECOM grew into a large regional initiative supported by 1,500 organisations. Even though RECOM received public support from the former president of Serbia, Boris Tadic, and of Croatia, Ivo Josipovic, it was not able to secure the cohesion in the coalition, to maintain commitment from all parties, and to raise sufficient funds to make a wider public impact.

8 European Commission, Trade Policy http://ec.europa.eu/trade/policy/countries-and-regions/regions/western-balkans/

On the other hand, the Igman Initiative has a mission to encourage and normalise relations among the countries involved in the Dayton Agreement.[9] It is one of the well known and successful political initiatives with a long-standing reputation and history in the region. This umbrella association of grassroots movements has fostered economic and political cooperation and reconciliation for the past 20 years. It has secured funding (from Freedom House), clear organisational structure and rules of procedures. It brings together over 140 NGOs from Serbia, Croatia and Bosnia and Herzegovina that have successfully implemented projects that deal with the past, with citizenship issues, but also with improvement trade and economic cooperation, and with free movement of labour. The Igman Initiative brought together six heads of states in the region in different conferences, which resulted in four signed Initiative statements. The Igman Initiative model was applied to Kosovo, to connect NGOs and to foster the civil society dialogue between Serbia and Kosovo.

Local bottom-up initiatives based on common interests yield advancement of regional cooperation in a specific area (e.g. education) and they bring a promise to deliver tangible results. For example, the South East European Centre for Entrepreneurial Learning was formed in 2009, following an initiative from National Coordinators of the Charter of Small Enterprises from SEE. The Centre is financed by the EU through the IPA Multi-beneficiary Program and by the Ministry of Economy of Croatia. The Centre offers structured cooperation in SEE on lifelong entrepreneurial learning in order to improve the economy and to be in line with EU policies and practices. It won the RCC's award for best regional cooperation initiative in 2014.

Also, the Novi Sad Initiative brings together higher education institutions and authorities from the region, with European organisations and independent experts to increase institutional reforms' efforts. The goals and policies of the Novi Sad Initiative are in line with European Higher Education Area. The idea is to support higher education reforms and to foster the exchange of best practices, according to EU standards, to work toward common standards for qualifications frameworks and qualifications systems development, and to identify common qualifications. Also, 13 faculties from

9 For more see http://www.igman-initiative.org/

six countries have formed a Southeast Europe Law Schools Network. They aim to institutionalise the exchange of legal academic know-how, and to improve capacities for legal education and publications.

The Balkan Civil Society Network is another example of a local bottom-up initiative that advances common interests. It is a regional network, which brings together 15 organisations from 10 countries in the region, aiming to influence policies at the EU level but also to support its members in trying to influence policies at the local level. This Network managed to develop a set of standards for civil society in the region, to complement democratic reforms in line with *EU acquis*, in 2012. Also, the civil society's role as watchdog is very important for developing institutions capable of ensuring the rule of law, which is one of the key conditions for EU accession. However, in some of the countries in the region, the safety of journalists and civil society members remains a concern. Governments must adopt legislative and policy measures to ensure the safety and protection of journalists and civil society members.

Local bottom-up initiatives contribute to community building and foster cross-border cooperation. They advance people-to-people communication and bring the cultures closer together. Thus, they contribute to peace building and reconciliation. The EXIT festival is one prominent example. It started in 2000 as a student movement fighting for democratic changes, then evolved into a festival and through the years became one of best music festival in Europe. EXIT was the first place where youth from different countries of the former Yugoslavia met after the conflict, thus proving that culture connects people. Every year EXIT hosts 200,000 visitors from 60 countries including a strong regional audience.

Civil society organisations provide continuous efforts to sustain regional cooperation. These efforts often extend beyond the mandates of acting governments and tackle politically contested issues. Oftentimes they were the necessary first steps to build confidence, and without confidence there is no future for regional cooperation. Civil society organisations have exemplified deep and honest will to advance regional cooperation, sometimes long before there was a political will, and have actually worked to amass the political will. The culture of regional cooperation is such that local bottom-up initiatives

bring more commitment and focus on results in regional cooperation. They are fruitful avenues to promote genuine results-oriented regional cooperation, and it seems that they are more likely to yield results if they are based on common interests rather than on common goals. However, managing regional coalitions of different stakeholders and securing funding remains a challenge for local bottom-up initiatives.

On the other hand, local top-down initiatives have the resources to improve regional cooperation, but are unwilling to commit them. Local top-down initiatives are more dominant and expanding. Even though there is high local ownership, there seems to be a lack of political will to deepen regional cooperation and to make it more meaningful beyond using it for political promotions and for paying lip service.

Externally driven top-down approaches to regional cooperation are a thing of the past. However, there is still an external impetus to increase regional cooperation, which becomes appropriated by local actors. External bottom-up initiatives are well structured and focused; however, they show mixed results. If the EU is involved in the cooperation initiative, then there is value infusion and a perception that SEE countries are part of a wider European region. This has a latent impact for the culture of regional cooperation in SEE. However, if external bottom-up initiatives are left only to local actors, then they yield limited results for improving regional cooperation. It seems that for local actors, to advance regional cooperation is less of priority than to service domestic political needs and interests.

2. Regional Cooperation in Some Policy Areas

In the next sections, we explore regional cooperation in several policy areas, to map policy-specific challenges and perspectives of regional cooperation.

2.1. Cooperation in Justice and Security

Regional cooperation in Justice and Home Affairs (JHA) is very developed and institutionalised.[10] JHA cooperation in the region is also very high on the EU agenda. This is part of long-standing EU efforts to bring more stability and rule of law to the region. Front-loading of chapters 23 and 24, early in the accession negotiations of WB countries, illustrates that EU conditionality is heavily applied for cooperation in JHA. Therefore, cooperation in JHA has high political relevance and support from national political leadership.[11] National political leaderships are interested in cooperating in JHA because they see it as an essential element in their country's EU agenda. For example, when Ivica Dacic was prime minister of Serbia and minister of internal affairs, he personally participated in the work of JHA regional cooperation activities, with the aim to show commitment to regional cooperation as a key element for EU integration.

The main priorities in regional JHA cooperation, are fighting trans-border organised crime, combating corruption, cooperation on migration, asylum and refugees, protection of fundamental rights, cooperation in civil and administrative matters, protecting children, and harmonising regional activities. The intensive cooperation has led to increased information pooling (e.g. collection and exchange of cross-border intelligence, risk and threats analyses), but also to legislative harmonisation and more cross-border cooperation. Some of the regional initiatives in JHA have their own secretariat, staff and regular financing. Contributions come from states in

10 For more information see SEECP, Strategy and Action Plan on Justice and Home Affairs, 2011 – 2013.

11 For more see Dehnert, S. and Taleski, D. *Monitoring Regional Cooperation in South East Europe,* Berlin: Friedrich Ebert Foundation, 2013.

the region and other participating partners (e.g. EU and EU's member states, the United States,, Switzerland, etc). The cooperation is in different formats. There are regional centres, networks, international projects and initiatives dedicated to implementation of certain treaties. The secretariats and centres are based in different SEE countries. There is wide participation, dynamic and close cooperation between partners, and high local ownership. On the flip side, cooperation is still heavily externally driven (i.e. external bottom-up cooperation), mainly by the EU, and is to some extent donor-dependent. Also, SEE countries do not assign the same value and commitment to all initiatives. If the initiative functions and delivers results, then SEE countries are more likely to be actively engaged and contribute to it.

There are four law enforcement initiatives that were established by the Stability Pact: Migration, Asylum, and Refugee Regional Initiative (MARRI), Regional Anticorruption Initiative (RAI), Southeast European Cooperation Initiative – Regional Centre for Combating Trans-border Crime (SECI Centre) and Southeast European Prosecutors Advisory Group (SEEPAG). Three of these are today institutionalised international/regional organisations, with their own secretariat, staff and budget. The MARRI centre is based in Skopje, RAI in Sarajevo and SECI in Bucharest. These centres help regional cooperation in JHA to be sustained and advanced.

There is also close regional police cooperation. For example, the Southeast Europe Police Chiefs Association (SEPCA) facilitates regional police cooperation and supports the transformation of police. One of the outcomes is the Women Police Officer Networks (WPON) advancing women in police and gender mainstreaming of police practices. Also, there is a Secretariat that follows the implementation of the Police Cooperation Convention for Southeast Europe. The Convention was signed under the Austrian presidency of the EU in 2006 with the aim of enhancing police cooperation (e.g. joint threat analysis, hot pursuit, witness protection, cross-border surveillance, undercover and other forms of investigations). Further, the Geneva Centre for the Democratic Control of Armed Forces (DCAF) has a project for technical assistance in border security.

Judicial cooperation is also well advanced. There are periodic meetings of Ministers of Justice, Presidents of Supreme Courts, High or Superior Judicial

/ Prosecutorial / Magistracy Councils, Training Institutes for Judges and Prosecutors, and Training Institutes for Judicial Clerks. Also, the Southeast European Prosecutors Advisory Group (SEEPAG) provides legal assistance, advice and guidance to the SECI Centre in investigation of trans-border organised crime. The work of SEEPAG is financed by the United States, and the Council of Europe supports the Western Balkans Prosecutor's Network. Greater coordination between the two regional initiatives for prosecutors' cooperation is needed.

There is also security cooperation in human security and in "hard" security issues. The cooperation is closer and delivers more results in "hard" security issues than in "soft" ones. This is a consequence of the early logic of externally driven regional cooperation in SEE, when defence cooperation was a priority and the aim was to support stability and security in the region. Now there is structured cooperation that delivers operational results on "hard" issues, while human security cooperation is lagging behind.

For example, the Disaster Preparedness and Prevention Initiative aims to develop a cohesive regional strategy and regional framework for SEE countries to develop programmes and projects for natural and man-made disaster management. However, the initiative so far has focused on capacity-building activities and not on joint operations, as exemplified by the floods in 2014 in Serbia, Bosnia and Herzegovina, and Croatia. Each of the countries dealt with their own problems, even though a concerted regional action would have been helpful to alleviate the consequences.

On the other hand, the South East Europe Defence Ministerial (SEDM) is one of the oldest regional cooperation initiatives. It dates back to 1996, when the main ideas were to strengthen political-military cooperation in the region and to enhance stability and security. The close cooperation in security matters led to formation of South-Eastern Europe Brigade (SEEBRIG), which contributes to regional and worldwide security and stability. The South Eastern and Eastern Europe Clearinghouse for the Control of Small Arms and Light Weapons (SEESAC), a joined project of RCC and UNDP, assists SEE governments in implementing the 2001 regional plan for Combating the Proliferation and Impact of Small Arms and Light Weapons.

There are three other initiatives that support security cooperation. The Adriatic Charter is a U.S.-backed initiative. The founding document was signed in 2003 in Washington. The aim of the charter was to lead the countries of the region in NATO. However, there is a potential for overlap between the scope of the Adriatic Charter with SEDM, RCC and South Eastern European Clearinghouse (SEEC). The South Eastern European Clearinghouse was established in 2004. The goal of the initiative was to coordinate the efforts of allied and friendly countries that offered assistance to NATO aspirants and PfP Countries. SEEC is a platform for discussing and exchanging information on bilateral assistance and multilateral security programmes. SEEC led to enhanced cooperation in training for peace support, media training and nuclear, biological, and chemical defence. Also, there is a Centre for Security Cooperation, which is the successor of the Regional Arms Control Verification and Assistance Centre (RACVIAC), based in Rakitje, Croatia. It is a regional, independent, non-profit organisation with an academic orientation. The goal of the centre is to be the most important regional platform for fostering dialogue on security cooperation. The centre tries to push forward ideas for cooperative security, capacity building and the introduction of innovative ideas for regional security cooperation.

The conventional arms control in WB is one of the best examples of how well advanced cooperation is regarding "hard" security issues. The process was externally initiated following the war in BiH, and over the years grew into a highly effective locally owned cooperative scheme. In fact, the sub-regional conventional arms control in the Western Balkans is much more successful than the Conventional Forces in Europe Treaty (CFE), which served as its role model. Even more than that, it is one of the most effective arms control regimes ever established and therefore deserves due attention as a success story of regional cooperation.

The Dayton Peace Treaty laid down the cornerstone not only of the future Bosnian state, but of regional stability in the Western Balkans as well. The latter was elaborated in the Annex 1B to the Treaty, in which parties acknowledged that "balanced and stable defence force levels at the lowest numbers consistent with their respective security" and "the establishment of a stable military balance based on the lowest level of armaments will be an essential element in preventing the recurrence of conflict" (Article I). To

that end, in Article IV of Annex 1B, the parties agreed to start negotiations under the auspices of OSCE on the sub-regional arms control regime, based on the Conventional Forces in Europe (CFE) Treaty, within 30 days.

After five months of negotiations, the "Agreement on Sub-Regional Arms Control" was signed on 14 June 1996 in Florence, hence it is also known as the "Florence Agreement" or the "Article IV Agreement". It was signed by the Federal Republic of Yugoslavia (FRY), the two entities of Bosnia and Herzegovina and Croatia and witnessed by contact group countries (France, Germany, Russia, Italy, UK and U.S.). The Article IV agreement aimed at creating military balance between the parties through obligatory reductions in heavy weapons.

The Agreement set ceilings in five categories of conventional armaments such as battle tanks, armoured combat vehicles, artillery, combat aircrafts and attack helicopters. The Florence Agreement drew upon provisions of Article IV of the Dayton Peace Accords, which defined the ratio of 5:2:2 for the balance of military forces between FRY, Bosnia and Herzegovina and Croatia.[12] More concretely, in Article IV each party was called to reduce its conventional armaments up to a certain percentage of the baseline defined as "determined holdings of the Federal Republic of Yugoslavia" in 1996. This percentage was 75% of the baseline for the FRY, 30% of the baseline for Croatia and 30 % of the baseline for Bosnia and Herzegovina.[13] This ratio and the percentages were further specified in the Florence Agreement by setting precise numerical ceilings for each of the five categories of conventional armaments.

In order to ensure compliance with the provisions, the agreement introduced verification systems through notification, exchange of information and an intrusive inspection regime. Information was to be exchanged annually by December 15 each year while each party had "the right to conduct and the obligation to accept within the area of application, inspections" (Article 9, section 1) with the aim to verify and monitor the compliance and implementation of the agreement. According to the Florence Agreement,

12 The ration was established according to the size of population.

13 "the allocations for Bosnia and Herzegovina will be divided between the Entities on the basis of a ratio of two (2) for the Federation of Bosnia and Herzegovina and one (1) for the Republika Srpska" Article 4, section 3, clause 5.

parties also created the Sub-Regional Consultative Commission (SRCC) composed of representatives of each party as well as the Personal Representative (PR) of the OSCE Chairman-in-Office tasked to monitor the implementation.[14] Finally, the parties also agreed to convene Review Conferences at least once every two years.

Already during the first 16 months of the "reduction phase", parties reduced 6,580 armaments and managed to reach their set ceilings. By November 1997, provisions from Article IV of Dayton Peace Agreement, a regional balance of forces was fully implemented. However, the parties decided to carry on with the further reduction and exchange of information, as it was beneficial for confidence, transparency and stability in the Western Balkan region. In sum, in the past 19 years, more than 10,000 pieces of heavy armaments have been destroyed, including 1,414 battle tanks, 688 armoured combat vehicles, 7,754 artillery, 170 combat aircraft and 19 helicopters.

An important facet of the process from the very beginning was a gradual transfer of authority from the international community to the parties. Already in December 1998, the parties took over from OSCE the responsibility of chairing SRCC.[15] A decade later, parties expressed readiness to consider strengthening their ownership of the agreement in accordance with the regional trend towards more local ownership. In June 2009, the OSCE PR for Dayton Article IV proposed a multiyear plan to transfer technical and administrative responsibilities to Article IV parties ("Ownership plan").[16] The first phase of the plan, which finished in 2011, consisted of transferring technical functions previously provided by PR and OSCE mission in Bosnia and Herzegovina to parties.[17] The second phase, which encompassed the

14 Chairmanship of the SRCC was rotating alphabetically. Its decisions are taken by consensus.

15 Jopp, Heinz Dieter, "Regional Arms Control in Europe: The Arms Control Agreement under the Dayton Agreement (Mid-1997 until Mid-1999)", in: Institute for Peace Research and Security Policy at the University of Hamburg (ed.), OSCE Yearbook 1999, Baden-Baden 2000, p. 344

16 Both parties and Russia's representative in the Contact Group expressed reservations regarding the pace and costs of the proposed plan. However, the Personal representative soon managed to get them on board.

17 Those were, for example, formulating inspection plans, monitor results, annual data exchange, interpretation and administrative support etc.

development of full autonomy of parties in implementing the agreement, ended in December 2014. On 4 December 2014, foreign ministers of Serbia, Bosnia, Montenegro and Croatia have signed the Amendments to the Agreement on Sub-Regional Arms Control thus taking over full responsibility for the process.[18] In sum, the process was externally started but was then gradually and quite successfully transferred into the hands of regional policy makers.

How can such success be explained? First and foremost, from the very outset, the sub-regional arms control in the Western Balkans was a continuation of military intervention with other means. The overwhelming hard power of NATO and the magnetic attraction of the EU ruled out the recurrence of war in the region. As a consequence, the strategic utility of possessing a huge quantity of conventional weaponry significantly decreased for all countries in the region. Second, sub-regional arms control in the Western Balkans, in the past 17 years, has been heavily supervised by international actors such as the OSCE, Contact Group and NATO. As Brigadier General Costanzo Periotto, former Personal Representative of the OSCE Chairman in Office, put it:

Certainly, one of the reasons why the Dayton Peace Accords, especially their arms control regime, have been so successful is that the international community stood behind the process all along and that, in shaping the region's future, the Parties directly concerned were not left to their own devices.[19]

Finally, the progress in the implementation of the Dayton Peace Treaty, including its arms control provision, has been strongly linked with political and economic assistance as well as with the prospects of Euro-Atlantic integration from the very beginning. As a result of all this, security, political as

18 OSCE, Bosnia and Herzegovina, Croatia, Montenegro and Serbia take ownership of regional arms control, Dayton Peace Agreement Article IV Annex 1/B: Mission accomplished, 4 December 2014. http://www.osce.org/cio/129436 [accessed on 20 April 2015].

19 Report to the Permanent Council, Implementation of the Agreement on Sub-Regional Arms Control (Article IV, Annex 1-B, Dayton Peace Accords) 3 September 2009, Vienna, Brigadier General Costanzo PERIOTTO (Italian Army) Personal Representative of the OSCE Chairman-in-Office., p. 6.

well as economic incentives of the parties to comply with the provisions by far exceeded potential advantages that could be gained by non-compliance. Over the years, the norms of conventional arms control have been internalised by military professionals across the region and a veritable culture of trust and cooperation among them seems to have taken root. Nevertheless, this has yet to trickle down to Western Balkan societies where inter-ethnic relations are still all too often characterised by mutual mistrust and intolerance.

2.2. Energy and Infrastructure

Energy is a critical area where the countries of the Western Balkans – and, more broadly, South East Europe - have been working together. What we have is a region that is poor in energy resources (all countries apart from Bosnia and in some years Serbia import electricity). With the EU in the driver's seat, the governments from the region have committed to joining forces in order to improve cross-border connections, reform legislation to bring it in line with the *acquis,* bring in investment, and build a regional market to the benefit of producers, traders and consumers of energy. Policymakers and pundits view such an outcome as essential for speeding up the region's European integration but, more importantly, for fostering growth and development in times of stagnation.

As elsewhere, energy has growingly become a very politicised sector of the economy where various actors and dynamics – domestic, regional, international - intersect. Starting from the end of this decade, the Western Balkans is set to become a transit route for imports of gas into the EU. The Trans-Adriatic Pipeline (TAP) will deliver 10 billion cubic meters (bcm) of gas on an annual basis to Italy via Albania. The saga around the South Stream pipeline has highlighted the region's exposure to Russian influence, with companies like Gazprom Neft, Zarubezhneft and Lukoil already established in Serbia, BiH (Republika Srpska) and Macedonia. Local elites have discussed their countries' inclusion into various schemes, most recently the so-called Turkish Stream which is presently being sold by the Kremlin as a replacement to the now defunct South Stream.

Despite Russia's rising profile, the EU remains the main catalyst and anchor for regional cooperation. There is a dense web of institutions and rules

underwriting the process. Albania and the Yugoslav successor states outside the EU are part of the Energy Community, a Vienna-based organisation established in 2006, which also comprises Ukraine and Moldova. Its principal function is to be a transmission mechanism for legislation originating from Brussels to countries that aspire to join the EU. A case in point is the commitment of the Community members to adopt the legal instruments forming the so-called Third Energy Package on "unbundling" production, trading and distribution of gas and electricity. The Western Balkans participates in a number of technical bodies: the European Network of Transmission System Operators for Electricity (ENTSO-E), an association of Europe's transmission system operators (TSOs). Macedonia's Gama is inside ENTSO-Gas too. The EU's Agency for Cooperation of Energy Regulators (ACER) is involved in steering the Energy Community's Regulatory Board (ECRB).

With the Energy Community as a sort of a transmission belt, the Western Balkans will increasingly feel the impact of the EU's emergent Energy Union. Proposed by the European Commission in February 2015, it promises to diversify imports and slash high prices charged by Gazprom to the whole of post-communist Europe. The initiative aims to benefit consumers by facilitating ambitious projects like the Southern Gas Corridor and promises to mobilise and channel additional resources invested into the interconnection and technological upgrade of national electricity and gas grids. There are furthermore important provisions on transparency, with the European Commission stating intentions to vet *ex ante* the Intergovernmental Agreements (IGAs) and the related commercial agreements between EU member states and external suppliers for compliance with the *acquis*. In all likelihood, accession hopefuls will be closely monitored, similar to current EU member states. The EU Energy Commissioner Günther Oettinger, at the time, set an important precedent by taking over the renegotiation of Serbia's IGA with Russia on South Stream in December 2013.

In fairness, the Energy Community has only partly fulfilled its objective to narrow the gap between EU members and accession countries – and advance regional integration in the process. It missed its own deadline for the implementation of the Third Energy Package (1 January 2015). The Community's Secretariat did not approve the Energy Law passed by

Serbia in late December 2014 to overhaul Srbijagas, a state-owned utility. In all other countries, the process has lagged behind. The Secretariat's annual implementation report for 2014 finds that regional integration and modernisation has moved slowly in the field of electricity, because of the tendency to regulate heavily electricity prices as a proxy social policy and extensive state domination in the market.

The exclusive focus on gas, both in Brussels and in the Western Balkans, poses further complications. As demonstrated by the former South Stream, TAP and the cancelled Nabucco, SEE governments are keen to host and build infrastructure. In 2013, Energy Community members adopted a list of 10 gas projects of "community interest" to be presented to potential funders – including LNG terminals at the Croatian island of Krk and in Albania, five interconnectors linking Croatia, BiH, Serbia and Bulgaria, TAP and the proposed Ionian-Adriatic-Pipeline. Their ostensible aim is to promote flexibility and spur competition. In reality, apart from TAP serving the Italian market, prospects are far from certain. Public funding is scarce, while feeble growth and a negative demographic outlook in the region limit the interest by private investors.

Yet, contrary to widespread perceptions, gas is not a key issue in the region, aside from the rent-seeking opportunities that large-scale infrastructure furnishes. Coal-fuelled thermal power plants and hydropower take the lion's share in electricity production, with miscellaneous hard fuels (lignites, wood, pellets) used for heating. Unlike in the Baltics, Central Europe or the CIS, gas accounts for a minuscule share of local energy consumption, with the possible exception of Serbia (11%, 2.3 billion m3 a year). The petrochemical industry is far from important, and household gasification is not advanced. The Energy Union could push for liberalisation and improve connectivity but will hardly usher in major structural change.

The two areas where the Western Balkans have indigenous potential and can derive benefits from cross-border integration are renewables and energy efficiency.[20] Hydropower already corresponds to about a third of electricity

20 The Western Balkans countries are at the top of the table in Europe in energy intensity – e.g. the amount of energy for a unit of production.

generation, with countries like Albania reaching close to 100%. Multilateral lenders such as EBRD, the European Investment Bank and the World Bank have identified additional development opportunities in solar, wind, biomass and geothermal power. Technological advancement helps bring down the costs of putting new facilities on-stream as well as slashes prices charged to end consumers. A turn to renewables will moreover offset current dependence on coal, bring down carbon emissions and tackle pollution.

EU and national governments can add value by attracting large-scale investment in the modernisation of distribution systems and storage facilities.[21] Such projects will deliver maximum benefit if carried out at the cross-border, rather than national, level, because of the economies of scale and the need to balance more efficiently the electricity grids -- a common challenge concerning renewable energy.

Neither the EU-only Energy Union nor the Energy Community provides an optimal platform for cooperation. To function well, a regional strategy spearheaded by the European Commission has to bring on board both the Western Balkans and their neighbours such as Bulgaria, Romania, Greece and even Italy and Turkey. This is justified by patterns of interdependence already in place. Bulgaria traditionally exports electricity to energy-hungry Turkey as well as to Greece, Serbia and Macedonia, while Romania supplies Serbia. Serbia is therefore the principal conduit, as it lies between net exporters and net importing countries in SEE. Italy is constructing a 1,000 MW cable under the Adriatic to Montenegro, with another one projected to run to southern Albania. The Energy Union can make a difference only if it brings together the whole of wider SEE and facilitates joint integration projects such as a regional electricity exchange.

Building and upgrading roads, railways and bridges, expanding air links and modernising maritime ports and waterways are perhaps the most popular part of regional cooperation. Large-scale infrastructure projects have always scored high with EU officials, Balkan politicians and their voters alike. One can hardly be against them. They are visible and good for political ratings. Second, as elsewhere, they promise investment and jobs, a key priority

21 The poor condition of electricity grids results in up to 40% loss.

amidst the lingering economic crisis and high levels of unemployment. Starting with the Stability Pact, which had the rebuilding and expansion of cross-border connections as top goal, a lot of ink has been spilled about the difficulty of travelling from one Balkan country to another. But things have moved on. In 2011, for instance, a 137 km – long motorway linking Albania to Kosovo was completed, reducing travel time from Tirana to Prishtina from six to two hours. A year prior to that, Cargo 10, a joint venture by the Serbian, Croatian and Slovene railway companies, started carrying freight. In December 2014, Air Serbia re-launched the connection between Belgrade and Zagreb, after a gap lasting a full 23 years.

As in other areas, the EU is indispensable for getting local countries to work jointly. Brussels has been the main provider of expertise and funds. The so-called Berlin Process, involving periodical summits of the Western Balkan Six, some EU member states and the Commission, puts a great emphasis on infrastructure, while IPA II has earmarked 1 billion Euro over the period of 2014 to 2019. Funding is furthermore available through loans from the European Investment Bank (EIB) and the European Bank for Reconstruction and Development (EBRD) along with other financial institutions. Commissioners Johannes Hahn (Enlargement) and Violeta Bulc (Transport, originally from Slovenia) have been closely involved, setting 2030 as a goalpost for completing all connections linking up the Western Balkans with the EU, as well as internally.

The EU supports the Belgrade-based Southeast European Transport Observatory (SEETO), originally set up in 2004. It oversees the implementation of the so-called Regional Core Network which covers road connections, railways, waterways, airports and maritime ports, and is an extension of the EU's own TEN-T template.[22] The Western Balkan prime ministers endorsed an updated version of the regional core network at the summit in March they held together with Commissioners Hahn and Bulc, as part of the Berlin Process.

All of the European Commission's press releases, reports by SEETO as well as the RCC register constant progress. Some Balkan governments are upbeat

22 The famous corridors elaborated back in the 1990s.

too. Serbia says that Corridor 10, running from the north to the border with Macedonia in the south, with an offshoot to Bulgaria, is to be completed by 2016. In fairness, it is much more complex at closer inspection. There are a myriad of practical concerns to do with political, economic and institutional shortcomings and challenges that inhibit infrastructure development and, by extension, regional cooperation.

To start with, funding is scarce, and with budget deficits and public debt running high and FDI in short supply, there are limited financial resources to complement EU allocations, other than money loaned by the IFIs. Significant projects have been carried out with help from outside investors drawn in by local governments. Air Serbia was able to set a network only after Etihad Airways of the United Arab Emirates decided to take over JAT. Similarly, the Turkish firm TAV took over, expanded and modernised Skopje and Ohrid airports in 2010, while Limak, another outfit from Turkey, runs Prishtina's airport on a 20-year Build-Operate-Transfer contract. However, major undertakings, particularly in the area of road transport, such as the projected motorway from Nis to Prishtina, are yet to attract financing.

Secondly, though physical connections may be improving, progress in terms of regulatory alignment, e.g. common standards in areas such as transport firms' licensing, on road safety etc., is slow and uneven. As EU Enlargement Commissioner Johannes Hahn noted in March 2015, at a Western Balkan 6 summit in Prishtina,[23] the software is as important as the hardware. In civil aviation, this has already been achieved, as the Western Balkans have been included, since 2006, in the European Common Aviation Area (ECAA), an arrangement which also involves the EU member states, Norway and Iceland. The agreement to establish a Transport Community, signed back in 2010, is delayed, blocking the extension of EU's Internal Market rules into the Western Balkan accession countries.

Outstanding political issues bottleneck the process too. In Bosnia and Herzegovina, the project to build a motorway between Republika Srpska's capital of Banja Luka and Travnik, with possible extension to Sarajevo (Route 2a under the TEN-T classification) is dependent on the adoption of

23 Where Serbian Foreign Minister Ivica Dacic took part as well.

a transport strategy at the state level along with an action plan. Though such a road connection is sure to carry symbolic, and perhaps practical, value by tying together the two entities, it competes with plans to build a motorway from Banja Luka to Doboj, a segment of the EU's Corridor 5.

One should not lose sight of issues such as good governance (or lack thereof), transparency and accountability. Anywhere in the world, politicians like big infrastructure, because the construction sector generates handsome rents that are then distributed to political and business clienteles. There have been a number of high-profile cases of corruption, often crossing national borders: e.g. the recent investigation in Greece against AKTOR ADT, a construction company, for bribing authorities in Macedonia to be awarded a contract for a 28-km stretch of motorway running along Corridor 10, paid mostly with money from IPA, EIB and EBRD. The 2 billion Euro "Patriotic Highway" linking Tirana and Prishtina was awarded to a consortium of Bechtel and Turkey's ENKA and came under heavy criticism by local observers and international institutions for failing to comply with tendering regulations, amongst other irregularities.

2.3. Cooperation in Social Development

Regional cooperation in social development policies is low on the priorities lists of political leadership in SEE countries;[24] notwithstanding, that it has the highest potential to bring tangible and positive impact on people's every day lives. Social development cooperation spans several policy areas, from rural development all the way to cooperation in culture and building a digital society, with labour and social policies, health and education in between. The cooperation in social development is a mix of external and local impetuses and top-down and bottom-up approaches.

For example, the Regional Rural Development Standing Working Group of SEE is an intergovernmental organisation that promotes sustainable agriculture and rural development. The group is a product of the increased cooperation among ministries of agriculture. The group is also involved in

24 Dehnert, S. and Taleski, D. *Monitoring Regional Cooperation in South East Europe*. Berlin: Friedrich Ebert Foundation, 2013.

regional development projects, and invites and cooperates with international development organisations. The Centre of Public Employment Services in SEE countries is a rotating, regional non-profit organisation, which unites public institutions in charge of implementation of labour market policies. The Centre supports the exchange of information related to labour market reforms, providing services for employers and job seekers, and capacity building.

On the other hand, the SEE Trade Union Forum brings closer cooperation among trade unions in the region. Also, it is among the first regional cooperation initiatives. It was established in 1999. The SEE Trade Union Forum brings together the heads of trade unions to promote the social dimension in economic reforms. On the other side of the table is the Adriatic Region Employers' Centre (AREC), established in 2008 and based in Zagreb. The centre develops projects of cooperation and exchange of views among organisations of employers in the region. The goal of AREC is to promote a business-friendly environment for local and international investors.

There is regional cooperation in health policies. The SEE Health Network was established following a pledge made in Dubrovnik in 2001. It is one of the institutionalised regional cooperation initiatives with a secretariat in Skopje. The network's aim is to increase regional leadership and ownership in improving health policy and services. The SEE Health Network has delivered a couple of successful projects; for example, the network supported the creation of a Regional Centre for Mental Health in Bosnia and Herzegovina and the enhancing of capacities for kidney transplantation in Montenegro.

Also, RCC has launched two task forces to increase regional cooperation in social development. One is the RCC Task Force for Fostering and Building Human Capital. It provides a framework for building human capital, by linking education, research and policy making. The task force tries to utilise human capital to increase sustainable economic and social development. The second is the RCC Gender Task Force. Its aims are to increase political participation of women, to foster cooperation among women across party lines, ethnic groups and states, to support cooperation among NGOs, parliaments and governments, and to promote and advocate greater representation of women through grassroot and media campaigns.

Regional cooperation in culture takes place at a very high level in SEE. The Council of Ministers of Culture of South-East Europe (CoMoSEE) was created in 2005. It is the main platform for regional cultural cooperation. In a joint action with the Council of Europe and the European Commission to rehabilitate cultural sites in SEE, the Council developed the Regional Program for Culture and Cultural Heritage in South-East Europe. This led to the Integrated Rehabilitation Project Plans/Survey of Architectural and Archaeological Heritage. This in turn contributed to the creation of a common understanding of the architectural and archaeological heritage of the region, and better preservation of it. Also, the RCC Board established the RCC Task Force on Culture and Society in 2010. The goal is to promote regional cooperation in culture and to create a platform for dialogue for relevant stakeholders. Members are high-level officials from SEE governments, RCC, Council of Europe and European Commission. The task force has a secretariat based in Cetinje. The secretariat technically manages the work of the task force, and implements and follows projects.

Last but not least, regarding social development, are the regional initiatives aiming to build a common digital society. RCC has a goal to promote a single, open and competitive regional ICT market. This is in line with RCC's strategy "SEE 2020" and the efforts to have smart growth. There are several different initiatives contributing to the creation of a common digital society. There is a Centre for eGovernance Development (CeGD), which was established in Ljubljana in 2008. It is a decentralised regional network, formed through a private-public partnership for training, education, consulting and research issues connected to e-governance. There is also an eSEE Initiative. It was launched in Istanbul in 2000. Nowadays, the eSEE secretariat is hosted by the UNDP country office in Bosnia and Herzegovina. The aim of eSEE is to develop a regional information society in order to better integrate SEE countries in the global knowledge base economy. Also, there is a broadband SEE task force that formed a Memorandum of Understanding on Development of Unified Market of Broadband Networks, which was signed at a Ministerial Conference in Thessaloniki in 2005.

The mix of impetuses and approaches, however, has not delivered many tangible results in regional cooperation in social development. It is the policy area where cooperation is the lowest. There has been no significant follow

up of external bottom-up initiatives. Also, they are not as neatly interwoven in the EU agenda as JHA and security cooperation are. There is lack of political will to sustain local top-down initiatives. They lack basic resources and finances. Even success stories, like regional cooperation in health, are not seen as attractive or useful for showing off politically. Local bottom-up initiatives, similar to what was seen in the previous discussion about education initiatives, bring a focused and results-oriented cooperation based on common interests; however, they often lack resources and management capacities.

3. Conclusion and recommendations

The culture of cooperation has moved from externally driven top-down initiatives (e.g. the Stability Pact) to local top-down initiatives (e.g. SEECP). On the other hand, external bottom-up initiatives – initiated externally and appropriated by local actors – deliver better results if they remain closely linked to the EU and NATO agendas in the region. This is shown in regional cooperation in JHA, security and energy, notwithstanding that other international actors have a high potential to influence regional cooperation in energy. Even though local top-down initiatives have intensified, for example in parliamentary cooperation, they still need to deliver more tangible results. Also, local top-down initiatives in big infrastructure projects raise corruption concerns. Local bottom-up initiatives have intensified pushing forward common goals or common interests of civil society actors. While it might be a challenge to manage and finance large civil society regional coalitions that work toward a common goal, regional groups working to advance their interests bring forward focused and results-oriented cooperation.

It seems that the culture of cooperation in SEE follows a different logic than the development of cooperation in the EU. Cooperation in the EU moved from policy areas of "low" politics (i.e. economy, coal and steel) to policy areas of "high" politics (i.e. security and defence). In SEE, one finds that there is more cooperation in "high" politics (e.g. security, justice and home affairs), while regional cooperation in "low" politics areas (e.g. energy, infrastructure, social development) is lagging behind. This is a consequence of the early structuring of regional cooperation.

Improving security and guaranteeing stability were the main motives for initiating regional cooperation in the early 1990s. The agenda was strongly pushed by international actors and was embedded in the EU integration process. There were strong political incentives for national political leadership to commit to improving security and stability in the region. This is a major contribution to regional cooperation, and it resulted in significant local ownership and willingness to implement regionally designed policies. This is most visible in

regional cooperation in justice and home affairs. Cooperation in these fields is dynamic, coherent and even though it rests on concerted inter-governmental efforts, there are several regional centres which sustain and develop the cooperation further. Also, the focus on security cooperation remains high. The regional regime for conventional arms control is a great achievement. It started as an externally driven process; however, it resulted in high local ownership and has provided results that are better than the EU's regime for conventional arms control. Arms control in SEE is a transparent process that significantly contributed to stability and confidence building in the region. It also helped to create a culture of trust and cooperation among military professionals.

A regional approach seems to be the best solution for SEE, an energy-dependent region, for finding investments in energy infrastructure and building a common energy market. Regional cooperation would yield the highest returns. It would tackle most of the cross-border issues and would expand the markets. At present, energy cooperation brings foreign political influences, mainly from Russia and the EU. However, while Russia is the main supplier of resources, which are often bundled with political aims, the EU is the main supplier of institutions and regulations, for example through the Energy Community. However, implementation of the Energy Community's targets is lagging behind. States dominate the electricity markets and price regulations serve as a social policy measure.

Even though gas projects are the main focus of national governments, household gasification in SEE is not advanced. Most of the electricity is produced in coal-fuelled thermal power plants and hydro plants, while a variety of hard fuels (e.g. wood, pellets, lignites) are used for heating. In the future, structural changes will most likely continue to present a major challenge. On the other hand, energy from renewable sources is under-utilised, despite the high potential – mainly in using hydropower, but also in exploitation of solar, wind, biomass and geothermal power. To make use of renewable sources, more investment in technical capacities, distribution systems and storage facilities is needed, and positive consequences are expected, such as offsetting dependence on coal and decreasing pollution.

Regional cooperation in building infrastructure is very popular in the EU and the region. It brings political benefits, in terms of positive views of electorates,

and a promise of investment and jobs. There is some improvement in road infrastructure, railways and plane transport. However, it would not be doable without the EU's financial and expert support. There is an ambitious goal to complete all connections linking the region with EU, and internally, by 2030. However, significant challenges remain. There is a scarcity of funding for large-scale infrastructure projects, and national governments are faced with high public debt. Also, some outstanding political issues impede projects, and often there are problems deriving from the lack of good governance.

Regional cooperation in social development can make the most tangible impact on the everyday life of people. Increasing regional cooperation in social development is an essential element of the agenda to bring sustainable and integrated growth in the region. However, it remains low on the agenda of policy makers. On the other hand, there is dynamic cooperation among civil society organisations. Bottom-up regional initiatives are the forerunners in efforts to build human capital, to exploit digital opportunities and to introduce labour-market policies. Concerning the latter, an enhanced dialogue between the regional association of employers and unions is needed.

In conclusion, one can point out that a culture of regional cooperation is developing in SEE. Local bottom-up initiatives – focused on common interests – seem highly supportive of enhanced regional cooperation. Also, external bottom-up initiatives, especially if they are linked with the EU agenda, support the strengthening of regional cooperation. While external top-down initiatives are a thing of the past, one should not consider that local top-down perspectives create impediments. Regional cooperation in SEE is still mainly inter-governmental. However, political leaders seem to be an unwilling partner in regional cooperation. They are pushed forward by the EU. EU integration is their principal motive to support regional cooperation. In that respect, it is beneficial that regional cooperation is an important part of the EU conditionality in the region. When left to their own, national political leaders in SEE are still mainly caught up in issues like national sovereignty and bilateral problems. In most regional cooperation initiatives, there is high local ownership, but with insufficient commitment from national governments. Donor support and international financial support remain an important variable in fostering regional cooperation.

On the other hand, different local bottom-up initiatives contributed to vibrant cooperation in social development. These initiatives are not burdened with political impediments, and are mainly focused on resolving and removing common obstacles. The social development initiatives aim to exchange best practices in terms of transformation and reform processes, to reach common standards and to raise the quality of services. This is a useful lesson for policy makers -- how to work together and not against each other.

Civil society regional initiatives bring people and cultures closer together. They intensify communication and contribute to creating a sense of togetherness. In that way, they help generate political will and public support for regional cooperation. Bottom-up regional cooperation contributed to post-conflict confidence building and opening dialogues, first between Bosnia and Herzegovina, Croatia and Serbia, and recently between Serbia and Kosovo. Bottom-up initiatives were able to articulate an alternative agenda, often pushing politically contested issues that underpin interests and needs of citizens. Also, civil society organisations have contributed to the monitoring, impact assessment and evaluation of regional cooperation. However, there is a lack of funding for bottom-up initiatives and a lack of awareness for civil society to be included as an equal partner in regional cooperation. The valuable existing and functioning networks that yielded tangible results deserve greater support. Furthermore, it would be beneficial to create new regional coalitions to act as watchdogs, for example to monitor rule-of-law reforms, EU integration and democratic reforms, and thus, support regional cooperation.

About the Balkans in Europe Policy Advisory Group

The Balkans in Europe Policy Advisory Group (BiEPAG) is a co-operation initiative of the European Fund for the Balkans (EFB) and Centre for the Southeast European Studies of the University of Graz (CSEES) with the aim to promote the European integration of the Western Balkans and the consolidation of democratic, open countries in the region. BiEPAG is composed by prominent policy researchers from the Western Balkans and wider Europe that have established themselves for their knowledge and understanding of the Western Balkans and the processes that shape the region. Current members of the BiEPAG are: Florian Bieber, Dimitar Bechev, Milica Delević, Dane Taleski, Dejan Jović, Marko Kmezić, Leon Malazogu, Corina Stratulat, Marika Djolai, Jovana Marović, Nikolaos Tzifakis, Natasha Wunsch, Theresia Töglhofer, Mirna Vlašić Feketija, Milan Nič and Vedran Džihić.

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The European Fund for the Balkans is a joint initiative of European foundations that envisions, runs and supports initiatives aimed at strengthening democracy, fostering European integration and affirming the role of the Western Balkans in addressing Europe's emerging challenges.

The up-to-date programme strategy is based on three overarching areas – Capacity Development, Policy Development and Regional Cooperation - and channelled via flagship programmes and selected projects, complemented with a set of actions arising from EFB's regional identity as a relevant player in its fields of focus.

Their synergetic effects are focussed on continuous "Europeanisation" of the policies and practices of the Western Balkans countries on their way to EU accession, through merging of the region's social capacity building with policy platform development, and a culture of regional cooperation.

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The Centre for Southeast European Studies was set up in November 2008 following the establishment of Southeast Europe as a strategic priority at the University of Graz in 2000. The Centre is an interdisciplinary and cross-faculty institution for research and education, established with the goal to provide space for the rich teaching and research activities at the university on and with Southeast Europe and to promote interdisciplinary collaboration. Since its establishment, the centre also aimed to provide information and documentation and to be a point of contact for media and the public interested in Southeast Europe, in terms of political, legal, economic and cultural developments. An interdisciplinary team of lawyers, historians, and political scientists working at the Centre has contributed to research on Southeast Europe, through numerous articles, monographs and other publications. In addition, the centre regularly organizes international conferences and workshops to promote cutting edge research on Southeast Europe.

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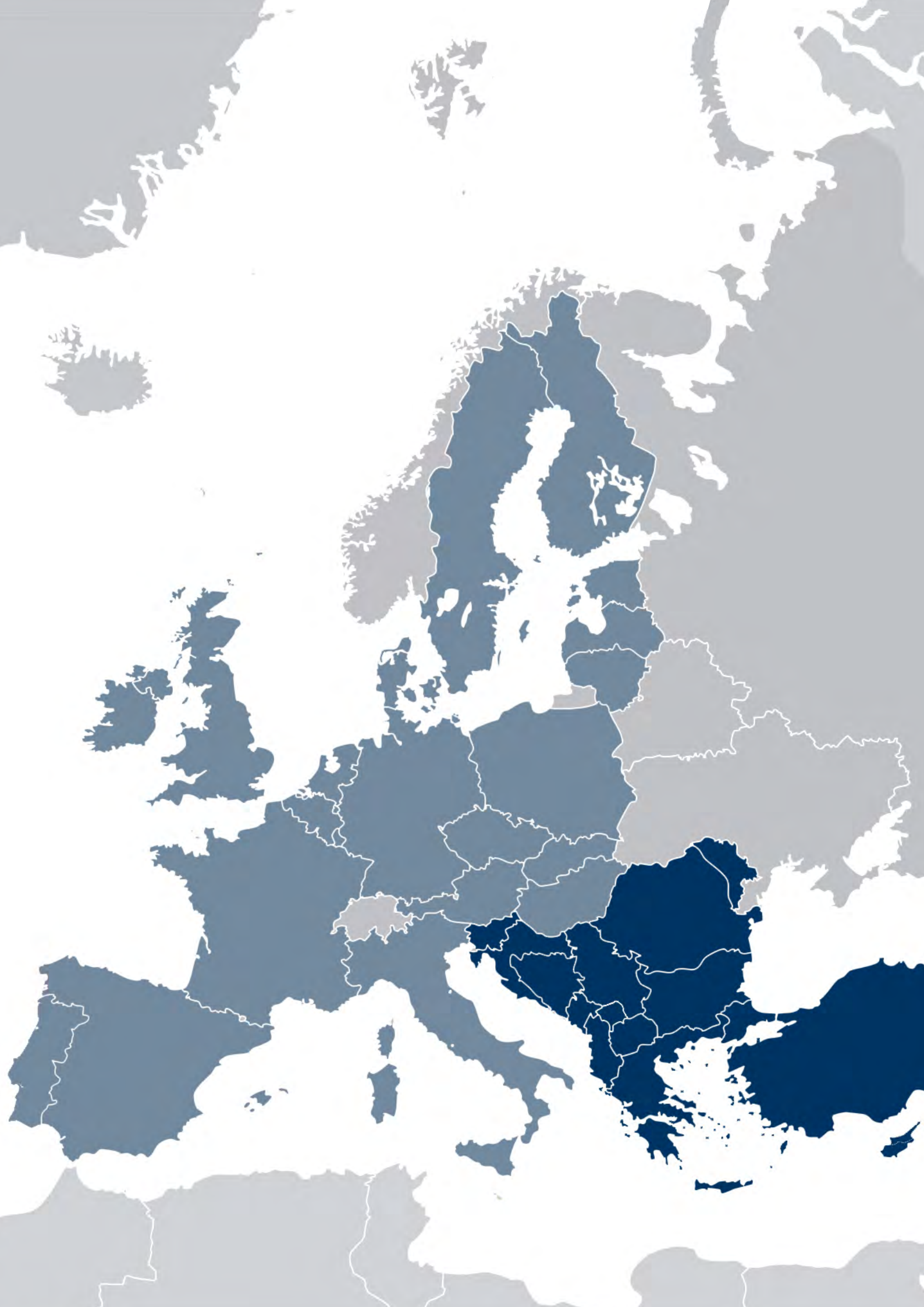


Florent Marciacq

The EU and the Western Balkans after the Berlin Process

Reflecting on the EU Enlargement in Times of Uncertainty

SOE Dialog Südosteuropa



Florent Marciacq

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Sarajevo 2017

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Preface

Florent Marciacq's text is a comprehensive review of the evolution of the Berlin Process, the policy framework that has increasingly come to define the EU's engagement in the Western Balkans. Marciacq's analysis is inescapably colored by events outside of the region – from Brexit to the broader phenomenon of enlargement fatigue – and in this way mirrors the anxiety that permeates the Balkan polities themselves and their relations with the Union. And yet the significance of the Berlin Process in shoring up Brussels' presence in the region during just this period of European and international turbulence is clear. What remains unclear – and wherein the analytical strength of the piece truly lies – is to what extent the Berlin Process can contribute to re-thinking enlargement policy itself. Marciacq suggests three strands for continued reflection: allow for more, even contentious, political debate on enlargement in the WB-6; find ways to regionalize conditionality beyond the 'Regatta'-principle; offer the WB-6 countries participation in more EU processes before actual accession. Above all, Marciacq reminds us that the Western Balkans' European future continues to depend on the development of formalized relationships between the EU and local governments as well as civil society.

Felix Henkel, Director, Friedrich-Ebert-Stiftung
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1 Introduction

Launched in 2014 following the Juncker Declaration on enlargement and against the backdrop of key geopolitical challenges at the EU's doorstep, the Berlin process is an initiative aimed at maintaining the momentum of European integration in the Western Balkans. Initially limited in time (2014-2018) and in scope, it has spread and become a multifaceted process with no foreseeable ending. Until now, it has only involved a few Member States (Germany, Austria, France, Italy, Croatia, Slovenia and more recently the UK), the 6 Western Balkan states aspiring to join the EU (i. e. the so-called WB6 group consisting of Albania, Bosnia-Herzegovina, Macedonia, Montenegro, Kosovo, and Serbia), as well as the European Union (mainly through DG NEAR and the Member State holding the Presidency of the Council).

The goal of the Berlin Process is to advance the EU's agenda in three dimensions: economic growth and connectivity, good neighborly relations and regional cooperation, and civil society development and people-to-people connectivity. Rather than ambitioning to replace the EU's ill-functioning approach towards Western Balkans would-be Member States, the Berlin Process seeks to supplement it and revitalize its dynamic. It was developed outside the enlargement framework in an *ad hoc,* more flexible mini-lateral format, but was nonetheless closely linked to the EU's overall enlargement strategy, in terms of both substance and objectives, and was recognized very quickly as contributing to its advancement.[1]

The Berlin Process introduces a novel practice in the EU's enlargement toolbox. Yearly Berlin Process Summits (held in Berlin in 2014, Vienna in 2015, Paris in 2016, Trieste in 2017, and the UK in 2018) at the highest level, complemented by a long series of meetings at lower levels and a number of regional side-events seem to have warded off the oblivion to which enlargement policy was otherwise consigned. In that sense, the Berlin Process was instrumental in keeping on the radar key issues marring progress made by Western Balkan states on their way towards the European Union: their infrastructure gap and economic vulnerability; the lack of perspective perceived by WB6 youth; their democratic backsliding into stabilitocratic regimes;[2] the persistence of ethno-nationalism under the surface of reconciliation; the destabilizing potential of bilateral disputes; and the growing engagement of Russia, China and Turkey throughout the region.

This achievement is anything but insignificant, as the "business-as-usual" modus through which the EU previously pursued its enlargement policy had led it to turn a blind eye on issues looming over the region. But beyond this achievement, what sub-

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1 The Commission stated in 2014 that "the Berlin Process can be instrumental for encouraging reforms and agreeing realistic priorities for core connectivity investments. It can also act as a spur to help resolve outstanding bilateral issues". European Commission, 8.10.2014. Enlargement Strategy and Main Challenges 2014–2015. COM(2014) 700 final, p. 17.

2 Balkans in Europe Policy Advisory Group. March 2017. *The Crisis of Democracy in the Western Balkans. Authoritarianism and EU Stabilitocracy.*

stantive contribution has the Berlin Process made to the EU's approach towards enlargement? How much has it helped to address these issues? Based on an assessment of its track record, what is its perspective in 2018 and beyond, in times of greater uncertainty? How does it relate to the challenges the EU faces both internally (with Brexit and prospects of differentiated integration) and externally, with an increasingly complex environment and undermined credibility as normative power?

This paper explores some of these questions, focusing less on WB6 politics at the micro-level than on the EU-WB6 interface created by the Berlin Process and the changes in the enlargement policy the process induces. While not overlooking the responsibility of WB6 leaders in (willingly or not) failing to advance reforms in a European spirit, the paper is premised on the EU's claim that its enlargement process (including Berlin Process) can influence Western Balkans policies, politics, and polities in a decisive manner. Its inability to do so, e.g. because of WB6 leaders' reluctance to support genuine reforms, although not necessarily falling under the main responsibility of the EU, indicates nonetheless that the opportunity structure offered by the EU in its current approach is not effectively nudging WB6 leaders to make optimal choices genuinely supportive of their country's EU agenda. In other words, if the EU's claim to be an influential actor in the Western Balkans is to be taken seriously, its inability to deliver cannot be explained simply on the grounds that WB6 domestic political contexts are unfavorable or unreceptive, because demonstrating influence is precisely about changing preferences, or at least behavior. In that sense, the democratic backsliding in the Western Balkans, while being orchestrated by local governments, is a sign that the EU has lost influence in guiding political transformations – a key pillar in its foreign policy strategy.

This paper first examines the achievements of the Berlin Process, discusses its novelty and shortcomings, and assesses its impact on the EU's practice of European integration in the Western Balkans. Based on this assessment and on current developments in EU politics, it then discusses the future of the Berlin Process and its possible contribution to transforming the EU's enlargement policy. This paper draws from expert discussions held in the framework of the Western Balkans Reflection Forum Initiative,[3] organized in the framework of the Berlin Process, as well as a dozen of semi-structured interviews conducted in 2016-2017 with national and EU officials as well as experts and civil society representatives throughout the region.

3 Especially the Reflection Forum of Paris (2016) and Trieste (2017), but also the Outreach Events Series (2016-2017). See section 2.3.3.

2 Assessing the Berlin Process

2.1 What's New in the Berlin Process?

The objectives of the Berlin Process, set out in the Final Declaration of the Conference on the Western Balkans of 2014, consist in furthering "endeavors to make *additional real* progress in the reform process, in resolving outstanding bilateral and internal issues, and in achieving reconciliation within and between the societies in the region [as well as in] enhancing regional economic cooperation and laying the foundations for sustainable growth" (emphasis added)[4]. The emphasis on *"real"* progress can be understood as underlining the difference between output and outcome in external Europeanisation (e.g. in reform-driven compliance with EU rules).[5] This difference is essential to understand the mixed results yielded in 20 years of post-conflict transformation in Western Balkan states and the limited consolidation of economic and democratic governance in the region.[6] For that matter, following the accession of Bulgaria and Romania, the EU itself has paid a greater attention to ensuring that rule adoption is followed by rule implementation. For instance, in the latest Western Balkans Summit Declaration of Trieste, the EU underlines that progress in European integration matters should be "irreversible."[7] The emphasis on *"real"* progress, which guides the Berlin Process objectives, in that sense, bears little novelty.

Its call for *"additional"* progress, by contrast, does. The EU's enlargement policy, once considered the most successful external policy of the EU, has traditionally been considered a community-policy. Although the Member States (through the Council) retained the prerogative of sanctioning key progress in accession matters (from the signature of SAA to the opening of accession negotiations), the European Commission was in fact given the driver's seat: it monitored progress, provided assistance and final recommendations, etc. The guiding role of the European Commission on more sensitive issues (such as Belgrade-Pristina dialogue or the situation in Macedonia) was supplemented by the mediation of EU diplomats from the Secretary General of the Council and later, by the double-hatted High-Representative of the Union / Vice-President of the European Commission. EU institutions, in other words, were primarily responsible for managing the various aspects of the enlargement policy towards the WB6.

With the Berlin Process, their action has been supplemented by the engagement of a self-designated small group of Member States (Germany, Austria, France, Italy, Croatia, Slovenia, and the UK). It was a core group of Member States within this group that initiated the Berlin Process without pri-

4 Final Declaration by the Chair of the Conference on the Western Balkan. 28.8.2014. https://www.bundesregierung.de/Content/EN/Pressemitteilungen/BPA/2014/2014-08-28-balkan.html.

5 See Ademmer, Esther & Börzel, Tanja. 2013. Migration, Energy and Good Governance in the EU's Eastern Neighbourhood. *Europe-Asia Studies*. 65(4). 581–582.

6 E.g. Dzihic, Vedran / Segert, Dieter. 2012. Lessons from "Post-Yugoslav". *Democratization*. 26(2). Noutcheva, Gergana. 2012. *European Foreign Policy and the Challenge of Balkan Accession*. London, New York: Routledge. Dolenec, Danijela. 2013. *Democratic Institutions and Authoritarian Rule in Southeast Europe*. Colchester: ECPR Press. Elbasani, Arolda. 2013. *European Integration and Transformation in the Western Balkans*. London, New York: Routledge. Bieber, Florian (ed.). 2013. *EU Conditionality in the Western Balkans*. London, New York: Routledge. Dzihic, Vedran & Hamilton Dan. 2012. *Unfinished Business. The Western Balkans and the International Community*. Washington D.C.: Brookings Institution Press.

7 Declaration by the Italian Chair of the Trieste Western Balkans Summit 2017. 13.7.2017.

or-consultations with the European Commission[8] and determined its original agenda. Other Member States (Romania, Hungary, Greece), initially interested in joining the initiative, were not allowed to join.[9] This mini-lateral format was to keep the Berlin Process more flexible in advancing ways to keep the political momentum of EU enlargement/integration both within the EU and in the WB6. It was, in other words, this difference in approach that justified the process' ambition of achieving *"additional"* progress (which presumably could not have been achieved by the EU community approach).

This mini-lateral format and the patronage of Germany around which it was built, introduced a "change as addition" in the EU's approach towards enlargement.[10] The Berlin Process did not create a new *acquis* that would replace the EU's. It did not rest on new institutions, nor did it provide new funding capacities. It was launched as an additive and complementary process, essentially anchored in the EU's normative approach to membership (EU Enlargement Strategy 2013) and regional competitive and growth strategy (SEE 2020).[11] The Berlin Process, in substance, is a repackage of existing approaches, advertised by different means. It was not designed, as such, to induce "dialectical changes," i. e. to generate novelty by cross-fertilizing old practices with new practices,[12] but merely to give a new impetus to the business-as-usual approach that was hitherto pursued. That does not mean, as theories of change in international relations suggest, that change as addition cannot pave the way to deeper and broader dialectical changes.

2.2 Who's Steering and Monitoring the Berlin Process?

The Berlin Process is not equipped with a built-in steering and monitoring mechanism. This is certainly one of its weaknesses. The Member States organizing the yearly Berlin Process Summits are responsible for following up on the initiatives launched by their predecessors. No specific institution is tasked with having oversight over the strategic development of the overall process or monitoring its achievements. Individual Member States hosting the summits and drafting the agenda, in that sense, are free to focus on one dimension or another, and add or retrieve components from the agenda, depending on their national interest or priorities. Germany, for instance, set the basis of the process ("fundamentals first"), later upgraded by Austria (with an emphasis on bilateral disputes, migration, and civil society participation), while France focused more on vocational training and youth exchanges (at the expense of civil society, bilateral disputes, and migration) and Italy seemed more interested in SME development and innovation. The priorities of the United Kingdom (hosting the Berlin Process Summit of 2018) will be interconnectivity, advancing the digital agenda and entrepreneurship, tackling shared challenges (cybercrime, trafficking, security) and youth. In that sense, the development of the Berlin Process has both the properties of a continuum (e. g. with respect to the connectivity agenda) and a sequence (with respect to "newer" items such as bilateral disputes). Its ability to ensure continuity across its expanding portfolios is therefore limited.

Beyond 2018, no prediction can be made except that the process, initially planned to end, shall continue.[13] Whether new participating states will be invited to join the initiative and how the process will unfold, however, is not settled yet, for lack of steering mechanism. Very recently, an informal invitation has been extended by to Poland to organize the Summit in 2019, but no decision has been made so far.

The Berlin Process, likewise, does not feature an built-in monitoring mechanism. The Member States hosting the yearly summits are expected to follow-up on the progress made by WB6 countries in respecting their commitments, but, in practice, no systematic approach is foreseen. Therefore, in seeking to achieve *"additional real progress,"* the Berlin Process largely relies on the voluntarily engagement of WB6 leaders (while capitalizing on the EU's conditionality approach).

The absence of internal monitoring mechanism is barely compensated by external assessments. These have been sparse and elusive: the European Commission repeatedly praised the achievements of the Berlin Process in its 2015 and 2016 Enlargement strategy documents as well as in its WB6 individual

8 Interview with an official from the European Commission. November 2016.

9 Interview with a Serbian official. March 2016. France, for instance, was particularly reluctant to open the Berlin Process to the Visegrad countries, despite their open-door policy towards enlargement. Interview with an official from Macedonia. November 2016.

10 Holsti K. 1998. The problem of change in international relations theory. Working Paper n°26. Institute of International Relations, the University of British Columbia

11 Hackaj, Ardian, et al. 2015. Albania in Berlin Process: Current achievements and Upcoming Challenges for the Paris Summit. Tirana: Botimet. p.14.

12 Holsti K. 1998. The problem of change in international relations theory. Working Paper n°26. Institute of International Relations, the University of British Columbia

13 Declaration by the Italian Chair of the Trieste Western Balkans Summit 2017. 13.7.2017.

progress reports. More specifically, it acknowledged that the Berlin Process has been instrumental in furthering regional cooperation in general,[14] "furthering advances on the EU's connectivity agenda,"[15] and "opening cooperation in new areas, notably through the establishment of the Regional Youth Cooperation Office."[16] But country-specific monitoring of the progress made in the framework of the Berlin Process is missing.[17] The European Parliament, likewise, remains rather silent on the matter.[18]

More information on the Berlin Process' outputs can be found at the sectoral level in monitoring reports produced by the Energy Community Secretariat (EnCT Secretariat) and South-East European Transport Observatory (SEETO), on the implementation of energy and transport soft measures respectively. But these monitoring reports, by definition, only focus on particular policy areas and treat the Berlin Process as an intervening, rather than independent variable.

In the end, the most consolidated source of information about the achievement of the Berlin Process is independent experts and think tanks. In Albania, Serbia (the greatest beneficiaries of the process), and Kosovo, publications have been issued that take stock of the progress made under the Berlin Process by WB6 countries.[19] In the absence of more structured reporting mechanisms, these publications shed light on a process that is insufficiently scrutinized.

2.3 What are the Achievements of the Berlin Process?

2.3.1 Perceptions of Success and Failure

Interviews with officials from WB6 countries, EU institutions, and EU Member States' administrations shed light on how elites involved in the Berlin Process perceive and assess its achievements. The main points of their argument can be summarized as follows: first, the Berlin Process has been instrumental in keeping the question of enlargement towards the Western Balkans on the EU agenda. It has, in that sense, mitigated the negative impact of recent developments at the EU level (Juncker Declaration, establishment of a unique DG in charge of both the enlargement and neighborhood policy, shift from enlargement to integration fatigue, Brexit, etc.) and thereby kept WB6 leaders "busy". This achievement is anything but irrelevant, if one considers that the shrinking interest of the EU for enlargement towards the Western Balkans occurs while other players increase their engagement (mainly China, Russia, and Turkey). The Berlin Process, in other words, signaled that the EU remains a strategic player in the region. That signal was all the stronger since the initiative was brought to the fore by Germany and welcomed as such in the Western Balkans. In sum, it looked "as if Germany had understood what was at stake in the region,"[20] as if it was ready to serve as a role model[21] vis-à-vis other Member States less inclined towards enlargement. This perception created great expectations: The Berlin Process, although owned by the region, was to be driven by the German "Wirtschaftswunder"[22] and Berlin, i.e. Europe's political locomotive.

More substantively, a major achievement of the Berlin Process, according to most interviewees, is that it has boosted the interest of WB6 and EU stakeholders for regional cooperation. That is a distinctive contribution of the Berlin Process, which can easily be designated as advancing "real additional progress." Regional cooperation has always been a component of the EU's enlargement strat-

14 European Commission. 9.11.2016. *2016 Communication on EU Enlargement Policy.* COM(2016)715 final. https://ec.europa.eu/neighbourhood-enlargement/sites/near/files/pdf/key_documents/2016/20161109_strategy_paper_en.pdf

15 European Commission. 9.11.2016. *Serbia 2016 Report.* SWD(2016)361 final. https://ec.europa.eu/neighbourhood-enlargement/sites/near/files/pdf/key_documents/2016/20161109_report_serbia.pdf; European Commission. 10.11.2016. *EU enlargement Strategy.* COM(2015)611 final. https://ec.europa.eu/neighbourhood-enlargement/sites/near/files/pdf/key_documents/2015/20151110_strategy_paper_en.pdf

16 European Commission. 9.11.2016. *Serbia 2016 Report.* SWD(2016)361 final. https://ec.europa.eu/neighbourhood-enlargement/sites/near/files/pdf/key_documents/2016/20161109_report_serbia.pdf; European Commission. 10.11.2016. *EU enlargement Strategy.* COM(2015)611 final.

17 Country-specific monitoring (e.g. regarding the implementation of connectivity reform measures or the establishment of the prioritised list of investment projects) is very unusual in the Commission's progress reports.

18 Exception made of a briefing paper and a few expressions of support in various documents. E.g. European Parliament. 4.7.2016. The Western Balkans' Berlin Process: A new Impulse for Regional Cooperation. *Briefing.* PE586.602. chttp://www.europarl.europa.eu/RegData/etudes/BRIE/2016/586602/EPRS_BRI(2016)586602_EN.pdf

19 Cooperation and Development Institute / ShtetiWeb. *Berlin Process Series.* Minic, Jelica (ed). 2017. Stocktaking of the Berlin Process. *Foreign Policy Paper.* 1/17 http://www.emins.org/uploads/useruploads/forum-mo/Foreign-Policy-Papers-1-2017.pdf. Nicic, Jovan et al. December 2016. The Berlin Process and Regional Cooperation in the Western Balkans: How to Make Agreements More Effective and Efficient? Policy Brief. https://issuu.com/europeanfundforthee balkans/docs/the_berlin_process_and_regional_coo; Emini, Donika. 2016. *Berlin Process: Path to Europe or to Nowhere?* Pristina: Kosovar Centre for Security Studies.

20 Interview with an official from the European Commission. November 2016.

21 Interview with Serbian official. March 2017.

22 Interview with an official from the EEAS. November 2015.

egy. The European Commission, for instance, has repeatedly demonstrated its support for inclusive, regionally-owned and driven structures and initiatives (SEECP, SEE 2020 strategy, CETFA, ReSPA, ECAA.) and welcomed the constitution of the Western Balkans Six grouping in 2013-2014, which drew on the positive experience of the Visegrad Four and became pivotal in the Berlin Process framework. But the EU, before the Berlin Process, promoted regional integration, mainly through political dialogue, as a somehow distinct, if not separate issue area (next to rule of law or economic and social challenges), which WB6 countries had to work on, jointly (i. e. quasi in parallel), rather than collectively (i. e. quasi in unity).

The Berlin Process de-encapsulates this understanding of regional cooperation by replacing it at the core of the dynamic of European integration so that it permeates most sectoral policy fields, with a major emphasis on economic matters. This re-framing of regional cooperation (or streamlining) has had positive effects: it has led to the multiplication of regional meetings at all levels, which in turn constitute an effective way of building trust and interpersonal relations (between Serbia and Albania's leader, most notably). It has also increased the level of interactions between EU and key Member States' officials on the one hand and WB6 leaders and officials on the other, including from those non-negotiating prospective Member states (e. g. Bosnia-Herzegovina, Kosovo) that had less operational relations with the EU hitherto. It has been conducive in improving the planning and preparation of genuinely "regional" projects as well as their monitoring (EU reports used to focus very much on national projects) and has reinforced the focus on enabling measures participating to "real progress" (through monitoring of soft measures implementation). More generally, it is deemed to provide better foundations for "real" reconciliation in the region.

In more specific terms, the greatest successes of the Berlin Process initiative are considered the regionally coordinated and agreed-upon Connectivity Agenda, supported by the EU and international financial institutions, and the establishment of the Regional Youth Cooperation Office (RYCO). The launch of the Western Balkan Chambers Investment Forum can be added to the list of perceived Berlin Process achievements as well.[23] The significance of these achievements (as well as others) will be discussed in the sub-sections below.

23 Minic, Jelica (ed). 2017. Stocktaking of the Berlin Process. Foreign Policy Paper. 01/17 http://www.emins.org/uploads/useruw ploads/forum-mo/Foreign-Policy-Papers-1-2017.pdf. p. 10.

2.3.2 Transport and Energy Connectivity

The Berlin Process was launched with the idea of putting "fundamentals" first, hence its emphasis on transport and energy connectivity. Indeed, the region is characterized by major infrastructure gaps and fragmentation.[24] The density of its railway and motorway networks, for instance, is at least three times lower than in neighboring EU countries. Moreover, the region faces extreme difficulties in financing new infrastructures due to narrow fiscal space. These challenges, and their negative impact on growth, hinder progress towards European integration in an important way. That is why the Berlin Process builds on the EU's Connectivity Agenda in transport and energy.[25] Using existing frameworks (the SEETO and EnCT), it serves as a "prioritization mechanism to focus new infrastructure investments onto selected projects."[26] The Berlin Process, in that sense, facilitates the preparation and financing of concrete regional infrastructure investment projects reflecting the priorities of the WB6 countries. In Vienna, for instance, the WB6 governments presented an ambitious connectivity agenda with 50 projects seeking co-financing. Out of these 50 projects, 10 were deemed mature, but only 3 have been eventually endorsed for co-funding to date (with estimated value of 97 million euros). In another policy area, the Berlin Process has been prioritizing the realization of an integrated Western Balkan electricity market.

Although the Berlin Process does not come with additional funds, it relies on the fact that the European Commission set aside up to 11 billion euros for connectivity investment projects and technical assistance for the 2014–2020 period. Access to EU funding, however, is conditional upon domestic reforms and openness to market forces, as well as to the implementation of technical standards and soft measures such as aligning/simplifying border crossing procedures, railway reforms, information systems, road safety and maintenance schemes, unbundling and third-party access, etc. The promotion of these measures and reforms lies at the core of the Berlin Process.

24 Holzner, Mario. June 2016. Policy Options for Competitiveness and Economic Development in the Western Balkans: the Case for Infrastructure Investment. *Wiiw Policy Notes and Reports.* 16. https://wiiw.ac.at/policy-options-for-competo itiveness-and-economic-development-in-the-western-balkans-the-case-for-infrastructure-investment-dlp-3916.pdf.

25 European Commission. 2016. Connectivity Agenda: Co-financing of Investment Projects in the Western Balkans. htte ps://ec.europa.eu/neighbourhood-enlargement/sites/near/files/pdf/western_balkans/20160704_paris_package.pdf.

26 Kovacevic, Aleksandar. 2017. Energy and Transport in Minic, Jelica (ed). 2017. Stocktaking of the Berlin Process. *Foreign Policy Paper.* 1/17. p. 14.

However, the Process's ambition to putting fundamentals first is ambiguous. Unlike China, for instance, the EU is interested in how investment projects are realized – not only in terms of output, but also in terms of outcome. The Connectivity Agenda is not only about connecting and developing energy and transport networks, but also (and perhaps above all) about modernizing public administrations and domestic processes. That ambiguity (whether the "fundamentals" are the connectivity infrastructure themselves or the transformation of domestic processes through the implementation of these connectivity projects) complicates any achievement on the EU's side, since the expected reforms may take years to be implemented and EU grants must be complemented by other sources (they usually account for 40–50 percent of mature projects). In light of this very demanding process, experts so far have noted that "countries in the region have promised more than they can (or intend to) deliver,"[27] and that the overall implementation of soft measures remains weak. It is "not primarily a lack of financing that slows down projects, but rather a lack of capacities to prepare projects that would attract adequate amounts of public funding and private finance", i. e. a lack of capacity to bring projects from feasibility to a bankability stage[28]. Since the beginning of the Berlin Process, very few projects have therefore been able to spring up concretely, and it is noteworthy that this will probably remain the case for several years. That means that the connectivity agenda, to date, has fallen short of both producing highly visible outputs (in terms of materializing concrete projects) and achieving major progress in broader outcomes (in terms of transforming domestic processes).

Moreover, the EU is not the only actor in the region to promote connectivity and investments in infrastructures. China has been increasingly active in the framework of its "One Belt, One Road" millennial project (OBOR) through its so-called "16+1 initiative." It set up a 10 billion euros investment fund that could raise up 50 billion euros to finance infrastructure and production capacity projects in Central, Eastern, and Southern Europe.[29] This gave new impetus to Chinese relations with some WB6 countries, especially Serbia - the relationship between the two countries was updated from a strategic partnership in 2009 to a comprehensive strategic partnership in 2016. To date, China has invested one billion US dollars, mostly in the form of loans, to finance the building of transport infrastructure and energy projects in the country.[30] For instance, it financed the construction of the Sino-Serbian Friendship Bridge across the Danube in Belgrade (completed in 2014), acquired key metallurgic assets in Smederevo, and is about to contribute to the construction of a high-speed railway between Belgrade and Budapest. In Montenegro, China is upgrading a 10km segment of railway leading to the port of Bar and has signed a contract to construct a highway connecting the country to Albania. In Macedonia, it is involved in the construction of two motorways. In Albania, it agreed to finance a segment of highway towards Macedonia, thus linking the Ionian Sea and the Bulgarian part of the Black Sea coast; it also acquired Tirana's international airport. Further projects include the modernization of the motorway from Bar to Serbia, the construction of a highway in Bosnia-Herzegovina, investments in coal-thermal power plants in Stanari and Tuzla, and the preparation of a feasibility study regarding the modernization of Macedonia's railways so as to connect the China-owned city port of Piraeus to Belgrade (through Serbia and Macedonia). These investments, not being premised on political conditionality, are particularly attractive to leaders interested in speeding up the modernization of the infrastructures of their country. Their impact, in contrast to EU-funded projects, is observable in a relatively short time, even though Chinese investment, unlike EU assistance, is extended in the form of soft loans, and not grants.

Although the European Commission and the Chinese governments agreed on enhancing synergies between the OBOR and the EU's Connectivity Agenda platforms,[31] the two connectivity schemes are not by default mutually reinforcing. All in all, five years of OBOR investments (with greater investments to come) have called into question, if not dwarfed, the EU's upper hand in financing WB6 connectivity. China's progress in advancing OBOR projects in the region should not be underestimated (although several projects remain stalled). Un-

27 Hackaj, Ardian, et al. January 2017. *Monitoring the Berlin Process: From Paris to Trieste.* Tirana: Botimet., p. 25–26.

28 Ammermann, Heiko, et al. January 2017. Accelerating Infrastructure Preparation in Southeast Europe. Roland Berger Concept Paper.

29 Reuters. 6.11.2016. China launches $11 billion fund for CEE. http://www.reuters.com/article/us-china-eastern-europe-fund-idUSKBN13105N.

30 Tonchev, Plamen. February 2017. China's Road: into the Western Balkans. *EUISS Brief Issues.* 2017(3). http://www.iss.europa.eu/uploads/media/Brief_3_China_s_Silk_Road.pdf.

31 Wang, Xieshu et al. March 2017. One Belt One Road and the Reconfiguration of China-EU Relations. *Document de Travail du CEPN.* 2017/4. https://cepn.univ-paris13.fr/wp-content/uploads/2017/03/DT-CEPN-2017-04.pdf; EBRD. July 2016. China and South-Eastern Europe: Infrastructure, trade and investment links. www.ebrd.com/documents/comms.../see-china-investments.pdf;

like Russia, the involvement of which in financing projects lacks commitment and consistency, China institutionalized its "16+1 initiative". It set up a secretariat and a research fund which relies on national coordinators from Western Balkans administrations, and organizes regular summits at the highest level.

2.3.3 People-to-People Connectivity

Summit after summit, the Berlin Process has gradually extended its focus to people-to-people connectivity, with concrete results. First, the creation of the Western Balkans Civil Society Forum (CSF), organized every year as a side-event to official Berlin Process Summits, provides new opportunities for civil society representatives from the region to exchange ideas, voice their concerns, and formulate concrete recommendations for decision-makers. The initiative's goal, also supported by the European Parliament, is to strengthen the regional mobilization of civil society and facilitate its reaching out to policy processes. To that end, the CSF seeks to foster responsible partnerships between civil society representatives and WB6 governments in advancing the process of transformation. Despite its loose structure and functioning (reflecting the difficulty of synthetizing the energies of a multifaceted civil society), the initiative has been successful in enhancing the profile of civil society among decision-makers and further opening up policy processes to inputs from civil society.

The potential of this approach is far-reaching, as demonstrated by the creation of RYCO, one of the flagship projects of the Berlin Process, though it was initiated outside of the framework of the CSF. The prioritization of youth issues in civil society discussions and the partnership established between national youth organizations and governments have been key in enabling this regional office to see the light of the day. Still, many challenges await the newly established RYCO. Its success (and "real additional" contribution to reconciliation) will ultimately depend on its capacity to foster intra-regional mobility across ethnic lines (e.g. young Albanians going to Serbia rather than to Kosovo) and on the number of youth ready to participate in its programs.

Another aspect of the people-to-people connectivity brought to the fore by the Berlin Process has been the strengthening of the role of experts. In Vienna, for instance, a "Declaration on Bilateral Issues" was signed by the Foreign Ministers of WB6 countries and attached to the 2015 Summit Final Declaration. The document features a commitment to resolve all open questions in a spirit of good neighborliness and to refrain from blocking or encouraging others to block the progress of neighbors on their respective EU paths. Drafted by the Balkans in Europe Policy Advisory Group (BiEPAG), a network of experts, this was an integral part of policy brief "Removing Obstacles to EU Accession: Bilateral Disputes in the Western Balkans."[32] The declaration constitutes one of the new few elements informing the EU's acquis in enlargement matters. Though it draws on unfortunate experiences in the region (Slovenia blocking Croatia or Greece blocking Macedonia), it fails to commit WB6 neighbors (i.e. EU Member States) to apply the same principle to their respective relations with WB6 countries. Since their asymmetric power remains untouched, the effect of such a declaration – as well as its prescriptive power – cannot be as exhaustive as needed.

Another initiative launched in the framework of the Berlin Process has been the Reflection Forum on the Western Balkans, a pan-European gathering of experts, analysts, and researchers focusing on EU enlargement and European questions in the region. The Reflection Forum, organized every year in the run-up to Berlin Process Summits, builds on a wide network of EU and WB6 think-tanks uniting to pursue an on-going reflection on European politics, EU enlargement, and the Western Balkans. It offers an interactive and forward-looking platform for the exchange of ideas on constructing Europe in the Western Balkans, open to national EU and WB6 voices. This initiative, although very welcome in the context of integration and enlargement fatigue and growing heterogeneity, has yet to gain more extensive recognition and participation from EU and WB6 operational experts.

In the past few years, business connectivity has gained particular momentum under the auspices of the Berlin Process. The topic has climbed the agenda of Berlin Summits step by step, becoming one of the top priorities of the Italian hosts in 2017. The idea here is to "anchor the WB6 economic structure – industrial production and services – to the EU one, not only through unhinged market exchanges [i.e. establishment of a more integrated regional market], but by regular networking and establishment of sustainable business relationship."[33] To achieve this goal, business fora have been organ-

32 Balkans in Europe Policy Advisory Group. 2015. Removing Obstacles to EU Accession: Bilateral Disputes in the Western Balkans. *BiEPAG Policy Brief*. http://www.punetejashtme.gov.al/files/userfiles/Policy_brief_-_Bilateral_Disputes_study.pdf

33 Hackaj, Ardian, et al. January 2017. *Monitoring the Berlin Process: From Paris to Trieste*. Tirana: Botimet, p. 29.

ized as side-events to annual Berlin Process Summits, and cooperation between WB6 chambers of commerce has been furthered. In 2015, most notably, the Western Balkans Chamber Investment Forum, a permanent regional platform assembling WB8 chambers of commerce (WB6+Slovenia and Croatia), was established in the framework of the Berlin Process, making significant contributions to efforts to normalize relations in the region and stimulate regional economic cooperation. Practically, its objective is increase the involvement of business communities in implementing regional infrastructure projects, especially in relation to the realization of the EU's connectivity agenda. The initiative, applauded by EU and WB6 stakeholders, is working on building up a common e-platform for the exchange of information and data, creating a joint register of members to facilitate the assessment of the solvency of all companies in the region, as well as encouraging SME cooperation, establishing a regional school for human resources development and, based on the initiative of Croatian colleagues, setting up a regional innovation centre to connect companies, science, and research institutions in one place.[34]

A similar initiative at the bilateral level was established recently in November 2016 by the Tirana-based Serbia-Albania Chamber of Commerce. Its aim is to bring Serbian and Albanian business communities closer, to provide for efficient communication and cooperation among companies, and to assist them in exploiting the largely unused potential of growth in Serbo-Albanian trade, investment, and economic relations.

34 B92. 9.9.2016. "Region is in a Crisis – but Business always finds ways." http://www.b92.net/eng/insight/tvshows.php?yyyy=2016&mm=09&nav_id=99157

3 What now? Reflecting on the EU's Post-Berlin Enlargement Policy Challenges

The Berlin Process was launched as a mini-lateral initiative supplementing the EU's more technical approach towards enlargement. It epitomizes "change as addition,"[35] to use Holsti's terminology. The Berlin Process, however, wasn't planned to last beyond 2018. Its particular format and weak institutionalization enable greater flexibility, but leaves the question of continuity and consistency open.

Also, in the absence of structured steering and reporting mechanisms, the Berlin Process operates very much on the basis of the voluntary engagement of participating governments, whereas the EU's enlargement strategy fosters technocratic processes and the use of conditionality. The Berlin Process, in that respect, notably differs from the EU's methodology. And yet, an external assessment of its achievements, whether actual or perceived, suggests that the Process, despite significant shortcomings, has had an added value.

This assessment leads to the following questions: What next? What lessons can the EU's enlargement strategy / methodology draw from the experience of the Berlin Process? What avenues for "dialectical change," if any, has it opened beyond the "change as addition" already affecting the EU's approach towards the Western Balkans? More specifically, which elements introduced by the Berlin Process could the EU build on in its attempt to improve its enlargement policy approach?

35 Holsti K. 1998. The problem of change in international relations theory. Working Paper n°26. Institute of International Relations, the University of British Columbia

3.1 Resisting the Siren Call to Return to the "Business as Usual" Approach

3.1.1 A Return to "Business as Usual" Would Hardly Be Justifiable

The Berlin Process was initially planned to end in 2018. The temptation could arise to end the process accordingly, or a few years after, with a ceremony celebrating the "mission accomplished." Political leaders would praise the "real additional progress" made, the "new momentum" given to enlargement, and claim that "it's now time for the European Union to take over." The EU would thereby resume its two decades-long "business as usual" approach in enlargement matters, which has to date had mixed results.

Alternatively, the Berlin Process could continue to be seen as a supplementing initiative adding value to the EU's approach. Instead of ending it, political leaders could accordingly decide to extend it, merge it with another (probably larger) regional initiative (e.g. the Brdo-Brijuni process), or leave it as it is. The Berlin Process would retain its distinctive features and operate in support of the EU's approach. It would have no further dialectical or transformative changes in the EU's overall approach towards the Western Balkans, instead simply backing the current EU approach. At best, the Berlin Process would operate in parallel to the EU's "business as usual" approach; at worst, in joining the plethora of regional initiatives already in place in the region, the Berlin Process would lose its specificity and be diluted in the EU's "business as usual" mainstream. According to leading experts, the Western Balkans already host more

than 70 regional initiatives – but their number is no sign of effectiveness.

In both cases, the temptation for the EU and WB6 to resume their "business as usual" relationship (which they have maintained in the past two decades) is real: path dependencies are commonly seen as a factor constraining change and a number of veto players would not necessarily welcome a review of the approach they are accustomed to. This approach remains indeed widely accepted among institutional stakeholders at the policy level. Political strongmen in the Western Balkans have been eager to develop language elements that conceal their autocratic tendencies, lure the EU in supporting their domination, and thereby consolidate their external legitimacy, while hindering reforms that would constrain their power. They have adapted their rule ingeniously to the EU's approach and benefit from slow progress, most notably in sustaining political transformation. EU leaders, meanwhile, refrain from questioning the "business as usual" approach either because they have lost interest in enlargement, or for fear of acknowledging shortcomings that would question the very idea of enlargement in their electorate. Resuming "business as usual" in enlargement matters, against this backdrop, may well be the preferred option of key stakeholders at the policy level.

The twenty-year legacy of enlargement policy does not bode particularly well for its future. Twenty years after the 1997 Regional Approach, which contained in essence most of the elements developed by the Summits in Zagreb and Thessaloniki, the region faces enduring, if not growing, challenges. Despite the two-decade long intensive and systematic engagement of the EU in the region, the situation remains "fragile" according to the European Council as of March 2017. Economically, the region is failing to catch up with the EU.[36] Twenty years ago, the average GDP per capita of Western Balkan states was about 40 to 60 percent of the average GDP per capita of Central and Eastern European states. Today, it remains at the same level, despite massive financial assistance. In Kosovo, for instance, the poverty rate is about 30 percent, while the unemployment rate is at 33 percent and youth unemployment reaching almost 60 percent. Throughout the region, crumbling industrial production, soaring (youth) unemployment, large trade deficits, sizeable external debts, low birth rates and high emigration weigh rather heavily on the still malfunctioning market economies in the Balkans, putting a damper on the (recently upgraded) EU economic model for the region.[37]

Likewise, the EU's approach in the past twenty years has been unable to stop the democratic backsliding in the region. The EU's approach in this area, with stability concerns prevailing over democratic governance, has been instrumental in building seemingly democratic institutions, but much less effective in altering effectively authoritarian rules and practices.[38] In the absence of pre-existing preferential fit, conditionality, for instance, has remained relatively ineffective in inducing compliance and behavioral change (rule-implementation). Overall, indexes of democratic governance (Freedom House, Reporters without Borders, Bertelsmann Transformation) concur in evidencing at best stagnation and at worst dramatic deterioration in civil and political liberties in the Western Balkans. This clearly challenges the self-conception of the EU as a normative power. The new concept of "resilience" which advanced in the EU's Global Strategy is simply stability repackaged, and it falls short of re-balancing the basis upon which the EU's distinctive claim for normative power rests. Fifteen to twenty years after the end of the wars of the 1990s, stability remains the overarching concern of the EU in the region – a concern that resonates well with local politicians more interested in securing their power than democratizing their country.

More generally, the recipe used by the EU in the Western Balkans, built around the notion of conditionality, is based on its positive experience in Central and Eastern Europe. But the conditions that apply in the region are very different -above all in terms of post-conflict transformation. In other words, what worked in Central and Eastern Europe for various reasons is not necessarily due to work in the Western Balkans.[39] In that respect, the logic of 'strict but fair' that has come to dominate the EU's approach to enlargement might be well-intended in view of past lessons and ongoing Balkan realities. However, it has also often allowed the process to fall hostage to specific bilateral dis-

36 Stanisic, Nenad. 2016. Income Convergence in the Process of the Western Balkan States' Accession to the European Union. *Economic Horizons.* 18(1).

37 Stratulat, Corina. 13.7.2016. To be or not to be an EU member state – A question for the Balkan aspirants as well? *EPC Commentary.* http://www.epc.eu/documents/uploads/pub_6835_to_be_or_not_to_be_an_eu_member_state.pdf.

38 Dolenec, Danijela. 2013. *Democratic Institutions and Authoritarian Rule in Southeast Europe.* Colchester: ECPR Press. Elbasani, Arolda. 2013. *European Integration and Transformation in the Western Balkans.* London, New York: Routledge. Kmezic, Marko et al. 2013. Stagnation and Drift in the Western Balkans. Brussels: Peter Lang.

39 Dolenec, Danijela. 2013. *Democratic Institutions and Authoritarian Rule in Southeast Europe.* Colchester: ECPR Press.

putes and the vagaries of domestic politics in some member states, without lending a vigorously helping hand next to the firm hand consistently shown to the Balkans.[40]

Taking stock of fifteen or twenty years of European integration in the region is a sobering exercise. Progress, if any, has not been as quick, as broad, or as deep as expected, and popular support for EU membership dropped accordingly in the region. In Serbia, for instance, it fell from 70 percent in 2006 to 47 percent in 2016. Given its track record in the region, the EU can hardly justify applying the same approach it has used for 20 years after the end of the Berlin process.

3.1.2 A Return to "Business as Usual" Would at Best Be Illusory

The business as usual approach, despite major flaws, has not been ineffective. Croatia joined the EU in 2013 and its economic and political transformation, as fragile and incomplete as it is, is an important achievement. One could argue that the situation in the Western Balkans would be much worse without the engagement of the EU in the region. However, the EU's current approach is no panacea, and the idea that returning to it would yield results is simply illusory – indeed, there is no way back after the Berlin Process. Systemic changes in the EU's political and institutional environment, which have accelerated in the past few years, render the idea of a "return" to a previous approach barely possible.[41]

First of all, rising unpredictability of the enlargement process conveyed by the gradual renationalization of policy process has weakened the central authority of the Commission, which used to operate most of the "business as usual" approach. At the institutional level, mechanisms to steer and restrain the enlargement process have been introduced at all stages in several member states.[42] In France and Austria, national referendums are now posited as constitutional requirements for the ratification of future accession treaties.[43] In Germany, the Bundestag, pursuant the 2009 Federal Act on EU Cooperation, decisively influences the Council's decisions when it comes to reaching enlargement milestones, e.g. granting candidate status or opening negotiations. The Bundestag already used its prerogatives in several instances; it did not follow the recommendations of the Commission in 2011 and 2012 to grant Serbia and Albania the status of EU candidate. Meanwhile, at the EU level, intergovernmental institutions have (re)gained decisive power on enlargement matters, at the expenses of Community actors. The Council, for instance, commonly disregards the Commission's recommendations and withholds any automaticity (not only on the opening of accession negotiations with Macedonia). The Commission, the assessments of which key member states (e.g. Germany, France) deem biased and too positive, has seen its authority accordingly contested.[44] Side-lined, it no longer occupies a position of leadership in enlargement matters (as confirmed by the inception of the Berlin Process).

Secondly, with the renationalization of the EU's enlargement policy, the domestic politics of key Member States of the EU has become an important factor in the pursuit of the process. Yet, the heterogeneity of national interests and preferred approaches further amplifies the unpredictability of the collective endeavor of enlargement. Whereas Germany, the most influential capital in that area, has been pushing for a tough line on conditionality (like the Netherlands, Finland, and Sweden), also in an attempt to defuse Eurosceptic sentiments at home, Poland supports a softening of the conditionality process (together with Hungary and Italy).[45] Also important is the general increase of popular opposition to enlargement in most EU Member States (51 percent on average) and the expression of a perceived trade-off between deepening and widening European integration in public opinions (with a very preference for the former over the latter). How could the "business as usual" approach still have a chance to work in a context characterized by high volatility in public opinions and heterogeneous preferences regarding enlargement, i.e. with less credible accession incentives?

Finally, it should be kept in mind that the EU the WB6 countries may eventually join will not look like the EU that promised them European perspectives in 2003. Key changes in the EU's integration dynamic are at work, which will necessarily impact

40 Stratulat, Corina. 13.7.2016. To be or not to be an EU member state – A question for the Balkan aspirants as well? *EPC Commentary.*

41 Marciacq, Florent. 2015. EU Enlargement in troubled times? Adapting to new realities and drawing lessons from democratisation failures. *ÖGfE policy Brief* (39).

42 Balfour R & Stratulat C. 2015. EU Member States and Enlargement Towards the Balkans. *EPC Issue Paper* (79).

43 Art. 49 TEU states provide that accession treaties "shall be submitted for ratification by all the contracting States in accordance with their respective constitutional requirements".

44 EU member states usually use their diplomatic representations to get a better grasp of WB politics, while some parliaments carry out their own assessment missions (e.g. Germany, Denmark, Sweden and the UK).

45 Balfour R. & Stratulat C. 2015. Op. cit.

on the EU's external governance and enlargement policy. Brexit and the challenge of differentiated integration are among the most obvious examples, even though their implications for the enlargement policy have not been seriously appreciated so far. With Brexit, first of all, the WB6 lose one of the Member States of the EU that was, until recently, most actively promoting enlargement. For the years to come, they shall now instead expect a European Union spending more energy on disintegration matters (negotiating Brexit) and differentiated integration, than on furthering enlargement. These new challenges will require new responses, rather than "business as usual."

The fact that the 2018 Berlin Process Summit will be hosted by Great Britain illustrates the risk of overlooking the seriousness of these challenges. Promised by Chancellor Merkel to the UK before Brexit, the idea of having a Member State leaving the EU hosting a Summit precisely meant to reenergize EU enlargement has raised eyebrows throughout the EU and the WB6. Bewilderment is legitimate, as it seems that in entrusting the UK to host the Summit in 2018, the Berlin Process responds to outdated commitments, rather than adapting to new realities in a reflected, consistent, and forward-looking manner. More dramatically, it seems to many observers that having the UK praising European integration at the 2018 Summit despite Brexit sends a confusing signal to would-be member states. By de-stigmatizing non-membership without offering a coherent vision of what differentiated integration could imply for countries with European perspectives, this decision to disregard the implication of Brexit carries the risk of at best weakening the EU's attempt at reaffirming its commitment to enlargement, or at worst to reinforce the illusory position of the proponents of the status quo and "business as usual" approach in the EU and WB6.

3.2 Building on the Berlin Process to Initiate a Dialectical Shift in the EU's Approach to Enlargement

Twenty years of enlargement policy have not produced results that would augur well for the future and the EU is currently undergoing major systemic changes that will necessarily impact its external governance, not always in expected ways. But the EU's enlargement policy is in no dead-end. On the contrary, it could greatly benefit from the new avenues opened by the Berlin Process, provided it becomes amenable to "dialectical changes," in Holsti's terminology, and not only to "change as addition".

3.2.1 Solidarity Rather than Competition: Regionalizing the EU's Enlargement Approach

The EU's approach towards the Western Balkans was shaped at the 2000 Zagreb Summit mainly based on the views of Germany, France, Sweden, and Spain. It prescribes an individualized approach differing from the one pursued in Central and Eastern European states, which culminated in 2004 with the grouped accession of ten new Member States. The Zagreb "regatta" approach relies on the assumption that by individually assessing and rewarding the progress of would-be Member States, the EU would stimulate constructive competition among them and help identify best practices.

However, in a region marred by post-conflict traumas and ethnopolitics, competition has not proved very constructive so far. It seems instead to have consolidated dividing lines and widened the gap between frontrunners (e.g. Croatia) and laggards (Kosovo, Bosnia-Herzegovina). Very few nationals in the region feel united by the prospect of all becoming EU citizens and many actually see their neighbours' accession as potentially detrimental to their country. This is particularly the case in Kosovo with regards to Serbia, though more generally as well throughout the region, where the EU's call to "do the reforms for oneself, not for anyone else" has been well internalized.

Considering the accession process as an individual endeavor may have been well-intended for further reforms, local ownership, and even constructive competition. But while emphasizing the individual gains that prospective Member States expect to yield as they join the EU (in terms of political stability and economic development, but also in terms of status and recognition), the "regatta" approach falls short of emphasizing the collective utility of the integration project. While focusing on competition, i.e. the maximization of individual interests, it neglects collective identity formation, cooperation, solidarity, and trust – values that the EU holds dear. In economically vulnerable, post-conflict contexts, cooperation and solidarity would arguably be better conducive to reconciliation and positive peace than regatta-based competition.

This argument appeals to common sense: in improving their situation, citizens in the Western Balkans have more faith in regional cooperation than in the EU: 80 percent of SEE citizens believe that regional cooperation makes a contribution to their societies, whereas only 39 percent think that

EU membership is a "good thing".[46] The potential which such a popular support for regional cooperation conveys throughout the region, unfortunately, has remained largely unused in the present enlargement framework.

Instead of taking the initiative to organize themselves so as to lobby more effectively (i.e. collectively) for faster accession, WB6 leaders have consequently spent considerable energy on advancing individual (rather than collective) positions and maximizing relative (instead of absolute) gains. Within this opportunity structure, bilateral disputes hold a prominent place. The accession of Slovenia in 2004 and Croatia in 2013 has demonstrated to other Western Balkan states that the accession process can also be used to increase one's asymmetric power over the neighbors. Therefore, despite all the regional initiatives launched in the past decade, there is still little regional (as opposed to national) ownership of the European integration project throughout the Western Balkans.

Through its systematic emphasis on regional cooperation, however, the Berlin Process opens up avenues for reframing the EU's approach towards the Western Balkans in a more collective way. Recognizing that many of the key challenges that the WB6 face have a regional dimension is a first step (from economic development and connectivity to security and minority questions). But to be truly effective (and consistent), the EU's approach should respond to this need for more regional approaches by offering less country-specific enlargement frameworks. In simple terms, it should work at further regionalizing its enlargement policy, grouping accession prospects, and regionalizing parts of its conditionality approach.

Regionalizing the EU's enlargement policy would aim at increasing the regional ownership of the European integration project in the Western Balkans. It would imply supporting the empowerment of regional institutions in the enlargement relationship that the EU maintains with WB6 countries by considering these regional institutions (already existing or to be established) as key partners in a series of policy areas, the governance of which is eventually due to be transferred to the EU level. Regionalizing the enlargement policy would increase regional social learning and impact WB6 cost-benefit calculations by transforming their pursuit of individual, relatively-assessed gains into an emphasis on collective gains assessed in absolute terms. It would furthermore lead the WB6 to coordinate their lobbying capacities so as to support the European perspectives of the region more effectively and thereby keep WB6 leaders from engaging in utility manipulations (e.g. through the use of bilateral disputes).

Grouping accession prospects means that all WB6 should expect to join the EU on the same date – an historical event that could be publicized to EU and WB6 citizens as a milestone in the region's and Europe's reconciliation process. Grouped accession would imply giving solidarity precedence over individualized merit-based progress and induce frontrunners to help and support laggards, instead of blocking them. It would be most conducive to focus WB6 leaders on maximizing absolute rather than relative gains and experience the collective value of the European project. Frontrunners, of course, would be reluctant to see their accession prospects depend on their neighbours' progress, but shortening the horizon of accession could be an effective incentive for them too, especially in times of growing uncertainty (see below). Grouping of accession could furthermore possibly help overcoming the stalemate of Kosovo's non-recognition by 5 EU Member States. Blocking the signature or ratification of Kosovo's Accession Treaty would halt the finalization of the accession process of the five neighboring states and therefore put the five EU non-recognizers under tremendous pressure. Likewise, the consequent unanimous recognition, whether implicit or explicit, of Kosovo by all EU Member States would in turn further induce Serbia to recognize Kosovo, especially if accession were at hand. The same logic would apply to the naming issue between Greece and Macedonia.

Finally, regionalizing parts of the EU's conditionality approach means that certain conditions would only be considered as "fulfilled" if met by all WB6 countries. These conditions should relate to policy areas (or chapters of the acquis communautaire) at least partly covered by, but not limited to, those newly empowered regional governance institutions (e.g. four freedoms, transport policy, energy, economic, and monetary policy, Trans-European networks, regional policy, justice, freedom and security, judiciary and fundamental rights, environment, etc.). Foreign security and defense policy as well as "other issues", such as normalization of relations between Belgrade and Pristina, could be approached with more regionalized conditionality tools. Domestic issues (in Bosnia-Herzegovina or Macedonia), bilateral disputes (e.g. Serbia / Kosovo, Macedonia / Greece) and bilateral relations with non-EU countries (e.g. Russia), after all, often have regional implications – they remain "domestic" or

46 Regional Cooperation Council. *Balkan Barometer* 2016. p. 51.

"bilateral" only in name. A more inclusive approach towards them, using regional conditionality tools, would merely acknowledge the specificity of post-Yugoslav contexts.

3.2.2 Membership is No Prerequisite for Participation: Bringing Accession Closer in Time

Accession has been conceived of as a one-off event celebrating decades of ex-ante conditionality-driven progress. It is, in other words, granted as an award for successful transformation based on a series of positive evaluations validating the fulfilment of a large set of predefined criteria. The scope of these criteria, however, has significantly changed over time, and conditions for membership, as a result, are like a moving target. The growth of the EU's acquis, in particular, imposes transformational costs on WB6 applicants that are much heavier than twenty years ago, when Central and Eastern European countries joined the EU. This trend is not likely to be reversed in the future, which means that (unless accession is grouped) transformation will be even costlier for countries currently facing the most difficult challenges.

Moreover, in the past few years, the mechanism enabling the validation of the fulfilment of EU preconditions has become even more technical and profoundly complex, resulting in rising uncertainty in terms of outcome. In 2006, the "renewed consensus" introduced strict conditionality assessments throughout the negotiation process. The opening and closing of negotiation chapters are now subject to the preliminary fulfilment of opening and closing benchmarks. This compartmentalization of conditionality has enabled the EU to multiply its opportunities to sanction (more than to reward) WB6 countries. Furthermore, in 2011–2012, the EU adopted a "new approach", prioritizing chapters 23 and 24 in the accession negotiations (Judiciary and fundamental rights & Justice, freedom and security)[47]. Frontloading these chapters and setting interim rather than closing benchmarks is intended to help WB6 countries developing a solid track record and avoid the post-accession activation of accession treaty safeguard measures or cooperation and verification mechanisms (CVM).[48]

Though certainly a well-intended measure and a necessary one, in practice, these "renewed consensus" and "new approach" amendments to the EU's conditionality mechanism, advanced by Germany in the first place, have contributed to strengthening the role of veto-players at the intergovernmental level and rendered the whole access process stricter and more technical. Instead of bringing accession closer to WB6 citizens, these technicalities have segmented the accession process, offering an illusion of movement while keeping accession prospects as distant as possible. For WB6 countries unlikely to join the EU in the next 15 or 20 years, this is certainly an issue, since the EU's transformational power decreases with the weakening of its credibility in offering comprehensible accession perspectives.

The Berlin Process opens, in this respect, interesting avenues. First, it involves all WB6 countries equally, regardless of the status of their relationship with the EU. That includes those that have not opened accession negotiations yet. The result, as explained in the previous sections, is an intensification of EU-WB6 as well as regional interactions conducive to more socialization. The Berlin Process, in that sense, not only keeps WB6 administrations busy, but advances the time-demanding development of mutual understandings in the region. Building on this practice, the EU's enlargement approach should allow wider participation of WB6 countries in EU processes – and not only after validation of accession preconditions. The EU could work on opening accession talks with all WB6 countries, starting with chapters 23 and 24, which WB6 citizens commonly view as having priority. This measure would convey a strong political signal and increase the involvement of WB6 administrations in EU affairs. Member States, by contrast, would not have much to lose, since they would retain their power to block the conclusion of accession negotiations. Early pre-accession participation in EU deliberation processes, whether active or passive, would likewise help alter the image of the EU as a private club reserved for existing (not future) members. In foreign and security policy matters, for instance, the EU expects systematic alignment with its positions from WB6 states, but falls short of involving them in its coordination processes. More generally, the EU is keener at conducting political monologues with its future member states than promoting inclusive political dialogue.

Of course, blurring the divide between membership and non-membership by increasing pre-accession participation in EU processes and de-

47 Chaps 23 and 24 deal with judiciary and fundamental rights, and justice, freedom and security.

48 Safeguard measures have been invoked against Croatia in 2013; CVMs are in place since 2006 to review the progress of Bulgaria and Romania in the fields of judicial reform, corruption and organised crime.

liberations would imply that EU Member States increasingly rely on ex-post (and not only ex-ante) conditionality. Ex-post conditionality would allow WB6 countries that are not ready to join the EU to yet be involved in the functioning of the EU. It would keep their administrations busy, foster socialization, and actually bring the EU closer to the region.

Negative effects could be compensated for by building on, rather than merely enduring, key challenges in the EU's integration dynamics. Brexit and differentiated integration prospects could be seen as an opportunity to rethink the concept of EU membership by detaching it from the notion of participation and thus opening avenues for pre-accession participation in EU processes. Brexit, for instance, certainly means the end of EU membership for the UK. But not the end of the UK's participation in a series of EU sectoral policies of the EU, programs and funds, the scope of which remains to be negotiated. That is what is really at stake with Brexit. The organization of 2018 Berlin Process Summit in London, if framed in this way, could exemplify the celebration of active participation in EU affairs (regardless of forthcoming non-membership) over passive membership as a driver of EU enlargement policy.

Viewing membership as an ex-post participatory process, already initiated in pre-accession phases, rather than a one-off event granting a blank check to ex-ante deserving members would enable prospective EU and acceding Member States to be better prepared for post-accession challenges. Existing instruments should be developed with this purpose. In the absence of further control mechanisms, the rising differentiation in EU integration, which substantive pre-accession participation in EU process would entail, could weaken the cohesion of the integration project. To mitigate this risk, post-accession conditionality tools (beyond cooperation and verification mechanisms) should be developed. However, they should ideally be complemented by more functional post-membership conditionality tools, applicable to all Member States (since art. 7 TEU lacks credibility owing to its quasi-unanimity requirement). After all, the EU's inability to effectively address rule of law challenges in existing Member States (e.g. Poland or Hungary) impacts its ability to promote reforms strengthening the rule of law in the Western Balkans. Likewise, although equal in rights, incumbent Member States should not be allowed to abuse their prerogatives to secure asymmetric power and block neighboring countries for individual (as opposed to collectively shared) motives. These post-membership conditionality tools should be able to refer to a more codified *acquis politique* (democratic standards and good governance), to rely on effective measures for non-compliance (financial sanctions, mostly), and on the expertise and credible monitoring capacities of impartial third actors (e.g. Venice Commission).

3.2.3 A Political Battle Rather than a Technical Process: Fighting for Enlargement

Enlargement has long been considered as driven by a technical process of legal approximation and behavioral alignment, guided by elites relying on the permissive consensus of their constituencies, and accordingly sanctioned by relatively predictable political decisions. This has changed as enlargement has become more unpredictable, less accepted by EU (and even WB6) citizens, less eagerly promoted by elites and more driven by national interests or intergovernmental institutions. Essentially, key aspects of the EU's enlargement policy have become a more politicized, although the enlargement policy framework remains operated on a day-to-day basis as a technical process.

The implications of this gradual disjuncture between an increasingly politicized policy process and a more technical "business as usual" policy framework are important: first of all, countries successfully undergoing the technical process prescribed by the Commission cannot be guaranteed accession solely on the basis of their track record. To avoid being blocked, they should also invest in building up political support for their accession to the EU and would certainly benefit from organizing themselves and lobbying for collective accession as a group.

Secondly, this disjuncture exposes the very question of enlargement to the severe criticism of Eurosceptical political parties, while hindering the development of a political counter-narrative presenting enlargement as a political fight. In the EU, enlargement debates have been shaped and dominated by Eurosceptics since the advent of so-called enlargement fatigue. Critical inputs offering alternative views about enlargement, if any, are scarce and have not reached Western Balkans' public spheres. In the Western Balkans, enlargement questions are addressed by political elites committed to both ethnopolitics and European integration -a contradiction in terms does not stand out, given the presumably "technical nature" of the accession process. Whether in the EU or the Western Balkans, there is, all in all, not much room left for

debating enlargement in a critical, non-Eurosceptic way. Given its wide-ranging implications for the citizens in the region, this absence of public debate lends no contribution to democracy. Against all odds, enlargement would win to start being projected as a political, potentially divisive question: how to enlarge (individually or as a group)? Which model of (economic and organisational) transformation to adopt? What vision for the EU in 10 or 20 years?

The Berlin Process opens avenues for embracing politicization as a new reality and introduces fighting for enlargement as political battle. The very inception of the Berlin Process carries the seeds of this idea: the process was launched by Germany, also in an attempt to counter other Member States' growing reluctance towards enlargement. The design of the Process, more than that of the EU's approach, reflects the growing role of national, political interests (e.g. in the organization of Berlin Process summits) in enlargement matters. Moreover, the Process has emphasized the role of civil society actors as partners in the conduct of political and economic transformation. Its Civil Society Forum, pan-European expert Reflection Forum, and Western Balkan Chambers Investment Forum have stimulated the non-partisan mobilization of citizens on a large spectrum of issues and encouraged their (criticism-laden) interactions with policy processes.

Embracing politicization as a new reality in enlargement matters would first mean ceasing to consider and present the EU and its policy as a quasi-sacral object and accept that European integration is a polarizing topic in WB6 politics. Constructive cleavages could easily emerge on European core principles (e.g. on reforms pertaining to the rule of law, judiciary independence, etc.) if the EU were not as reluctant to interfere in domestic politics through "blame and shame," or if it were more assertive in its critical assessments. They would create room on the political chessboard for political parties holding more pro-European views, while putting under pressure those only rhetorically committed to European integration. Constructive cleavages would help rebalance the relationship between the executive and the legislative powers in would-be Member States by empowering pro-European opposition parties. It is indeed well known that European integration mechanically tends to strengthen executive over legislative power, opposition parties, or civil society, which puts democratic, parliamentary, and participative processes under strain. This is in particular due to the fact that laws emanating from the EU are commonly passed under accelerated parliamentary procedures with little or no deliberation and consultation.[49] Empowering parliamentarians, opposition parties, and civil society actors then boils down to reducing the domestic imbalances created by the EU's dominantly intergovernmental approach.

Treating European integration as a potentially divisive process and the EU as a political object would not only give new impetus to the European project, but would also bring EU and WB6 citizens closer. Constructive cleavages about the future of European integration and EU politics, which concerns both EU and WB6 citizens, could help overcome national cleavages by uniting different national communities in a transnational reflection on the construction of Europe. Interestingly, this transnationalization of national and European politics, which is key to the formation of collective identities, can benefit from the rise of Eurosceptical parties, provided the response advanced by political communities goes beyond the defense of the status quo. What is needed is an alternative idea of European integration, which mobilizes citizens along political lines relatively immune to ethnopolitics.

A good example is provided by "bilateral issues" in the Western Balkans, which in fact, are barely "bilateral" in that they often have regional and European dimensions. Most of them challenge the allegedly post-modern, cosmopolitan or universal, value-based foundation, upon which the EU seeks to establish itself (after centuries of wars fueled by European nationalism). Bilateral issues in the Western Balkans, by contrast, tend to reproduce modern (nation-based) or pre-modern (territorial) patterns of thinking (inherited from pre-EU times), the persistence of which should be a matter of transnational concern to European (both EU and WB6) citizens. Political mobilization around Kosovo-Serbia, Greece-Macedonia, Kosovo-Montenegro disputes as well as other bilateral issues should accordingly extend well beyond the national communities directly affected. It should be seen as a part of the political battle of constructing a Europe overcoming its modern and pre-modern traditions; a political struggle to establish a political order questioning the relevance of claims based on hard territoriality and essentialist nationalism, wherever they are raised on the continent.

49 See Börzel T. A. / Sprungk C. 2007. Undermining Democratic Governance in the MS? The Europeanization of National Decision-making', in Holzhacker R. & Albaeck E. (eds.). *Democratic Governance and European Integration, Linking Societal and State Processes of Democracy,* Cheltenham: Edward Elgar Publishing.

Another example of constructive cleavage is provided by the proposal to regionalize EU enlargement and group accession prospects. The second Juncker Declaration of September 2017, announcing that Serbia and Montenegro could join the EU by 2025, could actually serve here as fulcrum. It has for that matter been received with a certain amount of disbelief. In Podgorica, the pooling of Montenegro and Serbia's possible accession date has sparked criticisms, considering the former's more advanced status in accession negotiations. In Albania, likewise, it has been perceived by some officials as undermining the Tirana-Belgrade axis of cooperation established through the Berlin Process, since it appears that Serbia and Albania, after all, are not in the same boat. In EU institutions and EU capitals, finally, the Juncker announcement was met with circumspection. Against this backdrop arises the following question, which would be worth being framed as a constructive cleavage: is enlargement a regional project, tying together all WB6 with a shared purpose, or is it nothing more than a national project, considered as national priority?

Embracing politicization as a new reality in enlargement matters implies rebalancing the logic of European integration by giving more weight to civil society in EU-WB6 relations. WB6 governments cannot be the only partners upon which the EU relies for the legitimization of its political influence (e.g. when it recommends reforms or influences policy outcomes). Since trust in WB6 politicians is dramatically low in the region and is not increasing,[50] the EU should make sure to engage more directly with citizens. It should, in particular, respond to citizens' expectations that may be addressed to the EU against their governments, e.g. regarding the weakening of democratic institutions and check and balances, in a more supple, assertive, and risk-acceptant way. The silence the EU demonstrates as social unrest rumbles throughout the region, in contrast to its friendliness towards WB6 strongmen, signals that European integration remains an elite-driven project which falls short of addressing citizens' concerns over social policies, the rule of law, or democracy. The EU must go beyond improving its communication strategy, e.g. through public diplomacy; what it needs is a more visible engagement at the grassroots level, e.g. through techniques drawing from guerrilla diplomacy[51] (i.e. ears to the ground, eyes on the horizon), the systematic inclusion of civil society representatives in all "structured dialogues," the institutionalization of civil society participation in negotiation processes, as well as more support to NGOs, think tanks, and business associations operating transnationally in the region or promoting regional integration.

The need to rely more exhaustively on civil society actors does not only stem from concerns over the legitimacy of EU political interference. It is also a simple matter of long-term effectiveness (i.e. in ensuring the sustainability of change). The literature shows that conditionality is less fruitful in political contexts where civil society is weak, since infringements or dubious behavior will more easily go undetected and unpunished. Post-accession studies, in particular, indicate that CVM reports have been most effective when civil society actors, including independent media, use them to pressure their governments from below.[52] Therefore, to have a lock-in effect, EU conditionality needs to empower civil society actors as early as possible in the accession process and to facilitate broad societal mobilization.[53] That implies, for instance, adapting the formulations of the Commission's annual reports (which are too diplomatic to have any wider impact on public opinion), so that they can be used to increase the domestic leverage of civil society actors.

Fighting a political battle, finally, requires more enthusiasm than operating a technical process, and enthusiasm comes with inspiration. Unfortunately, the power of attraction the EU exerts towards WB6 citizens (and the brain drain it fuels) derives less from its capacity to inspire young people than from the absence of perspectives they perceive in their country of origin, despite two decades of EU engagement. By launching RYCO, the Berlin Process made a first step towards re-inspiring people towards in the region. But more will be needed to revive the inspirational power of the European project: for example, establishing heavily EU-funded European University with several campuses in the region, subsidizing an InterRail Pass allowing WB6 youth to travel throughout the EU, etc.

50 See the results of the 2016 PASOS project poll (www. pasos. org). For instance, in Macedonia, more than 75 percent of the respondents declared that they do not trust political parties. See also Golubović N. et al. 2015. Trust in Political Institutions in Western Balkan Countries. Law and Politics. 13(1).

51 Copeland, Daryl. 2009. *Guerrilla Diplomacy.* Boulder: Lynne Rienner.

52 Dimitrova A. & Buzogany A. 2014. Post-Accession Policy-Making in Bulgaria and Romania: Can Non-state Actors Use EU Rules to Promote Better Governance? *Journal of Common Market Studies* 52 (1).

53 Dimitrova A. 2015. The Effectiveness and Limitations of Political Integration in Central and Eastern European States: Lessons from Bulgaria and Romania. *MAXCAP Working Paper* (10).

4 Conclusion

The Berlin Process epitomizes a "change as addition" in the EU's approach towards WB6 countries. Its purpose, defined in 2014, is to maintain the momentum of reforms in the region and deliver "additional real progress" in terms of enlargement. Three years after its inception, the initiative has seen its scope extend from investing in infrastructure projects to encouraging mobility and civil society mobilization. Although its scope clearly (and intentionally) overlaps with the EU's enlargement policy, the Berlin Process relies on key differences in its format, logic, and functioning, which are a distinctive asset.

Although it is too early to draw conclusions on its eventual success, preliminary observations, one year before its planned culmination, are rather positive. Against the backdrop of the Juncker Declaration, Brexit, and growing geopolitical challenges, the Berlin Process signals that the EU remains a strategic player in the region, and that interest in enlargement has not completely faded away. More substantively, a major achievement of the Process has been its contribution to boosting the interest of WB6 and EU stakeholders for regional cooperation, whether through its contribution to the Connectivity Agenda, RYCO, the establishment of the Western Balkan Chambers Investment Forum, or its support for the Civil Society Forum or pan-European Expert Reflection Forum.

But are these achievements commensurate with the challenges the EU faces in the region? In infrastructure connectivity, the ambition of the Berlin Process of "putting fundamentals first" seems somehow ambiguous. Unlike China, which advances its own Connectivity Agenda through its billion-funded "One Belt, One Road" millennial project, the EU chases two rabbits at once. On one hand, it seeks to remedy the infrastructure gap in the region by enhancing transport and energy connectivity through the co-funding of infrastructure projects. On the other, it uses investment projects as means to develop administrative capacities and advance rule-based processes – a task that necessarily complicates the implementation of projects in countries lacking capacities. Likewise, the various initiatives seeking to empower civil society actors, while building bridges with governmental actors, have fallen short of receiving the consideration they deserve. The final "Declaration on Bilateral Issues" advocated by BiEPAG experts, for instance, fails to commit EU Member States in the Balkan Peninsula to not block their WB6 neighbors from accession for national reasons.

The achievements of the Berlin Process, promising as they are, have not been a game-changer to date, though plans have been made to extend its activities. On May 31 2017, the German Minister of Foreign Affairs Sigmar Gabriel announced a "Berlin Plus" agenda featuring the creation of special funds for start-up businesses, vocational training, IT infrastructure development, and the formation of a fund for infrastructure and technology to which EU member states, EFTA, and the European Economic Area members could contribute as donors. Given the scope of the challenges the region and the EU faces in enlargement matters, it is unlikely that this Berlin Plus process will change the degrading political and socio-economic landscape of the Western Balkans in the near future.

But the Berlin Process may not end up as an initiative that proved disappointing in relation to the expectations it aroused. If the "change as ad-

dition" it initiated grows and transforms the EU's enlargement policy, i.e. if the Berlin Process is a first step towards a renewed enlargement policy, its contribution will be historical and actually lead to "additional real progress" in advancing the EU's policy towards WB6 candidate countries.

To navigate in this direction and make the Berlin Process a milestone in the EU's enlargement policy, the siren call of resuming "business as usual" needs to be resisted. Not only would returning to this approach be barely justifiable, it would also be nearly impossible to turn back. Twenty years of enlargement policy have not produced results that would bode well for the future, and the major systemic changes the EU is currently undergoing will necessarily impact its external governance, not always in expected ways.

Rather than being a temporary brace for the EU's enlargement policy, the Berlin Process can be seen as opening new avenues and its achievements as worth building on. First, its emphasis on regional cooperation could pave the way for developing a regionalized approach more amenable to collective identify formation, cooperation, solidarity, and trust than the EU's "regatta" approach. In fragile, economically-vulnerable, post-conflict contexts, constructive competition cannot be the leitmotiv guiding the EU in the development of its differentiated relations with WB6 countries. Instead, regional cooperation should be made the cornerstone of EU-WB6 relations, including in enlargement. That means, more specifically, offering less country-specific enlargement frameworks and further regionalizing the EU's enlargement policy, grouping accession prospects, and regionalizing parts of the EU's conditionality approach.

Secondly, instead of bringing accession actually closer to WB6 citizens, technical improvements in the EU's conditionality approach have segmented the accession process. They give the illusion of movement, while keeping accession prospects as distant as possible. At the same time, the development of the EU's acquis imposes transformational costs on WB6 applicants that grow commensurably. Unless the EU makes accession prospects more tangible sooner, its credibility will continue to erode, as will its influence. Building on the Berlin Process, the EU's approach should allow wider participation of WB6 countries in EU processes – not only after validation of accession preconditions. Keeping WB6 leaders busy is important, but even more important is blurring the divide between membership and non-membership through pre-accession participation. To mitigate the risks that may arise from a more differentiated pattern of vertical integration, post-accession conditionality tools as well as post-membership conditionality tools should be further developed and applied with consistency on a set of core values identified as defining European identity.

Finally, reluctance to consider enlargement as a politicized issue-area has led to a detrimental disjuncture in the EU's approach towards WB6 countries. Whereas its policy framework still reflects the traditional design of a process guided by elites relying on the permissive consensus of their constituencies, and accordingly sanctioned by relatively predictable political decisions, in practice, enlargement has become (more) unpredictable, less accepted by EU (and even WB6) citizens, less eagerly promoted by elites, and more driven by national interests or intergovernmental institutions. The challenge, which the Berlin Process, in its design and achievements, can help overcome, is to embrace the politicization of enlargement as a new reality and fight for enlargement as political battle rather than ticking the boxes of a technical process. European integration could and should be a source of constructive cleavages in WB6 politics – beyond the simplistic Europhile vs. Eurosceptic debate. Transnational mobilization which considers the EU as political object rather than an omniscient deity are necessary to divert WB6 (and EU) citizens from ethnopolitics and bolster further togetherness. The role of civil society networks is essential here, as is the capacity of the EU to recover its power to inspire.

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Istituto Affari Internazionali

Off Track. The EU's Re-engagement with the Western Balkans

by Matteo Bonomi

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ABSTRACT

The 2018 EU enlargement strategy aimed at recreating momentum in EU relations with the Western Balkans and "motivating" both EU aspirants and member states to focus on the work to be done during the next EU institutional cycle. Despite its positive tone, the strategy succeeded only to a limited extent, as its measures are unlikely to reverse the medium- to long-term negative economic and social trends in the Balkans. Meanwhile, general uncertainty and disagreement among EU member states about the future of the European integration project may well undermine the coherence and consistency of EU actions, also in the Balkan region. It is urgent to substantially upgrade the strategy by strengthening its focus on economic development and governance patterns. Despite the difficulties, EU expansion in the Balkans could (and should) find a place in the future agenda of EU consolidation.

European Union | EU integration | EU enlargement | Western Balkans

keywords

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Off Track. The EU's Re-engagement with the Western Balkans

by Matteo Bonomi*

Introduction

After years of sluggish progress, 2018 was supposed to be a turning point for EU relations with the Western Balkans, in light of the European Commission's declared intention to assure the aspiring Western Balkan countries about their "irreversible" track to EU membership.[1] The Commission unveiled a strategy paper for *A credible enlargement perspective for and enhanced EU engagement with the Western Balkans* on 6 February 2018.[2] The document indicated the steps aspirants, as well as EU member states, should take to complete the enlargement process in the forthcoming years – even spelling out milestones and potential dates of various goals.[3] The strategy built upon the pragmatic lines of the Berlin Process, an intergovernmental initiative of engagement with the Western Balkans launched by Germany in 2014 and joined by Austria, France, Italy and the UK. The process promotes regional co-operation, sectoral integration and infrastructural development as a way of facilitating Western Balkan alignment with EU norms and standards.

Overall, the strategy has a positive, "motivating", approach, signalling that the Western Balkans are back on the EU agenda. However, it hardly guarantees automatic advancement in the enlargement process. This is even more evident considering that improvements in the Western Balkans have been, at best,

[1] See European External Action Service, *Speech by High Representative/Vice-President Federica Mogherini at the 2017 Bled Strategic Forum*, Bled, 4 September 2017, https://europa.eu/!rr34cF.

[2] European Commission, *A Credible Enlargement Perspective for and Enhanced EU Engagement with the Western Balkans* (COM/2018/65), 6 February 2018, https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:52018DC0065.

[3] Spelling out precise expectations and dates for the resolution of bilateral disputes (starting from a final normalization agreement between Belgrade and Pristina) but also of rewards, pointing for instance at 2025 as a potential date of accession for the frontrunners Montenegro and Serbia.

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faltering in terms of democracy, rule of law, governance, economic development and good-neighbourly relations. Moreover, although the strategy was broadly endorsed by leaders from the EU and the Western Balkans in Sofia in May,[4] the European Council in June, and the Berlin Process Summit in London in July,[5] these intergovernmental gatherings also laid bare old disagreements and divisions within the EU. All this casts doubt on the level of attention, energy and resources that EU member states and institutions are willing to mobilise to enhance positive transformation in the region.

Against this backdrop, it is urgent to start evaluating the results of the EU enlargement process after an intense 2018, in order to prepare for the next EU institutional cycle taking off in May with the European parliamentary elections. In particular, it is necessary to focus on: (i) the results achieved by the Berlin Process after the conclusion of its initially-planned five-year cycle; (ii) the expectations of the Commission's enlargement strategy, whose ambitious goals should be assessed against the backdrop of medium- to long-term social, economic and demographic trends in the Balkans; and (iii) the place of the Western Balkans within the broader debate on the future of Europe. The latter is especially pertinent given that today the quality of EU engagement with the region and EU member states' clarifications of their plans for the future of the EU seem to have become increasingly interlinked.

1. Four years of "real additional progress": The contribution of the Berlin Process to EU enlargement

German Chancellor Angela Merkel launched the Berlin Process in 2014 to support the non-EU Western Balkan countries "to make additional real progress in the reform process, [resolve] outstanding bilateral and internal issues, and [achieve] reconciliation within and between the societies in the region".[6] Although it could be still premature to draw a final judgement on its impact, most observers have come to positive preliminary conclusions.[7]

Politically, the Berlin Process facilitated re-engagement between EU and Western Balkan leaders at a time when the EU and its member states were self-absorbed in dealing with internal issues and ongoing international crises, including the low-

[4] On 17 May 2018, EU and Western Balkan leaders met in Sofia at the EU-Western Balkans Summit, fifteen years after their last gathering in Thessaloniki.

[5] On 10 July 2018, the UK hosted the Western Balkans Summit in London, which marked the end of the first cycle of the so-called Berlin Process with meetings in Berlin (2014), Vienna (2015), Paris (2016) and Trieste (2017).

[6] See Final Declaration by the Chair of the Conference on the Western Balkans, Berlin, 28 August 2014, https://archiv.bundesregierung.de/archiv-de/meta/startseite/final-declaration-by-the-chair-of-the-conference-on-the-western-balkans-754634.

[7] See Tobias Flessenkemper, "The Berlin Process: Resilience in the EU Waiting Room", in Sabina Kajnč Lange, Zoran Nechev and Florian Trauner (eds), "Resilience in the Western Balkans", in *ISSUE Reports*, No. 36 (August), p. 23-29, https://www.iss.europa.eu/node/2161.

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level war in Ukraine and increasingly fraught relations with Russia. There was the perception in some European capitals that, a century after the outbreak of the First World War, triggered by the assassination of the heir to the Habsburg throne by a Serbian nationalist in Sarajevo, and two decades after the end of the war in Bosnia and Herzegovina, tensions were rising in the post-Yugoslav arena. The Berlin Process was meant to provide a platform for EU and Western Balkan leaders to discuss unresolved issues and promote fresh initiatives, particularly in the realm of regional co-operation and infrastructure and connectivity.

The process brought a breath of fresh air into an overly-routinized and slowly-advancing enlargement format, providing face-to-face encounters for Western Balkan leaders and thus creating a positive momentum for regional co-operation. One example of this was the improvement in relations between Serbia and Albania, paving the way for the first visit in 68 years of an Albanian prime minister, Edi Rama, to Belgrade in November 2014.

The Berlin Process has fostered regional co-operation initiatives, including at the level of civil society organisations – such as the Civil Society Forum –, and youth initiatives with the establishment of the Regional Youth Cooperation Office (RYCO) in Tirana, as well as engagement among business communities through the Secretariat of Chambers of Commerce of six Western Balkan economies. It has also promoted dialogue among researchers from academia and think tanks, including in the framework of the Western Balkans Reflection Forum.

In the area of connectivity, the Berlin Process has given renewed attention to investment and infrastructural gaps in the region. It highlighted socio-economic and developmental challenges in the Western Balkans beyond the simple focus on the fulfilment of the Copenhagen economic criteria for EU accession, namely the existence of a functioning market economy and the ability to compete in the EU single market. In particular, through the EU-supported "Connectivity Agenda", the process succeeded in placing the Western Balkans on Europe's transport and energy map. The focus on connectivity has translated into making funds from the Instrument of Pre-Accession (IPA II) and International Financial Institutions (IFIs) available to support, along with national budget contributions, the extension of trans-European transport and energy networks in the Balkans.

Overall, the Berlin Process appears to have been a success, as far as it has served as a vehicle for Germany, Austria, France, Italy and the UK to breathe new life into EU relations with the Western Balkans. This was even more crucial at a time when it seemed that the EU's enlargement policies had been effectively suspended. To an extent, the process could even be read, as it has recently been noted,[8] as another instance of the EU's "variable geometry", where a group of "willing" member states form an intergovernmental vanguard that eventually innovates and revives EU

[8] Zoran Nechev et al., "The Credible Enlargement Perspective for the Western Balkans through the Lenses of the Berlin Process", in *IDSCS Policy Briefs*, July 2018, https://idscs.org.mk/en/?p=7086.

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mainstream policies.

At the same time, we should be cautious not to view the outcome of the Berlin Process with excessive optimism. It should be ultimately assessed against its own goals.

Rather than being complementary to the EU enlargement policy, the Berlin Process was meant to build on it, "borrowing" its structures and projects, in order to help the EU maximise the impact of its policies. If achieving this should serve as a measure of success for the Berlin Process, the picture is mixed. Suffice to say that, at the beginning of 2018, the total amount of investment grants approved for financing 13 connectivity projects amounted to just 344.9 million euros, and only three of these projects actually started.[9] The difficulties began in the project preparation phase, which proved to be extremely time-consuming with a minimum period of three years (from pre-feasibility studies to organising tenders). Challenges continue in the project implementation, which is often held up at the national level due to the weak administrative capacity of the Western Balkan countries or lack of coordination among them.

Despite the importance of flagship initiatives to integrate the Western Balkans into the main European transport and energy corridors, the overall approach pursued by the EU and its member states has lacked two crucial elements. First, it has not secured the critical mass in terms of resources to address the consequences of almost thirty years of underinvestment and disinvestment in the region, which has had a devastating impact on regional connectivity. A recent International Monetary Fund (IMF) report draws a sobering picture.[10] While recognising an increased financial effort by international institutions and especially national budgets to support infrastructural development, the IMF assessment is that, at the current rate of progress, it would take more than thirty years for Western Balkan countries to reach the average level of capital stock per capita of EU countries. Moreover, this takes into account an infrastructural gap estimated by IMF experts in which Western Balkan countries are, on average, at a level of 50 percent the EU average.

The second missing component is a much stronger focus on improving governance patterns in the region. For instance, public investment management is still extremely weak despite the establishment of National Single Project Pipelines to select national investment priorities and coordinate with international support for infrastructure. This has less to do with the availability of resources than with

[9] Ardian Hackaj and Krisela Hackaj, *The Berlin Process 2014-2018*, Tirana, Cooperation and Development Institute, February 2018, http://cdinstitute.eu/web/wp-content/uploads/2018/03/The-Berlin-Process-2014-2018.pdf.

[10] Ruben Atoyan et al., *Public Infrastructure in the Western Balkans Opportunities and Challenges*, Washington, International Monetary Fund, 2018, https://www.imf.org/en/Publications/Departmental-Papers-Policy-Papers/Issues/2018/02/07/Public-Infrastructure-in-the-Western-Balkans-Opportunities-and-Challenges-45547.

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governance. National administrations have little capacity for coordination among various public bodies and high budgetary fragmentation. Project selection criteria are not applied systematically, often leading to projects with limited bankability and sustainability. Weak coordination between central and local governments results in little attention being paid to sub-regional connectivity and micro-connectivity projects, while inadequate involvement of local communities and land expropriation challenges have led to further delays and legitimacy issues.

All these difficulties point to regulatory frameworks that have been narrowly affected by the infrastructural projects of the Connectivity Agenda, which remain seriously exposed to political interference and decisions made on the basis of electoral or political expediency. These factors have limited the effects of the Berlin Process, precisely regarding its goal of providing added benefits "on the ground".

The Berlin Process is an intergovernmental platform with no institutions, policies or budget. The highlighted shortcomings, rather than being a criticism of the process itself, should be attributed to a general weakness in EU action in the region, which the Berlin Process has, to a certain extent, tried to mitigate.

All these issues also pose the difficult question to the Polish presidency – which took over the process in 2019 – of how to move forward, more specifically whether this should now be done within the renewed EU policy framework for the enlargement countries in the Balkans, or if the flexible intergovernmental format of the Berlin Process still holds some comparative advantages.

2. Re-thinking European integration beyond the current approach to enlargement

The EU's renewed enlargement strategy for the Western Balkans holds that a "credible accession perspective is the key driver of transformation in the region".[11] The Union plans to enhance sectoral co-operation with accession countries in the Balkans along the lines drawn by the Berlin Process, namely regional co-operation, investment and infrastructural connectivity. These areas are supplemented by those identified by the European Commission in its six "flagship initiatives", which target transport and energy connectivity, a digital agenda, socio-economic development, rule of law, security and migration, as well as reconciliation and good neighbourly relations. These priorities were confirmed by the EU member states at the Sofia Summit in May 2018, where additional support was devoted to the Digital Agenda for the Western Balkans.

The backbone of the new enlargement strategy is the call for the Western Balkan countries to make a "generational choice" in their commitment to becoming EU

[11] European Commission, *A Credible Enlargement Perspective*, cit., p. 1.

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member states.[12] A clear aim to re-launch EU positive conditionality is at work here: the enhanced credibility of an EU membership perspective should prompt the aspiring Western Balkan countries to mobilise political and societal resources to foster deeper transformation.

However, the problem with this logic is that, due to the poor economic, social and political outlook, many Western Balkan citizens who have already chosen the EU are "voting with their feet" by migrating in large numbers to EU countries. Whereas the increased willingness of the EU, the member states and the aspiring Western Balkan countries to co-operate is certainly positive, material trends in the region point to weakening societal and state resilience, thus raising reasonable doubt as to whether these new steps are adequate.

Challenges tend to primarily affect the economy. How can the transformation of the Western Balkans take place in the face of lacklustre economic growth and development? The vast majority of the people in the region seem to be condemned to perpetual socio-economic insecurity. According to recent estimates by the European Bank for Reconstruction and Development, it could take between 60 and 200 years for the region to converge with the EU average of GDP per capita.[13] Since the beginning of the transition from centralised to market economies, the countries in the Balkans achieved remarkable growth rates and gained some significant ground, only during the short period between 2001-2008. Strong growth in the region, on average more than 5 percent, proved to be largely unsustainable, as shown by the tough adjustments required after the outburst of the 2008-2009 Great Recession.[14] The challenge is that the rapid market opening and integration with the EU, which began in the early 2000s and brought some foreign – mainly EU – capital into the region, have primarily fostered domestic consumption while having only a limited impact on the restructuring and modernisation of the real economy. This economic model has led to insufficient job creation, continuous deindustrialisation, the widening of trade deficits, and rising public and private debt.[15]

Secondly, the region has been experiencing a sharp process of environmental deterioration. An unprecedented amount of deforestation has caused massive changes in water supplies, as wood is still utilised by two thirds of households for

[12] Ibid., p. 2.

[13] Peter Sanfey and Jakov Milatović, *The Western Balkans in Transition: Diagnosing the Constraints on the Path to a Sustainable Market Economy*, London, European Bank for Reconstruction and Development, February 2018, p. 5, https://www.ebrd.com/publications/country-diagnostics/western-balkans.

[14] Torbjörn Becker et al., "Whither Growth in Central and Eastern Europe?", in *Bruegel Blueprints*, No. 11 (2010), http://bruegel.org/?p=6432.

[15] Matteo Bonomi and Dušan Reljić, "The EU and the Western Balkans: So Near and Yet So Far", in *SWP Comments*, No. 2017/53 (December 2017), https://www.swp-berlin.org/en/publication/the-eu-and-the-western-balkans-so-near-and-yet-so-far.

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heating, contributing to air pollution beyond any acceptable standard.[16] In general, climate change represents a major challenge for the Western Balkans and Southeast Europe, a challenge that has been barely addressed. A process of "tropicalisation" is already transforming the Western Balkan ecosystem, which will be 1.2°C warmer by 2035 and will gain another 0.5-1°C by mid-century.[17] These challenges have severe implications for agriculture, food security, health, urban life, infrastructure and energy consumption.

Finally, demographic developments in the Western Balkans are worrisome. The collapse of fertility rates and high outflow migration have intensified depopulation, a process started in the early 1990s. As shown by (moderate) UN projections,[18] the region's resident population will shrink by some two million inhabitants in the next three decades. This has worrying economic implications, depriving the region of its younger and likely most talented human capital, reducing growth potential and leaving rapidly rising pubic debts to be paid back by shrinking and ageing populations.[19] In addition, there could also be political implications, as these trends deprive the region of those young and well-educated people, the potential middle-class pillars of society, who have traditionally been great supporters of liberal-democratic regimes.

In light of all these challenges, it is clearly not enough for the EU to simply renew its commitment to the Western Balkans. When judging the eventual benefits of EU membership, people in the region are essentially driven by the evaluation of their experiences with EU integration and economic transition so far. With the exception of Kosovo, national attitudes towards EU membership match the levels of post-transition real GDP trends. In countries like Serbia and Bosnia and Herzegovina, which have not yet reached their 1989 level of real GDP (standing respectively at 73 and 90 percent of their pre-transition GDP), populations are the least positive, with only 29 percent and 45 percent of the respective populations seeing EU membership as a good thing for their countries. In Montenegro and North Macedonia (whose economies overcame the 1989 level of real GDP in 2016 and 2008 respectively), 53 and 59 percent of the population, respectively, hold a positive attitude towards the EU. In contrast, in Albania, the only country in the region to have experienced constant improvement in its living standards and to have almost doubled its real GDP, an overwhelming 83 percent of citizens look positively towards EU membership.[20]

[16] Aleksandar Kovačević, "Towards a Balkan Gas Hub: The Interplay between Pipeline Gas, LNG and Renewable Energy in South East Europe", in *OIES Papers*, No. NG 115 (2017), https://doi.org/10.26889/9781784670757.

[17] Ana Vuković and Mirjam Vujadinović Mandić, *Study on Climate Change in the Western Balkans Region*, Sarajevo, Regional Cooperation Council, 2018, https://www.rcc.int/pubs/62.

[18] Data available in UNDESA website: *2017 Revision of World Population Prospects*, https://population.un.org/wpp.

[19] Peter Sanfey, Jakov Milatović and Ana Krešić, "How the Western Balkans Can Catch Up", in *EBRD Working Papers*, No. 186 (2016), http://po.st/Sr9qoa.

[20] Matteo Bonomi, "The EU and the Western Balkans: A Region of Opportunities, Not Only of Risks",

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It is therefore urgent that the new European Parliament and Commission, together with the member states, start a serious reflection on how to build on the 2018 enlargement strategy. Whereas the sectoral approach to enhance EU-Western Balkan co-operation foreseen by the strategy is positive, it still needs a substantial upgrade along three main lines of action:

(1) *Focus on economic development*. The EU and the member states should consider the use of different tools to support the financial needs and accelerate economic growth. Internal drivers of growth should be strengthened, and infrastructure projects should be supplemented by additional investments in health, social services, education and research and development. This, in turn, could facilitate the development of smarter and more knowledge-based economies, together with better access to resources for small and medium-sized enterprises.

(2) *Insist on good governance*. Better coordination among different EU instruments of support for societal and economic transformations of the Western Balkan states is seriously needed. There are discrepancies between the EU's recent support to improve the governance frameworks in these countries (e.g. the Connectivity Agenda or the extension of the "European Semester formula" for EU member states to the region[21]) and the more traditional tools of EU enlargement policy (e.g. Stabilisation and Association Agreements – SAAs), which seem to have been applied so far in a rather formalistic way. A good example is how the SAA has been implemented in Serbia for state aid control without adopting a system of block exemptions that could have helped promote environmental policy or other strategic sectors.[22] These inconsistencies should be overcome and existing policy tools should be better synchronised in order to align Western Balkan countries with current EU economic policies, including the EU industrial policy. Moreover, in specific sectors of strategic importance (e.g. energy), the EU should take steps to increase European private sector engagement with the region, which could eventually be a game changer. This would strengthen market forces and increase bottom-up pressure for the implementation of regulatory measures linked to the Berlin and EU accession processes.[23]

(3) *Keep the momentum*. The prospect of EU membership for aspiring Balkan countries appears today as having almost entirely exhausted its potential to act as a catalyst for domestic demands for change. Inverting this trend and recreating

in *DOC Research Institute Expert Comments*, 28 June 2018, https://doc-research.org/?p=66277. The article uses data from 2017, in the current paper data on public opinion have been updated to 2018 from: Maja Pinjo Talevska (ed.), *Balkan Barometer 2018: Public Opinion Survey*, Sarajevo, Regional Cooperation Council, 2018, https://www.rcc.int/pubs/66.

[21] Matteo Bonomi, "Economic Governance in the Balkans: Towards a More Sustainable Path of Economic Development?", in *EPC Policy Briefs*, November 2016, http://www.epc.eu/pub_details.php?cat_id=3&pub_id=7130.

[22] Vladimir Međak (ed.), *Twelve Proposals for EU Enlargement from the Western Balkans*, Belgrade, European Movement in Serbia, 2018, p. 22, http://www.emins.org/wp-content/uploads/2018/06/Twelve-Proposals-web.pdf.

[23] Aleksandar Kovačević, "Towards a Balkan Gas Hub", cit.

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momentum was one of the main aims of the EU Commission's renewed strategy for the Balkans. It tried to uphold a positive agenda for the region, even presenting a potential accession date (2025) for frontrunners Montenegro and Serbia[24] and recommending immediate accession negotiations with Albania and North Macedonia.[25] Nevertheless, both goals have proved to be politically unsustainable for EU member states, which have undermined the entire Commission's timeframe.[26] Against this background, it is urgent that intra-EU differences are ironed out in order to achieve a higher level of coherence in EU external action in the region. Failing to do so would have bitter consequences for the Balkans and would seriously downgrade the credibility of the EU as an international actor, considering the amount of political and economic capital it has spent already in the region. The most critical problem, as explored in the next section, is that today's divisions on EU enlargement have roots in even greater disagreements about the nature and scope of the entire European integration project.

3. The Western Balkans and the European integration agenda

The debate on enlargement today is qualitatively different than in the past, and not only due to the specificities of the countries in the Balkans. What is new is that the EU is experiencing a period of introspection that makes it far from clear in which kind of EU the Western Balkans are supposed to be included in the future. This exacerbates frictions and old disagreements within the EU.

The EU is, in fact, faced with significant challenges in two basic dimensions. The first is fragmentation. The EU risks fragmenting due to the Eurozone crisis, renewed geopolitical tensions, transatlantic challenges and the migration question. These issues divide Europeans, making the prospect of enlargement more difficult. The other dimension is disintegration. While the UK's referendum has not triggered emulations, the EU is still experiencing an unprecedented membership decrease due to Brexit. This has broken the fundamental assumption that the EU integration process is irreversible. Therefore, for the first time in its history, the Union is negotiating accession with some candidate countries while, at the same time, working out an exit deal with one of its current members.

The path that the European integration project will take in the next few years will be the crucial factor determining the future of the Western Balkans, despite all efforts

[24] European Commission, A *Credible Enlargement Perspective*, cit.

[25] European Commission, *2018 Communication on EU Enlargement Policy* (COM/2018/450), 17 April 2018, https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:52018DC0450.

[26] Regardless of the Commission's strategy pointing to 2025 as the best-case scenario for frontrunners' accession to the EU (if they prove ready), at the Western Balkans Summit in Sofia, EU member state leaders preferred to refer to a generic "European perspective" for the Western Balkans. Moreover, at the EU Summit of June 2018, the EU member states decided to not follow the European Commission´s recommendations to open accession negotiations with North Macedonia and Albania, opting for additional conditions to be verified in June 2019.

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by the outgoing European Commission to renew EU commitments. The end of the Brexit talks, the results of the Sibiu European Council in the spring of 2019 on EU reform and the new multiannual budget, the European Parliament elections and the appointment of a new Commission will determine the type of policies the EU will put in place to face its multiple challenges. This will also determine the level of ambition of the European integration project towards the Western Balkans.

Regarding Brexit, whereas its direct effects on enlargement are limited, its major impact on the Western Balkans is an amplifying effect on on-going difficulties within the EU. Despite hosting the Western Balkans Summit in London within the Berlin Process, the UK ceased to be a champion of EU enlargement years ago, leaving the leadership of this process to other countries, notably Germany. The economic implications of Brexit for the Western Balkans are also modest, given that trade relations between the UK and the Western Balkans have already been in decline for some time. However, through the loss of a net contributor to the general budget of the Union, the UK's absence in the EU will also be felt in the Western Balkans.

The major impact of Brexit is coming in an indirect way, affecting the dynamics of internal and external differentiation of the EU. Brexit has sparked reform drives within the EU, questioning to what extent a third country may participate in European integration, and to what extent member states can opt out of specific EU policies. This has given the impression that the EU could energetically point towards more differentiated integration in its external domain. It could inject new life-blood into the enlargement policy as well, helping to define some priority areas for mutually beneficial co-operation. Especially in the case in which talks with the UK were to advance towards the creation of a "membership light" model, possibilities could open up for advancing strengthened sectoral integration between the EU and the Balkan aspirants. Eventually, it could even offer an alternative model to full membership for those enlargement countries that are not interested in joining or are unable to join.[27]

However, things seem to be moving in the opposite direction. Whereas differentiation is and will remain a fundamental characteristic of European integration, as it represents at times a necessary instrument to overcome deadlock in decision-making, EU member states and institutions have shown no willingness to compromise on the principles underpinning the Union. These include, most notably, the integrity of the single market and its four freedoms of movement (goods, services, capital and people). This has affected the EU's position in the Brexit negotiations. The EU has drawn red lines to avoid a devaluation of the status of EU membership and rejected any formula that could amount to a cherry-picking

[27] See Milena Lazarević, "Away with the Enlargement Bogeyman. Reforming the EU Enlargement Policy for a Prompter Acceptance of the Western Balkans", in *CEP Discussion Papers*, July 2018, https://cep.org.rs/?p=10801; and Florent Marciacq, *The EU and the Western Balkans after the Berlin Process – Reflecting on the EU Enlargement in Times of Uncertainty*, Sarajevo, Friedrich-Ebert-Stiftung Dialogue Southeast Europe, 2017, https://library.fes.de/pdf-files/bueros/sarajevo/13948.pdf.

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exercise whereby the UK would enjoy single market status while still being able to control intra-EU migration and enacting regulations in autonomy. All these issues could cut short the debate on any kind of membership-minus perspective for the UK and, thus, arguably, for the Western Balkans as well.

In other terms, the problem of moving towards a fuzzier division between the EU's internal and external domains is that the key question in Europe today does not appear to be the one of flexibility, which has always been widely utilised by the EU.[28] It is, rather, one of homogeneity and, possibly, solidarity. The greatest challenge the EU faces is how to tackle and possibly mend its internal normative, political and economic divisions.

Against this backdrop, it is uncertain to what extent it will be possible to re-energise the European integration project and which tendency will prevail during the next institutional cycle (2019-2024). As an imaginative effort, I suggest four "visions" for the future of Europe[29] that give different answers to the question of homogeneity, the use of differentiation within the European integration project and, consequently, the place that the Balkan countries would eventually have in Europe:

(1) The *end of the EU*, never a realistic prospect, is no longer a purely academic hypothesis. It could happen not necessarily as the outcome of a deliberate design, but rather as an unintended consequence of the intensification of ongoing internal divisions, especially if new crises emerge that would lead to the breaking down of the Eurozone or the Schengen agreement on passport-free movement. Fragmenting and disintegrating tendencies could overlap and intensify, progressively eroding any substantial sense of the European integration project. European institutions would not necessarily cease to exist, but would regress to irrelevance, as would the question of acquiring new members.

(2) *Smaller, more integrated EU core*. This option can be identified with the agenda launched by French President Emmanuel Macron in his speech at Sorbonne University in Paris in 2017. A smaller group of member states that share a renewed sense of uniformity would advance towards a highly cohesive Union, with a common Eurozone budget, greater fiscal integration and a common army. This smaller, more cohesive Europe would, to a certain extent, unravel the results obtained by the EU Eastern enlargement (as made clear by President Macron at the Sofia Western Balkans Summit[30]) and use differentiated integration to keep the

[28] See Steven Blockmans (ed.), *Differentiated Integration in the EU. From the Inside Looking Out*, Brussels, Centre for European Policy Studies, 2014, https://www.ceps.eu/node/8851; and Janis A. Emmanouilidis, *The Future of a More Differentiated E(M)U – Necessities, Options, Choices*, Rome, IAI, February 2017, https://www.iai.it/en/node/7294.

[29] See Spyros Economides, "Balkan Europe", in Kenneth Dyson and Angelos Sepos (eds), *Which Europe? The Politics of Differentiated Integration*, Basingstoke, Palgrave Macmillan, 2010, p. 112-125.

[30] See Andrew Gray, "Macron Pours Cold Water on Balkan EU Membership Hopes", in *Politico*, 5 July 2018, https://www.politico.eu/article/emmanuel-macron-pours-cold-water-balkans-eu-

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core and wider circle within the same institutional framework. This would come at the cost of accommodating peripheral EU states within an outer loosely-defined circle, which could more easily exclude but also acquire new members, such as the Balkan states.

(3) *Illiberal EU*. Despite the somewhat pretentious name, this scenario would be less alarming than it seems at first sight. Partly through the upcoming European parliamentary elections, in which the so-called anti-establishment or populist political forces could experience resounding success, and partly through the rightward move of some traditional political parties, maybe to face internal competitors at home, illiberalism could become the new mainstream of European politics. This would project the EU towards being a Europe of nation states, where a common understanding – a new sense of uniformity – could be given by a strong emphasis on security. At the same time, interferences from the European institutions in national affairs would be tamed by member states' claims of defending and preserving different national cultures and values. This lowering of the common standards deemed necessary to be part of the EU could eventually, though not necessarily, even help the fragile democracies in the Western Balkans join the Union.

(4) *Consolidated EU-27*. The EU has shown exceptional resilience in the face of many crises, but it has barely found structural solutions to its challenges. The path towards consolidating the EU-27 could be conceived along pragmatic lines of finding ways to provide more effective EU actions in specific, yet fundamental policy domains. Common policies should show added value in core European areas such as economic, social, migration, and security policy.[31] It is not essential that all member states participate in this process – differentiation would be an important tool to overcome the lack of consensus among the EU-27. In this sense, differentiation should be used to create a new sense of uniformity as something that can be achieved as a result of common European policies. Furthermore, it would show that it is still possible to defend the European "way of life" – a mix of the liberal and socialist traditions – despite an increasingly challenging global environment. This scenario would be compatible with enhancing the ambition of EU co-operation with the Western Balkans in several policy fields, including justice and home affairs, border control and movement of people, and further economic functional integration.

membership-enlargement.

[31] See Janis A. Emmanouilidis (ed.), *Re-energising Europe: A Package Deal for the EU27*, Brussels, European Policy Centre, November 2017, https://www.newpactforeurope.eu/news/2017/npe_3rd_report.php.

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Conclusions

It is fair to say that all four described visions of the future of Europe hold a certain degree of implausibility. Confronted with "the end of the EU", it should be recalled that the European integration project has proven to be exceptionally resilient. Referring to the current debate about creating a core Europe, it not only appears to be a potentially disruptive hypothesis for the cohesion of the EU-27, but it is also politically unrealistic, since even a smaller group of core states seems neither to share a common vision nor to be ready to give up substantial parts of their sovereignty. Looking at the spreading of illiberal values across Europe, it is reasonable to ask how far European states could move rightward to build a European fortress without undermining the very framework of their co-operation. Finally, if it were easy to convince European citizens of the added value that could be achieved through common European policies, even if along the lines of variable geometries, it would be difficult to understand why some member states have not already resolutely moved in that direction.

The actual path that European integration is going to take will depend on many factors, starting from the outcome of complex bargaining among EU member states, where there could be an overlap of different tendencies and where the most unexpected combinations could materialise. Whatever outcomes emerge in the forthcoming years, however, what really seems to be crucial in facing the threat of fragmentation and even disintegration is for Europeans to decide on the strategic lines to shore up the EU front in order to consolidate the Union not only in its functional dimensions but also in the symbolic ones. Confronted with a form of globalisation often perceived as unfettered, the EU urgently needs to consolidate as a concrete political space[32] in which EU citizens have the perception that national sovereignty is not dissolved within a wider global environment, but is pooled at an intermediary level. It needs to be a space where Europeans retain the capacity to distinguish, along clearly defined borders, a territory where values coming from European traditions, despite their universalistic claims, can be embedded and realised on a smaller scale through common European policies.

From such a perspective, it would be wrong to conceptualise EU enlargement towards the Balkans within the old debate of "deepening versus widening", as some leaders advocating smaller circles of European integration seem to be doing (such as Macron); that debate took place twenty years ago. What is at stake today is, rather, the consolidation of what the Union has accomplished so far. In this regard, the successful integration of the Western Balkans would represent an important step forward in the process of the territorialisation of the EU – namely of consolidating the Union as a political space in both its functional and symbolic dimensions – thus ratifying an aspect that was largely overlooked during the early

[32] See Étienne Balibar, *We, the People of Europe? Reflections on Transnational Citizenship*, Princeton, Princeton University Press, 2004; and Carlo Galli, *Spazi politici. L'età moderna e l'età globale*, Bologna, Il Mulino, 2001.

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days of enlargement enthusiasm.

In fact, a simple glance at the map of Europe shows that the Western Balkan region is not the EU's south-eastern courtyard, rather its overlooked "soft belly". Located between the most politically, economically, and – in security terms[33] – fragile EU member states, the Western Balkans are already formally and informally connected with the entire Union – and therefore cannot be realistically excluded from the broader process of consolidation.

Updated 28 March 2019

[33] Western Balkans' EU neighbours Romania, Bulgaria and Croatia still today do not qualify for the Schengen Area within the European Area of Freedom, Security and Justice.

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Through the Labyrinth of Regional Cooperation:

How to Make Sense of Regional Integration in the Western Balkans

BiEPAG

February 2023

Bojan Baća, Florian Bieber, Matteo Bonomi, Richard Grieveson, Marko Kmezić and Zoran Nechev

Abstract

In the absence of a breakthrough in the EU integration of the Western Balkan six, the EU has been innovative in finding ways to keep the countries of the region interested in pursuing reforms. These include strengthening regional integration via the Berlin Process. Meanwhile some Western Balkan countries have initiated a parallel regional integration process called Open Balkan. This policy brief analyses the scope, depth and limitations of regional integration in the Western Balkans, and considers whether it actually delivers the desired results or is rather a distraction from EU integration.

This policy brief analyses the scope, depth and limitations of regional integration in the Western Balkans, and considers whether it actually delivers the desired results or is rather a distraction from EU integration.

01. Introduction

Winston Churchill is said to have quipped that the Balkans produce more history than they can consume. However, these days, it seems that the Western Balkans might produce more regional cooperation than they can consume. Buzzwords such as Mini-Schengen, Open Balkan, Berlin Process, abbreviations from CEFTA to RYCO constitute a confusing mix of integration and cooperation for the countries of the Western Balkans. These efforts began well before EU integration was on the agenda, but remain a potentially important supplement to it, rather than a replacement for EU integration. This brief will look at the potential and limitations of regional integration and how to streamline the two main initiatives, the Berlin Process and the Open Balkan initiative.

Now aware of the potential security and energy threats arising from neglecting the Western Balkans, the EU unveiled a 1 billion Euro support package to help the region address the immediate consequences of the energy crisis in November 2022

While there has been some progress with the main political project in the Western Balkans—EU membership — in recent months it remains stuck. Candidate status for Bosnia and Herzegovina came reluctantly as an afterthought to granting the status to Ukraine and Moldova. Those negotiating, Serbia and Montenegro, are not advancing and Albania and North Macedonia still face challenges in catching up. Citizens of the region share this feeling: the number of respondents who expect swift EU integration is at an all-time low (22% expect integration by 2025, 37% by 2030, while 28% don't believe their country will ever become part of the Union).[1]

Now aware of the potential security and energy threats arising from neglecting the Western Balkans, the EU unveiled a 1 billion Euro support package to help the region address the immediate consequences of the energy crisis in November 2022. This is part of the EU Economic and Investment Plan for the region aiming at mobilizing up to 9 billion Euro from the Instrument of Pre-Accession

1 *RCC, Balkan Barometer 2022,* https://www.rcc.int/balkanbarometer/home

Assistance III (IPA) package for the period 2021-2027, and attracting additional investments worth EUR 20 billion from the European development banks and other international financial institutions.[2] Finally, the EU has been innovative in finding ways to keep the countries of the region interested in pursuing reforms in the absence of actual enlargement. These include strengthening regional integration, in particular through two parallel processes, the Berlin Process initiated by German chancellor Merkel in 2014, and Open Balkan[3] a regional initiative of Serbia, Albania and North Macedonia to deepening economic cooperation. Yet, it remains unclear whether these initiatives really deliver or whether they are a distraction from EU integration.

o2. The Potential and Limits of Regional Cooperation

The EU's support for regional cooperation and (intra)regional economic integration in the Western Balkans is long-standing, having emerged in response to the Yugoslav wars in the second half of the 1990s. Moreover, since the launch of the Stabilisation and Association Process in 1999, regional cooperation has become a central part of EU accession conditionality, in addition to the Copenhagen accession criteria formulated in 1993.

This EU "two-track strategy" towards the Western Balkans meant combining EU bilateral relations and enlargement conditionality for individual candidate (and potential candidate) countries, with the promotion of EU standards through EU-sponsored parallel structures and multilateral intra-regional initiatives. The basic idea was that these two processes of EU and intra-regional integration could be mutually reinforcing, since regional integration among Western Balkan countries would prepare them for smoother integration with the EU in the future, also strengthening EU conditionality in a region characterised by continuous political and economic instability. In addition, regional economic cooperation was supposed to improve bilateral relations in the region.

Regional cooperation initiatives have undoubtedly had a positive impact on the

2 *Bartlett, Will, Bonomi, Matteo and Uvalic, Milica. "Economic and Investment Plan for the Western Balkans: Assessing the possible economic, social and environmental impact of the proposed flagship projects". Study requested by the AFET committee, European Parliament, May 2022.* https://www.europarl.europa.eu/thinktank/en/document/EXPO_STU(2022)702561

3 *This brief will call the initiative Open Balkan, as it is described by its founders, even if in English, the correct word is Balkans.*

Western Balkans. This was evident especially during the first decade of the 2000s, when integration with the EU proceeded at a slow pace. At that time, regional cooperation proved to be pivotal in advancing the EU agenda for the region in a number of fields, from trade liberalisation and market opening (through the 2006 Central European Free Trade Agreement – CEFTA) to police cooperation and visa liberalisation, promoting stability and economic growth. A number of studies have identified a clear positive impact of CEFTA in particular on regional trade integration.[4] In the period up to mid-2019, CEFTA increased intra-regional trade by around one third, and the positive impact rises to around 70% if Serbia is excluded from the results.[5]

From mid-2014, under the intergovernmental auspices of the Berlin Process the EU tried to re-engage the region, based on further advancements of regional integration in the Western Balkans. Accordingly, Western Balkan leaders agreed on two important projects for regional economic integration: the Multi-annual Action Plan on Regional Economic Area 2017– 2019 (REA) and the Common Regional Market 2020–2024 (CRM).

These ambitious new plans for regional economic integration had a medium-term objective that could have helped foster the enlargement agenda in the Western Balkans on the basis of the EU's four market freedoms.

These ambitious new plans for regional economic integration had a medium-term objective that could have helped foster the enlargement agenda in the Western Balkans on the basis of the EU's four market freedoms. This would have fostered their alignment with the EU acquis, built trust amongst themselves and, ultimately, engender local ownership and responsibility. Other positive economic spillovers were hoped for, such as improved external competitiveness and higher exports to reduce the region's chronic external imbalances.

4 *Borko Handjiski et al. Enhancing Regional Trade Integration in Southeast Europe. World Bank Working Paper, 185, 2010; https://elibrary.worldbank.org/doi/abs/10.1596/978-0-8213-8259-2.*

5 *Richard Grieveson, Mario Holzner, Goran Vukšić. Regional Economic Cooperation in the Western Balkans: The Role of Stabilization and Association Agreements, Bilateral Investment Treaties and Free Trade Agreements in Regional Investment and Trade Flows, WIIW, 2020, https://wiiw.ac.at/regional-economic-cooperation-in-the-western-balkans-the-role-of-stabilisation-and-association-agreements-bilateral-investment-treaties-and-free-trade-agreements-in-regional-investment-and-trade-flows-p-5362.html*

Yet, notwithstanding some progress, such as the regional roaming agreement, the negotiation of CEFTA's Additional Protocol 6 (a framework agreement extending the principle of free trade to the service sector), or the facilitation of border-crossing procedures for goods during the pandemic (thanks to "Green Corridors"), the results of regional economic integration among the Western Balkans have remained modest and uneven. Overall, there is a consensus that the cooperation often rarely moved beyond the declarative, as there is a lack of commitment and political will, together with unresolved bilateral disputes, that have not made the REA/CRM fully applicable in practice.

The achievement of truly deeper regional economic integration in the Western Balkans would further increase the level of economic development.[6] Making it easier to move goods, capital and people around the region would boost the economy. However, even in the case of a fully functioning single market in the region—quite a big assumption—the upside is likely to be quite limited. This is mostly because the regional market is very small, with the combined GDP of the six Western Balkan economies roughly equivalent to that of Slovakia. This indicates why even when regional trade initiatives have been successful, such as in the case of CEFTA, this has failed to do deliver a significant boost to overall economic growth momentum.[7]

Moreover, intra-regional trade in goods in the Western Balkans tends to be of a low sophistication. Upgrading quality of production, which is associated with a generally higher economic development and better living standards, is unlikely to be significantly stimulated by a deeper regional market alone. Meanwhile another goal of deeper regional integration—to create a bigger market that is more attractive for foreign investors—is also unlikely to produce big results. The region undoubtedly has significant potential to attract increased FDI inflows, not least due to potential near-shoring in the wake of the pandemic and the Russian invasion of Ukraine. However, foreign investors' interest in the Western Balkans is chiefly as a location for production which is then exported to the EU market, meaning that EU integration, rather than regional integration, is likely to be the key driver of greater and higher-quality FDI inflows in the future. Moreover, the idea of the six countries genuinely cooperating to attract joint investments seems quite fanciful. Even the Visegrad countries—which for almost two decades have been in the EU single market and do not have tensions between them

6 *Plamen Kaloyanchev, Ivan Kusen, Alexandros Mouzakitis, Untapped Potential: Intra-Regional Trade in the Western Balkans. European Economy, Discussion Paper 80, 2018, European Commission, https://economy-finance.ec.europa.eu/publications/untapped-potential-intra-regional-trade-western-balkans_en*

7 *Bertelsmann Foundation and WIIW, 'Pushing on a String? An evaluation of regional economic cooperation in the WesternBalkans',2020, https://www.bertelsmannstiftung.de/fileadmin/files/user_upload/Pushing_on_a_string.pdf*

that are comparable with some bilateral relationships in the Western Balkans—compete continuously with each other to attract FDI projects.

As a result, regional economic integration in the Western Balkans alone simply does not have sufficient weight and attractiveness. It does not represent a game changer for economic growth and development of the region and, thus, it hardly justifies the realisation of a fully-fledged internal regional market. In addition to its small market size, aspirations for a common regional market will also be hampered by weak institutions, outstanding territorial and constitutional disputes, and a lack of trust between some partners. It is also notable that in the case of the Visegrad countries, the true deepening of regional integration happened only after they joined the EU in 2004. In the case of the Western Balkans, the region is therefore being asked to achieve something before accession that EU-CEE countries only managed afterwards.

03. Berlin Process Reloaded

Over the past eight years, the Berlin Process has been the main driver of regional cooperation, often with a strong focus on infrastructure. It was launched in 2014, on the initiative of former German Chancellor Angela Merkel and was soon joined by Austria, France, Italy, the UK, Poland and other countries. Annual summits intensified the interaction between the EU and the Western Balkans and succeeded in keeping the Western Balkans 6 on the agenda of EU-states and institutions. Over the years, a number of important agreements were concluded in the framework of the process.[8] However, in recent years, the process has run out of steam.

The 'relaunch' of the process has been one of the priorities of the new German government for the Western Balkans and Berlin hosted the summit once more in early November 2022. Topics that had been incrementally dominating with each Western Balkan Summit have all found their place in the reintroduced Berlin process. Therefore, the connectivity agenda, energy (including energy security) and the Green Agenda, amongst others, were some of the main topics of discussion in Berlin. The highlight of the Summit was the signing of the three important agreements related to the implementation of the Common Regional Market: 1) the Agreement on Recognition of Higher Education Qualifications in the Western Balkans; 2) Agreement on Recognition of Professional Qualifications for Doctors of Medicine, Dentists and Architects based on EU rules; and

8 *Marina Vulović, The Berlin Process in the Western Balkans: Big Ideas, Difficult Implementation, SWP Comment, 21.12.2022,* https://www.swp-berlin.org/publikation/the-berlin-process-in-the-western-balkans-big-ideas-difficult-implementation

3) the Agreement on Freedom of Movement with ID Cards in the Western Balkans.[9] Efforts now are directed toward the ratification of these agreements and smooth implementation by the Western Balkan countries.

Although very important in the context of the current energy crisis, the adoption of the Joint Declaration on Energy Security and Green Transition in the Western Balkans[10] passed almost unnoticed. This document was strongly supported by all non-WB actors, especially Germany which has committed to expanding the Climate Partnership with all Western Balkan countries, not just with Serbia, as is now the case. By doing so, the German Government committed to intensifying political dialogue including technical and financial cooperation related to the Green Agenda.

The Annex to the Declaration further outlines the specific commitments made by various actors. The European Commission committed to establishing the Joint Purchase Platform under REPowerEU which will be inclusive of the countries of the Western Balkans partners in order to have access to more competitive prices and in effect, to decrease the dependency on Russian gas. In addition to these efforts, the assistance of Germany for clean energy projects in the Western Balkans stands out, with an overall portfolio of 2,2 billion euros provided by the Ministry for Economic Cooperation and Development through the German Development Bank KfW.[11] And finally, pending approval by the German Bundestag, Germany committed budgetary support of up to 500 million euros (equivalent to the assistance offered by the European Commission) to overcome the immediate needs of these countries in regard to fiscal pressure arising from the impact of the energy crisis.[12]

o4. Open Balkan – A Mystery Box?

Whereas the Berlin Process has enjoyed undivided support in the Western Balkans—the main critics were some EU member states that were not initially invited —the main home-grown regional cooperation initiative, Open Balkan, has been politically polarising within the region. It started as "Mini-Schengen" and became officially baptised Open Balkan. Depending on whom you ask, it is re-

9 *Chair's conclusions 2022, 3.11.2022, https://www.bundesregierung.de/breg-en/news/western-balkans-summit-2140518*

10 *Declaration on energy security and green transition in the Western Balkans, ibid.*

11 *Annex to the Declaration on energy security and green transition in the Western Balkans, ibid.*

12 *Ibid.*

garded either as unwise and dangerous,[13] or as misunderstood and beneficial.[14] Despite criticisms, the architects of Open Balkan from Serbia, Albania and North Macedonia have staunchly stuck to their message of how their project would create a tide that would lift all boats in the region. Moreover, they have been emphasizing the local character of this initiative as "an internal desire, not patronized externally" (Edi Rama) and, as such, coming "the people from the Balkans, those who understand that they need to connect and solve problems on their own" (Aleksandar Vučić).[15] This regional ownership is now promoted as the key factor that would translate the economic benefits of Open Balkan into much needed (sustainable) regional cooperation based on sincere political partnership between regional political elites, and social trust among peoples of the Western Balkans. Similarly, this ownership transfer to the local countries is seen – by Washington and Brussels, predominantly – as a proof, as stated by Commissioner Várhely, that political leadership of the Western Balkan countries has matured and is genuine in its readiness to put the past behind and start working together towards future.[16] Yet, the future promised by Open Balkan is but wishful thinking, as the initiative still looks like a pet-project of current state leaders, not as a shared strategic goal that includes all countries and societies at large.

While Open Balkan aims to replicate the Schengen Zone's free flow of capital, products, services, and labour, it has no ambitions in substituting the Berlin Process; instead, its declarative goal is to complement it by creating cooperation and synergy that would best prepare participating states for EU membership. Besides this component there seems to be no significant added value of Open Balkan to existing initiatives in the region. However, whereas the ambition of creating a common regional market modeled on the EU's single market is somewhat clear, the political narrative and justifications underpinning it can be best described as a 'mystery box'– a plot device which uses an object or idea to grab the audience's attention by withholding information about its contents. And indeed, the cost-benefit analysis of Open Balkan prepared by Montenegro's Ministry for European Affairs clearly indicates that the necessary information on the initiative cannot be found (in a single place) and that its dubious content is usually formulated during non-transparent meetings of regional leaders at high-level summits. Namely, the analysis deems Open Balkan to be in an exper-

13 *Edward P. Joseph, Open Balkan(s) is Not Just Unwise. It's Dangerous, Balkan Insight, 15.6.2022, https://balkaninsight.com/2022/06/15/open-balkans-is-not-just-unwise-its-dangerous/*

14 *The future belongs to the peoples of the Balkans, IFIMES, 6.7.2022, https://www.ifimes.org/en/researches/2022-open-balkan-the-future-belongs-to-the-peoples-of-the-balkans/5060*

15 *Ohrid Agreement: Open borders, labor and student exchange, travel with ID cards only, B92, 10.11.2019, https://www.b92.net/eng/news/politics.php?yyyy=2019&mm=11&dd=10&nav_id=107497; "Unstoppable" Open Balkan initiative promises "great steps" for region, say leaders, Anadolu Agency, 8.6.2022 https://www.aa.com.tr/en/europe/unstoppable-open-balkan-initiative-promises-great-steps-for-region-say-leaders/2609089*

16 *Statement of Commissioner Olivér Várhelyi at the official opening of the Open Balkan Summit in Belgrade, 2.9.2022, https://ec.europa.eu/commission/commissioners/2019-2024/varhelyi/announcements/statement-commissioner-oliver-varhelyi-official-opening-open-balkan-summit-belgrade_en*

imental phase as it lacks: (1) a strategic document and action plans, (2) the legal framework and mechanisms to implement it, and (3) methodology for measuring success and an administrative body that would carry out these evaluations and propose measures.[17] As such, Open Balkan is rather closed as to what it is. However, if Open Balkan goes beyond bilateral agreements (through which it is operating at the moment) and checks these boxes, then it would effectively become an initiative parallel to the Berlin Process.

It can be argued that the very form of Open Balkan undermines the content it promises – namely, mutual trust and cooperation in the Western Balkans.

Just as with any other 'mystery box', the speculation of what Open Balkan might be is more compelling than what its founders envisaged it to be. After all, why should anyone trust local authoritarian leaders that have a track record of building their power through state capture, populism, and corruption? And, in the light of this fact, what can be gained from the vague and non-transparent initiative resting upon the ambitions of such architects? It can be argued that the very form of Open Balkan undermines the content it promises – namely, mutual trust and cooperation in the Western Balkans. As Serbia is seen to "undoubtedly gain the most in political terms"[18] from Open Balkan – most notably in the creation of a perception of normalisation of relations between Belgrade and Prishtina – then it comes as no surprise that Montenegro and Bosnia and Herzegovina remain skeptical about jumping on the bandwagon led by the regional hegemon,[19] as Open Balkan may turn out to be a vehicle for the transmission of soft power known as the "Serb World" (Srpski svet). In its present form, Open Balkan promises a future of winners and losers among participating countries, and this is not a configuration in which free trade and job creation would lead to overcoming mistrust and eventually bringing prosperity to the region. Quite the opposite, it would fuel resentment and further destabilise the region. Nevertheless, even as a "political stunt" and "political theater", Open Balkan is a clear message to the EU that the Western Balkans will look for alternative approaches if it continues to neglect its enlargement agenda in the region.

17 *Prednosti i mane učešća Crne Gore u regionalnoj inicijativi "Otvoreni Balkan", Ministarstvo evropskih poslova, 25.11.2022,* https://www.gov.me/clanak/analiza-prednosti-i-mane-ucesca-crne-gore-u-regionalnoj-inicijativi-otvoreni-balkan

18 *Andrej Semenov, "Open Balkan: Objectives and Justifications", Comillas Journal of International Relations 24, p. 29.*

19 *Ibid.*

o5. How to make sense of Regional Integration

Regional integration is a central element of the Western Balkan EU accession process, and that will, and should, continue. However, putting too much emphasis on that alone, and investing a large amount of political capital with the promise of big returns, would be a mistake. Instead, the next step of regional economic integration should take place as part of a much bigger push towards deepening the economic integration of the Western Balkans with the EU.

Two other important considerations must be kept in mind. First, the additional economic carrots must be accompanied by a reinvigoration of the reform process that has faltered in parts of the region since 2008. As the experience of the 2004 EU joiners showed, it is the years leading up to EU accession where the real reform progress was made. If the EU can re-establish a credible accession perspective in the Western Balkans, similar improvements can be hoped for. This in itself would support regional integration; the weakness of institutions has been one of the main barriers to better regional economic cooperation. Second, greater economic integration cannot be a substitute for EU accession of Western Balkans' countries. Full membership must remain the unambiguous goal.

I. Setting the priority of regional integration straight

Different and potentially competing processes of regional cooperation absorb considerable political and administrative resources, with modest returns and limited potential for future benefits. Thus, regional integration merits investments by respective governments and the EU, where the scale of the investment has to be carefully calibrated with the limited returns.

II. Merge Open Balkan and the Berlin Process

There are many regional initiatives, including but not limited to Open Balkan and the Berlin Process. These should be streamlined into one structure of regional integration that also includes the EU and EU Member States and gives institutional force to the main regional body, the Regional Cooperation Council (RCC).

III. Include the Western Balkans in the EU budget

The Western Balkans should be fully included in the EU budget, subject to the usual conditionality faced by existing Member States. Technical support should also be provided to maximise absorption capacity. This would finance important infrastructure upgrading and deliver a positive demand shock, as has been the case in EU-CEE. Even increased EU budget transfers from the current 1% of GDP per year to 2%—which is still well below what many EU-CEE countries get—would increase GDP in the Western Balkans by 14% (Jovanovic et. al. 2022).

IV. Integrate the Western Balkans into the Single Market

The Western Balkans should be integrated further into the Single Market, via an expansion and deepening of the Stabilisation and Association Agreements. Here, the DCFTAs with Ukraine, Moldova and Georgia can provide some guidance, but the EU can also be more imaginative in thinking about how to deepen integration. The increased pressure on domestic firms that this would initially cause would be partly offset by higher budget transfers and technical support.

If the EU can manage this—creating a positive jolt to the economic integration of the Western Balkans into the EU—it would deliver a much more positive push towards regional integration than the current plan alone. Connecting the two processes more strongly will significantly increase the political incentives for local actors to invest real political capital into regional cooperation for all six countries. And the Visegrad case suggests there would be an enormous post-accession upside for regional economic integration.

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The regional cooperation in the Western Balkans and the Open Balkans initiative

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Abstract

The paper examines the efforts to enhance regional cooperation in the Western Balkans and how this has increased engagement between the EU and the Western Balkans.[1] The regional initiatives are more present when the European Union (EU) shows little interest in the Western Balkans region. However, these efforts have yet to address all the concerns adequately and have not brought to life tangible results despite many political declarations.

One of the most commented initiatives, like the Open Balkans, has caused concern in the region and caused tension between Kosovo and Albania over the past few years. The paper enlightens the challenges of regional cooperation during the last years, the contribution of this process in the integration process, and the role played by Albania. Also, the paper tries to analyze the success and failures of the "Open Balkan" initiative and the Regional Common Market.

Furthermore, the paper framework examined the progress of regional cooperation initiatives and the region's attention to the European integration process. Additionally, the paper seeks to determine whether regional cooperation is a viable alternative for the region or merely an external-driven initiative and the role of the EU in promoting regional cooperation.

Keywords: regional cooperation; Open Balkan; European integration.

Introduction

The Balkan region has been associated with instability and independence conflicts for many years, where differences have taken precedence over similarities. As Milica affirms, "the region is a group of countries sharing space without sharing time."[2] In this scenario, finding collaborative common ground on a peninsula characterized by stigmas, stereotypes, historical divisions, and political turmoil was challenging. Due to these factors, the European Union is considered the most influential actor in fostering stability and enhancing relations between the Balkan states. Regional cooperation in

[1] *This article has been written in the Jean Monnet Center of Excellence framework: The Europeanization of Public Policies in Albania 101048064 – EPPAL- Erasmus-JMO-2021-HEI-TCH-RSCH.*

[2] Delevic, Milica, "Which Region, What Cooperation?" *Regional Cooperation in the Western Balkans*. European Union Institute for Security Studies (EUISS), 2007. http://www.jstor.org/stable/resrep07032. p. 4.

the Western Balkans mainly originated from external actors, including the European Union (EU), the United States (US), and international economic institutions. This was the consequence of prolonged periods of discord and insufficient cooperation, particularly in the aftermath of the Yugoslav succession conflict. The cooperation in the region was met with skepticism by the local populace, as the neighboring countries were perceived as the "other" and adversaries rather than allies. The progression had been driven by these extrinsic agents as opposed to historical or political forces intrinsic to the region.[3]

The European Union (EU) has been the primary actor in the region since the conflict in Bosnia. It has actively fostered regional cooperation and strengthened inter-state ties as a prerequisite for EU integration. In doing so, the EU has demonstrated its normative power and exerted significant regional influence. The EU's normative influence in the region is shown through its application of conditionality, which has facilitated the adoption and in some cases the implementation of structural reforms in every country within the region. The normative influence in the region affects and disseminates the European Union's fundamental values. Cooperation between neighbors' countries is a fundamental aspect of the European Union's identity; the cooperation between the six neighboring countries in coal and steel production progressively fostered integration and further collaboration in other policy areas.[4]

Drawing upon this efficacious paradigm, the European Union (EU) aspires to enhance the cooperation among adjacent nations within a particular domain, with the overarching objective of fostering regional stability, reconciliation, and ultimately, the EU region integration. The European CARDS Regional Strategy Paper in 2021 reflected this theory with the following statement: "Enhanced collaboration with neighboring nations provides a pathway to growth and stability at both the national and regional levels.[5]

However, many regional cooperation initiatives were initiated outside the region without significant contributions from domestic actors. The Stability Pact for Southeastern Europe, for instance, was an initiative that originated from outside. Established by the European Union in June 1999, the Stability Pact for Southeastern Europe (SPSEE) compelled Albania and the post-Yugoslav states, aspiring members, to establish and advance regional stability.[6]

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[3] Dimitar Bechev, "*Carrots, sticks and norms: the EU and regional cooperation in Southeast Europe*," Journal of Balkan and Near Eastern Studies, Taylor & Francis Journals, vol. 8(01), pages 27-43

[4] Institute for Security Studies, The European Future of the Western Balkans: Thessaloniki@10 (2003-2013), ed. by Eviola Prifti, 2013, p. 65 https://www.files.ethz.ch/isn/182359/thessalonikiat10_01.pdf

[5] European Commission, CARDS Assistance Program to the Western Balkans – Regional Strategy Paper 2002-2006, 2001, p.4 https://wbc-rti.info/object/document/7691/attach/0374_EC_CARDSRegionalStrategy2002-6.pdf

[6] Jędrzej PASZKIEWICZ, Regional Cooperation In Western Balkans: A View From Inside The European Union. The Premises and Obstacles, *Faculty of Arts and Sciences Journal of Social Sciences*. 2012, p.150

However, the first regional cooperation initiatives didn't include a variety of actors like civil society or areas like energy and infrastructure development.

The cooperation in the region after the Thessaloniki Summit

After the first decade, the Thessaloniki Summit 2003 provided a tangible European expectation to the region's countries.

Since the European Union established regional cooperation as a prerequisite for integration, the Western Balkans states were driven to establish a vast network of regional relations by the strong incentive of EU membership, which was the most wanted objective of all the countries in the region. The European Union (EU) acted as a catalyst to establish and strengthen collaboration, thus the initial relations between the countries were solely shaped by the EU and the country's political establishment. The process of integration continues to be an essential target in the external politics of the region's countries, particularly Albania. A few inconsistencies, nevertheless, surfaced during this process.

The initial inconsistency was the "contradiction in terms" of the process. On the one hand, the regional approach necessitated countries to collaborate to advance towards EU membership. On the other hand, the EU enlargement itself was a bilateral endeavor, independently administered by each country.[7] The lack of consistency raised the importance of bilateral relations with the European Union, which is far more significant than those with regional counterparts or even the region's interaction with the EU. This inconsistency became more theoretical than practical when the EU transformed regional cooperation into a necessary condition to progress toward European integration. The consequence was that cooperation in the area came to be regarded not solely as a prerequisite to satisfy a request from Europe, but also as a vital component of the region to promote social, political, and economic progress. This was a step forward in bringing together the people of the region.

Furthermore, an additional barrier to regional cooperation was the absence of a collaboration mentality, as most states maintained a negative attitude toward each other.[8] Today, after the torment of years after the Balkan conflict, the predisposition of people and the political elite is mainly positive toward regional cooperation initiatives. This has successfully overcome the formerly prevailing negative inclination.

In recent years, citizens have shown a notable inclination towards endorsing regional collaboration, as indicated by the Balkan Barometer survey conducted in 2023.

[7] Vladimir Gligorov, Southeast Europe: Regional Cooperation with Multiple Equilibria" *Integrating the Balkans in the European Union: Functional Borders and Sustainable Security (IBEU Research Project)*, Working Paper n.4.1., 2004, p.2.

[8] Othon Anastasakis & Vesna Bojicic-Dzelilovic, *Balkan Regional Cooperation & European Integration*, July 2002, p. 48. *https://www.lse.ac.uk/Hellenic-Observatory/Assets/Documents/Publications/Past-Discussion-Papers/Balkan-Regional-Cooperation.pdf*

Specifically, a substantial majority of 76% of respondents expressed their belief that regional cooperation yields positive economic outcomes and that the process could help in the development of the region's political, economic, and security conditions; support for regional cooperation has remained substantial and consistent over the past six to seven years.[9] The political elite is additionally motivated to advance regional cooperation initiatives by the favorable disposition of the general public toward such initiatives.

Indeed, a significant majority of 69% concur that uniting people across the region is far more important than what divides them. There is strong support for regional cooperation by young people aged 18-24. [10]. Additionally, this includes an awareness of young mobility and interest in neighboring countries. The Western Balkan Funds and the Regional Youth Cooperation Office in Tirana have been instrumental in advancing various initiatives and regional mobility within this context.

Individuals and economic operators support this belief: 74% of regional businesses consider regional cooperation crucial to their operations, a 5% increase from 2022.[11] This support is an optimistic sign for forthcoming initiatives and reflects the support of regional cooperation by the political elite and the backing of the region's people. As a result, the notion of the "other" has become less contentious, and the area is better connected and a step further into the integration process. This development has the potential to foster stronger economic ties in the region and improve connectivity for businesses operators and service providers. Undoubtedly, greater connectivity and competitiveness within the wider European economic sphere are imperative for the region.

Following the Thessaloniki Summit, regional cooperation has assumed greater significance because of enhanced internal political stability and improved mutual sentiments and as a prerequisite for the integration process. Additionally, this significant event marked the first time that the Balkan region perceived a distinct European perspective on its future.

The Berlin Process, initiated in 2014, has provided significant momentum to the regional cooperation. This successful initiative has fostered closer relations among regional countries, facilitated political and economic engagement, and effectively shaped regional collaboration by establishing the "Western Balkans Six" framework. Motivated by the European Union's "enlargement fatigue" and after the Juncker declaration, the initiative emerged to foster regional integration.[12] In the beginning,

[9] Regional Cooperation Council, *Balkan Barometer*, https://www.rcc.int/balkanbarometer/home#infographics-1

[10] https://www.rcc.int/balkanbarometer/home

[11] https://www.rcc.int/balkanbarometer/home

[12] Florent Marciacq, *The European Union and the Western Balkans after the Berlin Process*, Dialog Sudosteuropa Sarajevo 2017 https://library.fes.de/pdf-files/bueros/sarajevo/13948.pdf, p.5

the process was perceived as a viable alternative to the European integration of the region, considering the stagnation of the EU enlargement policy toward the region. The process enabled the European Union to reestablish its presence in the area and maintain the countries' motivation to pursue reforms despite the lack of substantive involvement in the enlargement process. Given the diminishing of the distinct European perspective because of both internal EU factors and external international political factors, this was the most effective approach to engage in the region.

Promoting the European Union's agenda along three key axes—economic growth and connectivity, fostering positive neighborly relations and regional cooperation, and promoting civil society development and interpersonal connections—is the objective of the Berlin Process.[13] Regional cooperation aims to impact not only the economic progress of the area but also the interconnectivity of its people. The distinctive characteristic of the Process is its incorporation of numerous actors, including members of civil society; thus, regional cooperation is an inclusive Process and not merely a political or bottom-up initiative. The Berlin Process has facilitated the development of regional cooperation initiatives, encompassing various sectors such as civil society organizations, youth initiatives, and business communities. Significant examples are the Civil Society Forum, which serves as a platform for engagement among civil society organizations, and the establishment of the Regional Youth Cooperation Office (RYCO) in Tirana, which focuses on fostering collaboration among young people. The Secretariat of Chambers of Commerce of six Western Balkan economies promotes interaction and cooperation between business communities.[14]

Furthermore, it has facilitated the exchange of ideas and discussions among scholars from academic institutions and think tanks, particularly within the Western Balkans Reflection Forum context.

The "Open Balkans" initiative

Regional cooperation acquired momentum after 2014 because of the Berlin process; some critical initiatives were organized in the context of this process, like the Multi-Annual Action Plan and the Common Regional Market, aiming to boost economic cooperation in the region. Also, the regional cooperation initiatives were not solely driven by the EU. The Balkan states also initiated regional initiatives. In addition to the state's desire for cooperation, these initiatives intended to serve as a "push factor" in the direction of the EU.

[13] F. Marciacq, *The European Union*..., p.7

[14] Matteo Bonomi, *Off Track.: The EU's Re-Engagement with the Western Balkans*, Istituto Affari Internazionali (IAI), 2019, p.4, http://www.jstor.org/stable/resrep19665.

Regional economic integration, which will result in a common regional market, and the "mini-Schengen" that subsequently evolved into the Open Balkan process, a comprehensive regional effort, have been the two most-discussed initiatives in the region over the past few years. Over the course of recent years, both public opinion and the political elite have been occupied with the two initiatives and they have been divided if the cooperation is to continue beyond the European framework.

Establishing the regional economic area was an extension of the Berlin Process's objective to strengthen regional economic cooperation.[15]

The Regional Cooperation Council, at the request of the Western Balkans countries, supervised the development of the Multi-annual Action Plan for a regional economic area in the context of the Berlin Process. The Trieste Summit in 2017 formally endorsed the Plan, which additionally secured financial support from the European Commission.

The objective of the Plan is to facilitate the unhindered movement of capital, products, services, and highly skilled labor; enhance the region's appeal for investment and trade; and expedite convergence with the European Union, thereby fostering prosperity for the inhabitants of the Western Balkans.[16]

The Plan outlined the strategies, objectives, and actions required to accomplish the goals in the four primary priority areas: investment, mobility, and digital integration. A benefit for the residents of the regions was the elimination of roaming fees in the WB; these fees are null and void starting in July 2021.[17]

Also, two significant memorandums of understanding between the six Balkan states have been reached since 2017: the trust services and interoperability and the 5G roadmap for the region's digital transformation.[18] However, despite these outcomes, the project has encountered criticism for its lack of advancement from the region politics like in 2019, in Novi Sad by the Prime Minister of Albania, Edi Rama.[19] He said that the action plan for the regional economic area was agreed upon at the Trieste meeting of the Berlin process, but despite two years, not enough had transpired to transform that agreement into economic growth, increased integration, and more

[15] Balkan Policy Research Group, *Regional Cooperation in the Western Balkans*, 2021, p. 6 https://balkansgroup.org/wp-content/uploads/2021/02/Regional-Cooperation-in-the-Western-Balkans_Regional-Economic-Area-the-mini_schengen-and-the-Common-Regional-Market-WEB-1.pdf

[16] *Multi-Annual Action Plan for a Regional Economic Area in the Western Balkans – Map* in https://www.rcc.int/priority_areas/39/map-rea

[17] Regional Cooperation Council, *Roaming*, in https://www.rcc.int/priority_areas/53/roaming

[18] *Multi-Annual Action Plan for a Regional Economic Area in the Western Balkans – Map* in https://www.rcc.int/priority_areas/39/map-rea

[19] The President of the Republic of Serbia, *President Vučić, meets the Prime Minister of the Republic of North Macedonia and the Prime Minister of the Republic of Albania* 2019
https://www.predsednik.rs/en/press-center/news/president-vucic-meets-the-prime-minister-of-the-republic-of-north-macedonia-and-the-prime-minister-of-the-republic-of-albania

excellent interactions; thus, the "mini-Schengen" initiative was introduced.[20] The Mini Schengen was a new regional initiative initiated by a few of the region's leaders following the favorable outcomes of the Berlin summit in Sofia in 2020. The Prime Minister pointed out that the European Union was consumed with internal reform and organization and that the region required more cooperation.[21] Prime Minister Rama has voiced his apprehensions regarding France and the Netherlands' veto on granting candidate status to Albania. The paralysis of the expansion process resulted in regional discontent, with the Prime Minister frequently characterizing the EU as uninterested in additional memberships.

This new and parallel initiative was followed by the Declaration on Common Regional Market, established the Regional Economic Area (REA) in 2020. The initiative was considered decisive for enhancing economic integration in the region and as a transitional phase towards the EU Single Market. Additionally, an action plan was endorsed for 2021-2024, founded on the four freedoms of the European Union.[22] The Common Regional Market has integrated the "four freedoms of the "mini-Schengen into its structure, aiming to function as a "complementary bridge between regional initiatives" and being in complete accordance with the acquis of the European Union and also aims to boost the enlargement agenda.[23] These new regional cooperation initiatives would have facilitated their alignment to the EU acquis, cultivated confidence among Balkan states, and ultimately inspired a sense of local ownership and accountability.[24] The purpose of this new internal initiative or process in the Balkans was to bring the region closer to the EU.

Attempts and indications have been made to reconcile the two initiatives, the Open Balkans with the Berlin Process, as the leaders of North Macedonia, Serbia, and Albania have declared that the new initiative was "completely consistent with the Berlin Process." These initiatives were considered attempts to motivate the region through enhanced political and economic collaboration and to prepare the region to a future integration.[25] The distinctive feature of the Open Balkan is its regional

[20] Top Channel, *Rama, Vucic e Zaev firmosin Shengenin Ballkanik*, https://top-channel.tv/2019/10/10/rama-vucic-e-zaev-ne-novi-sad-firmosin-shengenin-ballkanik/

[21] Top Channel, *Rama, Vucic e Zaev firmosin Shengenin Ballkanik*, https://top-channel.tv/2019/10/10/rama-vucic-e-zaev-ne-novi-sad-firmosin-shengenin-ballkanik/

[22] European Western Balkans, *Sofia Summit Conclusions: Western Balkans Leaders remain dedicated to regional cooperation*, https://europeanwesternbalkans.com/2020/11/10/sofia-summit-conclusions-western-balkans-leaders-remain-dedicated-to-regional-cooperation/

[23] Balkans Policy Research Group, *Regional Cooperation in the Western Balkans*, p.7 https://balkansgroup.org/wp-content/uploads/2021/02/Regional-Cooperation-in-the-Western-Balkans_Regional-Economic-Area-the-mini_schengen-and-the-Common-Regional-Market-WEB-1.pdf

[24] Bojan Baća, Florian Bieber, Matteo Bonomi, Richard Grieveson, Marko Kmezić and Zoran Nechev, *Through the Labyrinth of Regional Cooperation*, BiEPAG, 2023, p. 6.

[25] Ferenc Nemeth, *Western Balkans, from the Berlin Process to the Open Balkan Initiative, Prospects for the Accession Process*, European Institute of the Mediterranean, 2022 https://www.iemed.org/publication/western-balkans-from-the-berlin-process-to-the-open-balkan-initiative-prospects-for-the-accession-process/

ownership; while it incorporates several elements from pre-existing or planned EU initiatives, it has been exclusively propelled by regional actors since its beginnings. This is a novelty for the collaboration in the region, as we mentioned before the first initiatives were driven by outside the region.

However, despite the achievements and the political declarations, outcomes of the Western Balkans' regional economic integration have been modest and inconsistent. The initiative persisted purely on a political plane, devoid of any participation from civil society actors or institutions.

Collaboration hardly ever progressed beyond the mere declarative due to unresolved bilateral disputes and a lack of political will and commitment, which have prevented the REA/CRM from being fully implemented.[26]

Greater regional economic integration and genuine free movement of capital, people, and goods will stimulate the economy of the region, more economic relations, more circulation of goods. However, the regional market is small and inconsequential compared to the European market, which limits the influence of economic integration on the region's overall economic development, according to some experts.[27] Thus, European integration is more appealing than regional integration a bigger market means more possibilities. If European integration continues to be the key to economic development, regional economic cooperation will continue to be more theoretical than result-oriented concrete initiatives.

Three significant agreements were signed in 2022 at the annual Summit held in Berlin, trying to give new impetus to regional cooperation inside the frame of the Berlin Process and to confirm the European future of the region.[28] The Agreement on Recognition of Professional Qualifications for Doctor of Medicine, Dentists, and Architects by EU Regulations; 2) the Agreement on Freedom of Movement with ID Cards in the Western Balkans; and 3) the Agreement on Recognition of Higher Education Qualifications in the Western Balkans. Western Balkan nations are devoting their efforts to ensure their implementation.[29] These agreements were intended as a positive step toward more liberties and connections in the region.

During this meeting, the Federal Chancellor, Scholz, declared that the Berlin Process conferences would subsequently be hosted by Prime Minister Edi Rama of Albania.

[26] Bojan Baća, Florian Bieber, Matteo Bonomi, Richard Grieveson, Marko Kmezić and Zoran Nechev, *Through the Labyrinth of Regional Cooperation*, BiEPAG, 2023, p.7

[27] *Pushing on a string, an evaluation of regional economic cooperation in the Western Balkans*, 2020, p. 12. https://www.bertelsmann-stiftung.de/fileadmin/files/user_upload/Pushing_on_a_string.pdf

[28] *The Western Balkan states: tackling reforms, resolving conflicts*, Western Balkans Summit at the Chancellery | Federal Government (bundesregierung.de)

[29] Bojan Baća, Florian Bieber, Matteo Bonomi, Richard Grieveson, Marko Kmezić and Zoran Nechev, *Through the Labyrinth of Regional Cooperation*, BiEPAG, p. 8

For this reason Edi Rama the Prime Minister of Albania, co-presented the Summit findings together with the EU Commission President and the German chancellor.[30]

The challenge at that point was how the "Open Balkan" could be aligned with the Berlin Process and how regional efforts would be split between a primarily regional initiative like the "Open Balkan" and the EU-led program like the Berlin Process.

"Open Balkan" was a contentious initiative that exerted more pressure on the stalled integration process than as a constructive endeavor, given that the EU refused to begin membership negotiations with Albania and North Macedonia in 2019 and region's EU future was at a crossroads.

Despite its declared purpose of fostering economic cooperation, the regional initiative between Serbia, Albania, and North Macedonia has polarized the area, particularly regarding the relationship between Albania and Kosovo. There were two primary schools of thought regarding the regional initiative: those who viewed it as potentially hazardous for the region and those who believed it was at the right time for the area.

A significant argument against the "Open Balkan" is its participants' economic and geographical imbalance. As the larger and more powerful country, Serbia will invariably gain more from the standard market than Albania and Northern Macedonia, even though all three will benefit.[31] Furthermore, some perceive the Open Balkan as replicating the Berlin Process. This initiative initiated a regional common market involving all nations that share the priorities and values of the European Union.

Advocates of the initiative consider it crucial for the future prosperity and security of the region. They view the Open Balkan process as a direct consequence of EU politics in the area, contending that the enlargement process is predominately a political endeavor that may yield unintended consequences. Considering this situation, they argue that the Balkan countries should collaborate in a regional initiative.[32]

The region's leaders have always affirmed that the Open Balkan tries to emulate the unrestricted movement of capital, goods, services, and labor within the Schengen Zone. Still, it does not intend to replace the Berlin Process. On the contrary, its explicit objective is to supplement it by establishing collaboration and synergy that would most effectively equip the states to join the European Union. On the eve of the BE-WB summit in Tirana in 2022, Prime Minister Rama declared that the "Open Balkan"

[30] *The Western Balkan states: tackling reforms, resolving conflicts*, Western Balkans Summit at the Chancellery | Federal Government (bundesregierung.de)

[31] Edward P. Joseph, *Open Balkan (s) is not just unwise, It is dangerous*, Birn, 2022 https://balkaninsight.com/2022/06/15/open-balkans-is-not-just-unwise-its-dangerous/

[32] https://www.ifimes.org/en/researches/2022-open-balkan-the-future-belongs-to-the-peoples-of-the-balkans/5060

is part of and aligned with the Berlin process, drawing inspiration from its values and those of Europe.[33]

While this statement holds theoretical validity, the open Balkan initiative lacked critical elements that would transform political determination into an impactful positive process for the region. These elements include action plans and documents, a regulatory framework, and implementation mechanisms. Furthermore, there was no methodology for assessing success or administrative body to conduct these evaluations and recommend appropriate measures.[34] So it is clear that the initiative didn't went further than a mere political declerative will.

In 2022, the President of Kosovo Osmani declared that the initiative needed to follow the values of regional cooperation and that the countries were not regarded equally. Kosovo has declined to participate in the process after Albin Kurti won the elections.[35] Kurti asserted that the "Open Balkan" exposed the region to the potential eastern influence of China and Russia and emphasized the importance of respecting Kosovo's decision not to participate.[36]

In an interview with Euro News Albania in April 2021, Rama expressed his view that eliminating borders between Albania and Kosovo would result from such a project. However, he cautioned, "It would be a long time before those in Kosovo would come to comprehend it." In doing so, he indirectly implicated Pristina's myopic perspective in neglecting the potential advantages that the Open Balkan could yield.[37]

When the prime minister of Albania stated in July 2022 that Kosovo's firm refusal to join the open Balkan was manifestly an error of judgment and that the agreement between Kosovo and Serbia (concerning the free movement of people and mutual recognition of identity cards) could have been facilitated within the "Open Balkan" framework, relations between the two countries were at their lowest.[38] Rama and Kurti are far more than on the same page regarding the regional cooperation initiatives driven by the region. The "Open Balkan" was designed to position Rama as a regional and political leader. Still, Kosovo has always hesitated to participate in an initiative that is not EU-led. Also, one of the main problems was the non-recognition of Kosovo

[33] Euronews Albania, *Rama: Open Balkan, pjellë e Procesit të Berlinit, 100% në përputhje me BE-në*, 01-12-2021 https://euronews.al/rama-open-balkan-pjelle-e-procesit-te-berlinit-100-ne-perputhje-me-be-ne/

[34] Bojan Baća, Florian Bieber, Matteo Bonomi, Richard Grieveson, Marko Kmezić and Zoran Nechev, *Through the Labyrinth of Regional Cooperation*, BiEPAG, p.18

[35] Luljeta Krasniqi Veseli, *Plus apo Minus, Kosova jashte "Ballkanit te hapur"* https://www.evropaelire.org/a/kosova-ballkani-i-hapur-humbje-apo-perfitim-/31887522.html

[36] https://www.evropaelire.org/a/kosova-ballkani-i-hapur-humbje-apo-perfitim-/31887522.html

[37] Euronews Albania, *Did PM Edi Rama unilaterally decide to end the Open Balkan initiative?* https://euronews.al/en/did-pm-edi-rama-unilaterally-decide-to-end-open-balkan-initiative/

[38] Maela Marini, *Rama për marrëveshjen Kosovë-Serbi: Lëvizja me karta identiteti, zgjidhje e "Ballkanit të hapur"* https://ata.gov.al/2022/09/02/rama-per-marreveshjen-kosove-serbi-levizja-me-karta-identiteti-zgjidhje-e-ballkanit-te-hapur/

by Serbia and Bosnia-Hercegovina, a central problem in the free circulation of people and goods.

The interruption of the "Open Balkan" initiative in July, following its suspension in June due to the events in northern Kosovo, can be perceived as a clear indication that it was intended as a signal to the European Union (EU) regarding the potential adoption of alternative strategies by the Western Balkans (WB) in response to the EU's perceived neglect of regional integration efforts.

However, Rama asserts that this interruption results from the natural culmination of the initiative's objective to advance the Berlin process.[39] The autumn summit in Tirana prompted him to declare that the Berlin Process was the most significant initiative for the Balkans, particularly Albania. However, the future of the Open Balkans agreements still needs to be discovered as the

The decision surprised the president of Serbia. In an interview with TV Prva in Belgrade, Vučić expressed skepticism regarding the statements made by the Albanian Prime Minister and foreshadowed an imminent meeting to seek clarification on the subject.[40]

Furthermore, the initiative was suspended not due to the Albanian prime minister's declaration but due to its limited accomplishments and outcomes. The agreements needed to have undergone complete implementation on the ground, and their substance needed more clarity to yield tangible results.

As stated by the foreign minister of Northern Macedonia, fostering reconciliation in the region and establishing mutual trust and shared values come first; with these, an integrated economy and a horizontal initiative of cooperation are more accessible to achieve.[41]

Conclusions

Promoting regional cooperation in the Western Balkans has received considerable attention from member states and the international community. Numerous mechanisms and initiatives have been established to foster regional stability and cooperation. All the countries in the Western Balkans aspire to join the EU, and the integration process is seen as a driving force for political stability, economic development, and the rule of law in the region.

[39] https://www.youtube.com/watch?v=hD-_FrGI2jQ&ab_channel=EuronewsAlbania

[40] Euronews Albania, *Did PM Edi Rama unilaterally decide to end the Open Balkan initiative?* https://euronews.al/en/did-pm-edi-rama-unilaterally-decide-to-end-open-balkan-initiative/

[41] *Fundi i 'Open Balkan', reagon Maqedonia e Veriut: Ndikoi situata në Veri të Kosovës* https://politiko.al/rajoni/fundi-i-open-balkan-reagon-maqedonia-e-veriut-ndikoi-situata-ne-veri-te-k-i486500

Until the first attempts at regional cooperation, in recent years, several regional organizations aimed to foster collaboration, like the Regional Cooperation Council, which was established to promote economic and social development and European integration.

Also, good bilateral relations between regional nations are vital for promoting cooperation. Stability requires that historical disputes be resolved and that good neighborly relations be maintained.

The evolution of regional cooperation in the Western Balkans over the 20 years since the first efforts have shifted from primarily a top-down government-to-government initiative to a more inclusive and dynamic process involving various actors. The increased scope of involvement has contributed to developing a collective consciousness and sense of ownership regarding the agenda for regional cooperation.

One key aspect of this development is the inclusive approach, which is crucial for addressing diverse perspectives and needs within the region.

Also, another critical point to the recent regional cooperation initiatives is the involvement of various actors like the civil society, private sector, municipalities, and citizens, which has made the regional cooperation more inclusive and more open to addressing different perspectives and needs of the region.

Although the European Union remains a major player in mediating and facilitating regional cooperation, the increased participation of numerous actors has shown that the process is not exclusively reliant on directives from the top down. Conversely, an increasing number of stakeholders understand that lasting collaboration necessitates their proactive involvement.

Notwithstanding advancements and obstacles endured, embracing historical disagreements, political differences, and economic and social disparities affects regional cooperation. Nevertheless, the broad spectrum of regional initiatives also offers possibilities for jointly confronting these obstacles.

The shift from a predominantly top-down government-centric approach to a more inclusive, bottom-up process has indeed contributed to the maturity and resilience of collaborative efforts.

The 20-year journey of regional cooperation in the Western Balkans reflects a maturing process where the involvement of various actors beyond governments has become integral to the success and sustainability of collaborative efforts. This bottom-up approach contributes to a more robust and resilient framework for regional cooperation, as it considers the interests and aspirations of a wide range of stakeholders.

The shift from a predominantly top-down government-centric approach to a more inclusive, bottom-up process has indeed contributed to the maturity and resilience of collaborative efforts. The change to a bottom-up approach signifies that regional cooperation is not solely dictated by directives from the top. Instead, it acknowledges the importance of grassroots initiatives, local collaboration, and the agency of non-governmental actors in shaping the direction of cooperative efforts.

Regional integration constitutes a foundational and continuous component of the European Union's (EU's) membership pursuits of the Western Balkan countries. As a fundamental requirement for membership, the EU has consistently emphasized the significance of excellent neighborly relations and regional cooperation. So, the continuity of regional collaboration is essential, which is now sustained and promoted by the government and the people who consider regional cooperation a positive step for the region and the economy.

Nevertheless, choosing that specific component and allocating a substantial quantity of political capital with the assurance of significant returns cannot serve as the sole course of action.

However, the following stages of regional economic integration should transpire with a significantly more extensive effort to enhance the Western Balkans' economic integration with the European Union.

Furthermore, it is not feasible to employ regional initiatives to exert "pressure" against the European Union whenever the integration process is in jeopardy. It is strategic for the regional cooperation initiative to involve all the region's countries.

Unresolved and bilateral disputes have prevailed in the region; sometimes, this was a source of instability, undermining cooperation and progress on regional initiatives like the "Open Balkans" because the initiative didn't go beyond mere political agreements. If this deep distrust between the Western Balkans Six exists, achieving proper regional economic integration and EU integration will be challenging.

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